

Industry ↴

946 Financial Services—Investment Companies

946 Financial Services—Investment Companies

10 Overall

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	12b-1	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
	Affiliate	Amended	Maintenance Update 2018-12 	09/10/2018
	Affiliate	Added	Accounting Standards Update No. 2013-08	06/07/2013
	Closed-End Funds	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
	Contingent-Deferred Sales Load	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
	Front-End Load	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Investment Company	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
	Net Asset Value per Share	Added	Accounting Standards Update No. 2013-08	06/07/2013
	Parent	Added	Accounting Standards Update No. 2013-08	06/07/2013

946-10-05-1	Amended	Accounting Standards Update No. 2013-08	06/07/2013
946-10-05-2 through 05-6	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
946-10-05-5	Amended	Accounting Standards Update No. 2014-06	03/14/2014
946-10-15-1 through 15-6	Amended	Accounting Standards Update No. 2013-08	06/07/2013
946-10-15-7 through 15-9	Added	Accounting Standards Update No. 2013-08	06/07/2013
946-10-25-1 through 25-3	Added	Accounting Standards Update No. 2013-08	06/07/2013
946-10-50-1	Amended	Accounting Standards Update No. 2013-08	06/07/2013
946-10-50-2	Amended	Accounting Standards Update No. 2013-08	06/07/2013
946-10-50-3	Added	Accounting Standards Update No. 2013-08	06/07/2013
946-10-55-1 through 55-45	Amended	Accounting Standards Update No. 2013-08	06/07/2013
946-10-55-46 through 55-71	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
946-10-65-1	Amended	Accounting Standards Update No. 2013-08	06/07/2013
946-10-65-2	Added	Accounting Standards Update No. 2013-08	06/07/2013

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 946-10-05-1**
- The Financial Services—Investment Companies Topic includes the following Subtopics:
- a. Overall

b. Investment Company Activities

c. Presentation of Financial Statements

- d. Balance Sheet
- e. Income Statement
- f. Statement of Cash Flows
- g. Notes to Financial Statements
- h. Cash and Cash Equivalents
- i. Receivables
- j. Investments—Debt and Equity Securities
- k. Investments—Equity Method and Joint Ventures
- kk. Investments—Other
- l. Liabilities
- m. Equity
- n. Revenue Recognition
- o. Income Taxes
- p. Consolidation
- q. Foreign Currency Matters.

946-10-05-2

Paragraphs 946-10-05-2 through 05-6 superseded by Accounting Standards Update No. 2013-08.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

- 946-10-15-1** The Financial Services—Investment Companies Topic only provides incremental industry-specific guidance for the entities that meet the assessment of investment company status described in this Scope Section, with the exception of Subtopic [946-605](#), which has its own discrete scope. Entities within the scope of this Topic also shall comply with the applicable guidance not included in this Topic. The Scope Section of the Overall Subtopic establishes the pervasive scope for all Subtopics of the Financial Services—Investment Companies Topic. Unless explicitly addressed within specific Subtopics, the following scope guidance applies to all Subtopics of the Financial Services—Investment Companies Topic, with the exception of Subtopic [946-605](#).

> Entities

- 946-10-15-2** The accounting principles discussed in this Topic apply to all investment companies. An investment company as discussed in this Topic is an entity that meets the assessment described in paragraphs [946-10-15-4 through 15-9](#).
- a. [Subparagraph superseded by Accounting Standards Update No. 2013-08.](#)
 - b. [Subparagraph superseded by Accounting Standards Update No. 2013-08.](#)
 - c. [Subparagraph superseded by Accounting Standards Update No. 2013-08.](#)
 - d. [Subparagraph superseded by Accounting Standards Update No. 2013-08.](#)

- 946-10-15-3** The guidance in this Topic does not apply to real estate investment trusts.

· > Assessment of Investment Company Status

- 946-10-15-4** An entity regulated under the Investment Company Act of 1940 is an investment company under this Topic.

- 946-10-15-5** An entity that is not regulated under the Investment Company Act of 1940 shall assess all the characteristics of an investment company in paragraphs [946-10-15-6 through 15-7](#) to determine whether it is an investment company. The entity shall consider its purpose and design when making that assessment.

- 946-10-15-6** An investment company has the following fundamental characteristics:
- a. It is an entity that does both of the following:
 - 1. Obtains funds from one or more investors and provides the investor(s) with investment management services
 - 2. Commits to its investor(s) that its business purpose and only substantive activities are investing the funds solely for returns from capital appreciation, investment income, or both.
 - b. The entity or its [affiliates](#) do not obtain or have the objective of obtaining returns or benefits from an investee or its affiliates that are not normally attributable to ownership interests or that are other than capital appreciation or investment income.

- 946-10-15-7** An investment company also has the following typical characteristics:
- a. It has more than one investment.
 - b. It has more than one investor.
 - c. It has investors that are not [related parties](#) of the [parent](#) (if there is a parent) or the investment manager.
 - d. It has ownership interests in the form of equity or partnership interests.
 - e. It manages substantially all of its investments on a [fair value](#) basis.

- 946-10-15-8** To be an investment company, an entity shall possess the fundamental characteristics in paragraph [946-10-15-6](#). Typically, an investment company also has all of the characteristics in paragraph [946-10-15-7](#). However, the absence of one or more of those typical characteristics does not necessarily preclude an entity from being an investment company. If an entity does not possess one or more of the typical characteristics, it shall apply judgment and determine, considering all facts and circumstances, how its activities continue to be consistent (or are not consistent) with those of an investment company.
- 946-10-15-9** The implementation guidance in Section [946-10-55](#) is an integral part of assessing investment company status and provides additional guidance for that assessment.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Affiliate

A party that, directly or indirectly through one or more intermediaries, controls, is controlled by, or is under common control with an entity. See [Control](#).

Control

The possession, direct or indirect, of the power to direct or cause the direction of the management and policies of an entity through ownership, by contract, or otherwise.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Front-End Load

A sales commission or charge payable at the time of purchase of mutual fund shares.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting

entity has evidence that the transaction was entered into at market terms

- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Net Asset Value per Share

Net asset value per share is the amount of net assets attributable to each share of capital stock (other than senior equity securities, that is, preferred stock) outstanding at the close of the period. It excludes the effects of assuming conversion of outstanding convertible securities, whether or not their conversion would have a diluting effect.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Parent

An entity that has a controlling financial interest in one or more subsidiaries. (Also, an entity that is the primary beneficiary of a variable interest entity.)

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Reassessment of Investment Company Status

- 946-10-25-1** The initial determination of whether an entity is an investment company within the scope of this Topic shall be made upon formation of the entity. An entity shall reassess whether it meets (or does not meet) the assessment of investment company status in paragraphs 946-10-15-4 through 15-9 only if there is a subsequent change in the purpose and design of the entity or if the entity is no longer regulated under the Investment Company Act of 1940.
- 946-10-25-2** An entity that is no longer an investment company under this Topic as a result of the reassessment of status shall discontinue applying the guidance in this Topic and shall account for the change in its status prospectively by accounting for its investments in accordance with other Topics as of the date of the change in status. The fair value of an investment at the date of the change in status shall be the investment's initial carrying amount.
- 946-10-25-3** An entity that subsequently is an investment company under this Topic as result of the reassessment of status shall account for the effect of the change in status from the date of the change in status. The effect of applying this Topic shall be recognized as a cumulative-effect adjustment to net assets at the date of the change in status. The cumulative-effect adjustment shall be included in the net asset value at the beginning of the period in the per-share information included in the financial highlights. The adjustment to net assets represents both of the following:
- The difference between the fair value and the carrying amount of the entity's investees (or parent's portion of the assets minus liabilities for consolidated investments) at the date of the change in status
 - Any amounts previously recognized in accumulated other comprehensive income.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Investment Company Status

946-10-50-1 An investment company under this Topic shall disclose that it is an investment company following accounting and reporting guidance in this Topic.

· > Change in Status

946-10-50-2 An entity with a change in status (as described in paragraphs [946-10-25-1 through 25-3](#)) shall disclose that a change in status occurred and the reasons for that change.

946-10-50-3 An entity that previously was not an investment company under this Topic and becomes an investment company under this Topic shall disclose the effect of the change in status on the reported amounts of investments as of the date of the change in status.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

946-10-55-1 This Section provides additional guidance for the assessment in paragraphs [946-10-15-5 through 15-9](#) to determine whether an entity that is not regulated under the Investment Company Act of 1940 is an investment company under this Topic.

946-10-55-2 This Section is organized as follows:

- Fundamental characteristics of an investment company
- Typical characteristics of an investment company
- Illustrative examples.

· > Fundamental Characteristics of an Investment Company

946-10-55-3 To be an investment company, an entity shall possess the fundamental characteristics in paragraph [946-10-15-6](#). Paragraphs [946-10-55-4 through 55-10](#) provide additional guidance for determining whether an entity has the fundamental characteristics of an investment company.

· · > Business Purpose and Substantive Activities

946-10-55-4 An investment company should have no substantive activities other than its investing activities and should not have significant assets or liabilities other than those relating to its investing activities, subject to the exception in the following paragraph.

946-10-55-5 An investment company may provide investing-related services (for example, investment advisory or transfer agent services) to other entities, directly or indirectly through an investment in an entity that provides those services, as long as those services are not substantive. However, an investment company may provide substantive investing-related services, directly or indirectly through an investment in an entity that provides those services, if the substantive services are provided to the investment company only.

· · · > Evidence of an Entity's Business Purpose and Substantive Activities

946-10-55-6 Evidence of the entity's business purpose and substantive activities may be included in the entity's offering memorandum, publications distributed by the entity, and other corporate or partnership documents that indicate the investment objectives of the entity. Evidence of the entity's business purpose and substantive activities also may include the manner in which the entity presents itself to other parties (such as potential investors or potential investees). For example, an entity that presents its business to its investors as having the objective of investing for capital appreciation has characteristics that are consistent with the business purpose and substantive activities of an investment company. Alternatively, an entity that presents itself as an investor whose objective is jointly developing, producing, or marketing products with its investees has characteristics that are inconsistent with the business purpose and substantive activities of an investment company.

946-10-55-7 An entity's investment plans also provide evidence of its business purpose and substantive activities. Accordingly, an investment company whose business purpose and substantive activities include realizing capital appreciation should have an exit strategy for how it plans to realize the capital appreciation of its investments. Although the entity may not yet have determined the specific method or timing of disposing of an investment, the fact that it has identified potential exit strategies through which it can realize capital appreciation provides evidence that its business purpose and substantive activities are consistent with those of an investment company. The entity need not document specific exit strategies for each individual investment held for the purpose of realizing capital appreciation but should identify potential exit strategies for different types or portfolios of investments held with the purpose of realizing capital appreciation. Disposal of investments only during liquidation or to satisfy investor redemptions are not exit strategies. Therefore, an entity should have a plan to dispose of its investments before liquidation when its business purpose and substantive activities include realizing capital appreciation. An investment company whose business purpose and substantive activities are to invest for returns only from investment income does not require an exit strategy for its investments.

· · > Returns or Benefits from Investments

946-10-55-8 An entity would not be an investment company if the entity or its [affiliates](#) obtain or have the objective of obtaining returns or benefits from an investee or its affiliates that are not normally attributable to ownership interests or that are other than capital appreciation or investment income. Examples of relationships and activities that would be inconsistent with the characteristics of an investment company include any of the following:

- a. The entity or its affiliates acquire, use, exchange, or exploit the processes, assets, or technology of an investee or its affiliates. This includes the entity or its affiliates having disproportionate or exclusive rights to acquire assets, technology, products, or services of an investee or its affiliates (for example, by holding an option to purchase an asset from an investee if the asset's development is deemed successful).

- b. There are other arrangements between the entity or its affiliates and an investee or its affiliates to jointly develop, produce, market, or provide products or services.
- c. An investee or its affiliates provide financing guarantees or assets to serve as collateral for borrowing arrangements of the entity or its affiliates to provide returns or with the objective of providing returns other than capital appreciation or investment income. The guidance in this paragraph does not prohibit an investment company from using its investments in its investees as collateral for any of its borrowings.
- d. An affiliate of the entity holds an option to purchase from the entity ownership interests in an investee at an amount other than [fair value](#).
- e. There are transactions between the entity or its affiliates and an investee or its affiliates that meet any of the following:
 - 1. They are on terms that are unavailable to entities that are not affiliates of the investee.
 - 2. They are not at fair value or are not conducted at arm's length.
 - 3. They represent a substantive portion of the investee's or the entity's business activities, including business activities of affiliates of the entity or affiliates of the investee.

946-10-55-9 An investment company may have a strategy to invest in more than one investee in the same industry, market, or geographical area to benefit from synergies that increase the returns from capital appreciation and investment income from those investments. Transactions between an entity's investees should not affect the entity's assessment of whether it is an investment company unless those transactions result in the entity obtaining returns or benefits other than capital appreciation or investment income.

946-10-55-10 An investment company may provide both of the following services to an investee, either directly or through an investment in an entity that provides those services, only if those services are provided for the purpose of maximizing returns from capital appreciation, investment income, or both (rather than other benefits) and do not represent a separate substantial business activity or separate substantial source of income for the investment company:

- a. Assistance with day-to-day management of the operations of an investee
- b. Financial support, such as a loan, capital commitment, or guarantee.

· > Typical Characteristics of an Investment Company

946-10-55-11 As required by paragraph [946-10-15-5](#), an entity shall assess all the typical characteristics in paragraph [946-10-15-7](#) to determine whether it is an investment company. If an entity does not possess one or more of the typical characteristics, it should apply judgment and determine, considering all facts and circumstances, how its activities continue to be consistent (or are not consistent) with those of an investment company. Paragraphs [946-10-55-12 through 55-29](#) provide additional guidance for determining whether an entity has a certain typical characteristic of an investment company.

· · > More Than One Investment

946-10-55-12 An investment company typically holds multiple investments at the same time to diversify its risk and maximize its returns from capital appreciation, investment income, or both. Investments typically consist of securities of other entities, but also may include commodities, securities based on indexes, securities sold short, derivative instruments, real estate properties, and other forms of investments.

· · > Activities, Assets, and Liabilities

946-10-55-13 An investment company may hold investments directly or indirectly through another investment company. For example, in a master-feeder structure, a feeder fund holds multiple investments

indirectly through its investment in a master fund that holds multiple investments or, in a fund-of-funds structure, an investment company holds multiple investments indirectly through its investment in an underlying fund that holds multiple investments.

946-10-55-14 Holding a single investment does not necessarily preclude an entity from being an investment company. There may be times when an investment company holds a single investment, such as in any of the following examples:

- a. It is in its start-up period and has not yet identified suitable investments and, therefore, has not yet executed its investment plan to acquire multiple investments.
- b. It has not yet made other investments to replace those it has disposed of.
- c. It is in the process of liquidation.
- d. It is established to pool investors' funds to invest in a single investment when that investment is unobtainable by individual investors (for example, when the required minimum investment is too high for an individual investor).

946-10-55-15 An investment company with a single investment also may be formed (for legal, regulatory, tax, or other business reasons) in conjunction with another investment company that holds multiple investments (for example, a master-feeder structure or blocker fund). Investment companies formed in conjunction with each other are not required to be formed at the same time. Holding a single investment for that reason does not necessarily preclude an entity from being an investment company.

· · > More Than One Investor

946-10-55-16 An investment company typically pools funds from multiple investors and provides them with investment management services, including access to investment opportunities unobtainable by individual investors. Having multiple investors makes it less likely that the entity or its affiliates obtain or have the objective of obtaining returns or benefits from an investee or its affiliates that are not normally attributable to ownership interests or that are other than capital appreciation or investment income.

946-10-55-17 Having a single investor does not necessarily preclude an entity from being an investment company. There may be times when an investment company has a single investor, such as in any of the following examples:

- a. It is in its initial offering period, which has not expired, and it is actively identifying suitable investors.
- b. It is actively identifying investors but has not yet identified suitable investors to replace those that have redeemed their ownership interests.
- c. It is in the process of liquidation.

946-10-55-18 An investment company may be formed by, or for, a single investor that represents or supports the interests of a wider group of investors (for example, a pension fund, government investment fund, or endowment fund). An investment company with a single investor also may be formed (for legal, regulatory, tax, or other business reasons) in conjunction with another investment company that has multiple investors (for example, a master-feeder structure or a blocker fund). Investment companies formed in conjunction with each other are not required to be formed at the same time. Having a single investor for those reasons does not necessarily preclude an entity from being an investment company.

· · > Investors That Are Not Related Parties of the Parent or Investment Manager

946-10-55-19 An investment company typically has investors that are not [related parties](#) of the [parent](#) (if there is a parent) or the investment manager. Those unrelated investors, in aggregate, hold a significant interest in the investment company. Having investors that are not related parties of the parent or the investment manager makes it less likely that the entity or its affiliates obtain or have the objective of

obtaining returns or benefits from an investee or its affiliates that are not normally attributable to ownership interests or that are other than capital appreciation or investment income.

- 946-10-55-20** Investors that are related parties of the parent or investment manager should be combined and treated as a single investor, along with the parent or investment manager, for the purposes of evaluating the more-than-one-investor characteristic of an investment company in paragraph [946-10-15-7](#).

· > Entities Regulated by the Investment Company Act of 1940 or Similar Requirements

- 946-10-55-21** Having investors that are related parties of the parent or the investment manager does not necessarily preclude an entity from being an investment company. For example, an investment manager may form an investment company for its employees in conjunction with another investment company. Although the employees may be related parties of the investment manager, the investment company formed for its employees mirrors the business purpose and activities of the main investment company.
- 946-10-55-22** If the parent or its related parties have an implicit or explicit arrangement that would require them to acquire another investor's ownership interest in the investment company at an amount other than fair value, those interests should be combined and treated as if they were owned by the parent for the purposes of evaluating the typical characteristics of an investment company. Examples of when interests would be combined and treated as if they were owned by the parent include any of the following:
- The parent or its related parties have a written option to acquire another investor's ownership interests in the entity at an amount other than fair value.
 - The parent finances another investor's ownership interests, and the ownership interests are collateral for the debt.

· · > Ownership Interests

- 946-10-55-23** Ownership interests in an investment company are typically in the form of equity or partnership interests. Each ownership interest represents a specifically identifiable portion of the net assets of the investment company. An investor in an investment company contributes funds to acquire ownership interests, and the value of those interests is dependent on the changes in the fair value of the underlying investments of the investment company.
- 946-10-55-24** Having multiple classes of equity instruments, such as shares with distinct rights or rights that do not represent a proportionate interest in all of the underlying investments of the investment company, does not preclude an entity from meeting this characteristic of an investment company.
- 946-10-55-25** An investment company can be but is not required to be a separate legal entity. For example, separate accounts of life insurance companies may not be separate legal entities. However, investors in the separate accounts base their investment decisions on the changes in the fair value of the underlying investments held in those separate accounts.
- 946-10-55-26** In addition, having significant ownership interests that are not considered equity interests in accordance with other Topics (for example, ownership interests in the form of debt) does not necessarily preclude an entity from being an investment company provided that the holders are exposed to variable returns from changes in the fair value of the underlying investments of the entity. The economic substance of the entity, rather than its legal form, should be evaluated to determine whether the entity has that characteristic of an investment company.

· · > Managing on a Fair Value Basis

- 946-10-55-27** An investment company typically manages substantially all of its investments on a fair value basis. Determining whether an entity manages its investments on a fair value basis does not depend on the

nature of its investments but, rather, includes an evaluation of whether fair value is a key component of any of the following:

- a. How the entity evaluates the performance of its investments
- b. How the entity transacts with its investors
- c. How asset-based fees are calculated.

An investment company's activities typically demonstrate that fair value is the primary measurement attribute used to evaluate the financial performance of and to make investment decisions for substantially all of its investments. Also, an investment company typically transacts with investors on the basis of [net asset value per share](#) and incurs asset-based fees, both of which are based on the fair value of its investments.

946-10-55-28 Assets held by an investment company that are used to service the investment company's own investments are not required to be managed on a fair value basis (see paragraph [946-10-55-5](#)).

946-10-55-29 Managing investments on another basis, such as a yield basis or an income basis, does not necessarily preclude an entity from being an investment company. For example, although a short-term investment fund may evaluate the performance of its investments on a yield (amortized cost) basis, fair value is the primary measurement attribute used to evaluate the financial performance of investments and to make investment decisions because the fund monitors the fair value of its investments to minimize the differences between the carrying value and the fair value.

> Illustrations

946-10-55-30 The following Examples illustrate the assessment to determine whether an entity that is not regulated under the Investment Company Act of 1940 is an investment company under this Topic:

- a. Example 1: Limited partnership
- b. Example 2: Technology fund
- c. Example 3: Master-feeder structure.

· > Example 1: Limited Partnership

946-10-55-31 Entity A, a limited partnership, is formed in 20X1 with a 10-year life. The offering memorandum provides that Entity A's purpose is to invest in operating entities with rapid growth potential, with the only objective of realizing capital appreciation from investments in those entities over the life of Entity A. One percent of Entity A's capital was contributed by the general partner (the investment manager), who has the responsibility of identifying suitable investments for Entity A. The remaining 99 percent of Entity A's capital was contributed by 75 limited partners, who are not related parties of the general partner.

946-10-55-32 Entity A begins its investment activities in 20X1. However, no suitable investments are identified during that year. In 20X2, Entity A acquires a controlling financial interest in Entity B, a corporation. Entity A is unable to identify suitable investments and complete any other investment purchases until 20X3, at which time it acquires equity interests in five additional operating companies. Other than acquiring those equity interests, Entity A conducts no other activities. Entity A manages and evaluates the performance of its investments on a fair value basis. Information about Entity A's financial results, including changes in the fair value of its investments, are provided by the general partner to the limited partners periodically.

946-10-55-33 Entity A has plans to dispose of its interests in each of its investees during the 10-year stated life of the partnership to realize returns from the capital appreciation of its investees. Those disposals include the sale of the interests for cash or the distribution of marketable equity securities to investors following a successful public offering of an investee's securities.

· · > Case C: Venture Partners III

- 946-10-55-34** From formation in 20X1 to December 31, 20X3, Entity A has the fundamental characteristics of an investment company because all of the following conditions exist:
- a. Entity A obtained funds from investors (the general partner and the limited partners) and is providing those investors with investment management services.
 - b. Entity A's business purpose and only substantive activity is acquiring interests in operating companies with the objective of realizing returns over its life from the capital appreciation of the investments. Entity A has identified exit strategies for its investments to realize the capital appreciation.
 - c. Entity A does not have an objective of obtaining returns or benefits other than capital appreciation from its investments.
- 946-10-55-35** Entity A also has all of the following typical characteristics of an investment company:
- a. Entity A is funded by multiple investors.
 - b. The limited partners of Entity A hold a significant interest in the partnership and are not related to the investment manager (the general partner).
 - c. Ownership in Entity A is represented by partnership interests acquired through capital contributions.
 - d. Investments are managed, and their performance is evaluated on a fair value basis.
- 946-10-55-36** Entity A does not hold more than one investment until 20X3. However, that is because during each of the years 20X1, 20X2, and part of 20X3, it is in its start-up period and has not yet fully executed its investment plan to acquire multiple investments because it could not identify suitable investment opportunities.
- 946-10-55-37** Entity A is an investment company from formation in 20X1 to December 31, 20X3. It has all the fundamental characteristics of an investment company. In addition, although Entity A does not possess all of the typical characteristics of an investment company, its activities are consistent with those of an investment company.

· > Example 2: Technology Fund

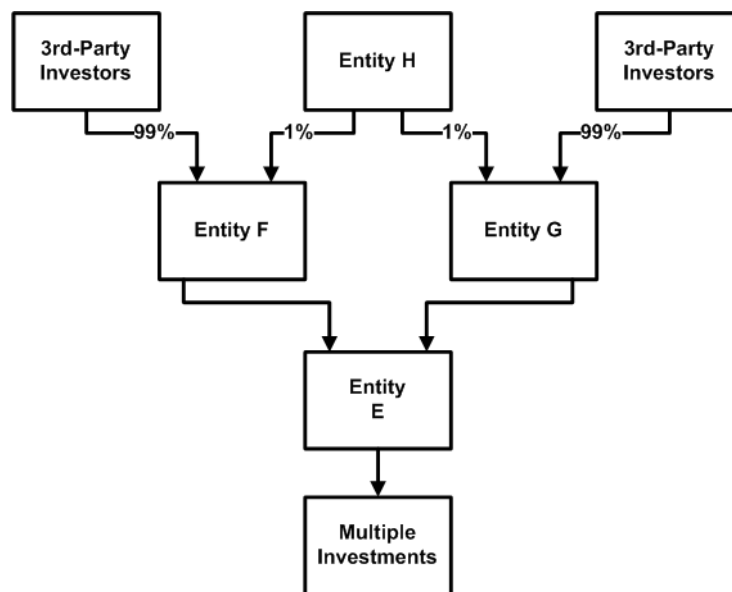
- 946-10-55-38** Entity C, an investment fund, is formed in 20X1 by six corporations in the technology industry to invest in multiple technology start-up companies for capital appreciation. Entity D, one of the corporations, holds a 70 percent controlling financial interest in Entity C. The remaining 30 percent of the fund is owned by the other 5 corporations, which are not related to each other or Entity D. Entity D holds options at amounts other than fair value to acquire controlling financial interests in the investees of the technology fund and options to purchase assets produced by the investees, if the technology developed by the investee is successful and would benefit the operations of Entity D. No plans for exiting the investments have been identified by Entity C. Entity C is managed by an investment manager that is not related to the investors. The investors in Entity C also provide significant advice to the investment manager about potential investments.
- 946-10-55-39** Even though Entity C's business purpose and substantive activities include investing for returns from capital appreciation and it has many of the typical characteristics of an investment company, Entity C is not an investment company because of both of the following conditions:
- a. Entity D, the parent of Entity C, holds options at amounts other than fair value to acquire investees of the fund and assets of the investees if the technology developed by the investee is successful and would benefit Entity D's operations. That provides Entity D with a benefit that is other than returns from capital appreciation or investment income.

- b. The investment plans of Entity C do not include exit strategies for its investments to realize returns from the capital appreciation of investees.

· > Example 3: Master-Feeder Structure

946-10-55-40 Entity E, a master fund, is formed in 20X1 with a 10-year life. The equity of Entity E is held by Entity F and Entity G, two affiliated feeder funds. Entity F and Entity G are established in conjunction with Entity E to meet legal, regulatory, tax, or other requirements. Entity F, the domestic feeder partnership, is capitalized with a 1 percent investment from the general partner and 99 percent from unaffiliated investors (with no party holding a controlling financial interest). Entity G, the offshore feeder fund, is capitalized with a 1 percent equity investment from the sponsor and 99 percent equity investments from unaffiliated investors (with no party holding a controlling financial interest). Entity H is the investment manager for the master-feeder structure and is the general partner of Entity F and the sponsor of Entity G.

946-10-55-41 This figure illustrates the master-feeder structure.



946-10-55-42 The purpose of Entity E is to invest in multiple investments to generate returns solely from capital appreciation and investment income. Entity F and Entity G have communicated to investors that the sole purpose of the master-feeder structure is to provide investment opportunities for investors in separate market niches to invest in a large pool of assets. Entity E has identified exit strategies for the investments that it holds for returns from capital appreciation. In addition, Entity E manages, and evaluates the performance of, its investments on a fair value basis. Entity F and Entity G provide their investors with periodic information about the financial results of the master-feeder structure.

946-10-55-43 Entity E, Entity F, and Entity G each possess the fundamental characteristics of an investment company because all of the following conditions exist:

- Entity E, Entity F, and Entity G obtained funds from investors and are providing those investors with investment management services.
- The master-feeder structure's business purpose and only substantive activities, which were communicated to investors of Entity F and Entity G, are investing solely for returns from capital appreciation and investment income.
- Entity E has identified exit strategies for the investments it holds for returns from capital appreciation. Although Entity F and Entity G do not have an exit strategy for their interests in Entity E, they are considered to have an exit strategy for their investments because Entity E was formed in conjunction with Entity F and Entity G and holds investments on behalf of them.

d. Entity E, Entity F, and Entity G do not have an objective of obtaining returns or benefits other than capital appreciation and investment income from their investments.

946-10-55-44

Entity E, Entity F, and Entity G each also possess all of the following typical characteristics of an investment company:

- a. Entity E holds more than one investment. Both Entity F and Entity G also are considered to hold more than one investment because they were formed in conjunction with Entity E.
- b. Both Entity F and Entity G are funded by multiple investors. Entity E also is considered to be funded by multiple investors because it was formed in conjunction with Entity F and Entity G.
- c. Both Entity F and Entity G have investors that hold a significant interest in the partnership and are not related to the investment manager (Entity H). Although Entity F and Entity G are related to Entity E, Entity E is considered to have unrelated investors because it was formed in conjunction with Entity F and Entity G, which have unrelated investors.
- d. Ownership in Entity E and Entity G are represented by equity interests acquired through capital contributions. Ownership in Entity F is represented by partnership interests acquired through capital contributions.
- e. Entity E manages and evaluates the performance of investments on a fair value basis. Additionally, investors of Entity F and Entity G are provided with periodic financial information about the investing activities of Entity E, which includes information about the change in fair value of investments held.

946-10-55-45

Entity E, Entity F, and Entity G are investment companies. They possess all the fundamental characteristics of an investment company and all the typical characteristics of an investment company, either directly or indirectly as a result of the master-feeder structure.

946-10-55-46

[Paragraphs 946-10-55-46 through 55-71 superseded by Accounting Standards Update No. 2013-08.](#)

65 Transition and Open Effective Date Information

i General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

946-10-65-1

Paragraph superseded on 06/26/2015 after the end of the transition period stated in Accounting Standards Update No. 2013-08, *Financial Services—Investment Companies (Topic 946): Amendments to the Scope, Measurement, and Disclosure Requirements*.

946-10-65-2

Paragraph superseded on 06/26/2015 after the end of the transition period stated in Accounting Standards Update No. 2013-08, *Financial Services—Investment Companies (Topic 946): Amendments*

to the Scope, Measurement, and Disclosure Requirements.

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-10-S00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	946-10-S99-1 through S99-3	Amended	Accounting Standards Update No. 2021-06	08/09/2021
	946-10-S99-1 through S99-3	Amended	Accounting Standards Update No. 2019-07	07/26/2019
	946-10-S99-3A	Added	Accounting Standards Update No. 2021-06	08/09/2021

S15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

946-10-S15-1	See paragraph 946-10-S99-1 , Regulation S-X Rule 6-01, for entities required to comply with the SEC materials in this Subtopic.
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S20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Affiliate

See paragraph [946-10-S99-2](#), Regulation S-X Rule 6-02(a), for the definition of affiliate.

Balance Sheets

See paragraph [946-10-S99-2](#), Regulation S-X Rule 6-02(c), for the definition of balance sheets.

Qualified Assets

See paragraph [946-10-S99-2](#), Regulation S-X Rule 6-02(d), for the definition of qualified assets.

Value

See paragraph [946-10-S99-2](#), Regulation S-X Rule 6-02(b), or paragraph [946-320-S99-12](#), CFRR 404.03.b.i, for the definition of value.

S25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Organization and Offering Expenses and Selling Commissions

946-10-S25-1 See paragraph [946-10-S99-4](#), SAB Topic 5.D, for SEC Staff views on the recognition of organization and offering expenses and selling commissions.

S99 SEC Materials

General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 6-01, Application of Rules 6-01 through 6-11

946-10-S99-1 The following is the text of Regulation S-X Rule 6-01, Application of Rules 6-01 through 6-11 (17 CFR 210.6-01).

Sections 210.6-01 through 210.6-11 shall be applicable to financial statements filed for registered investment companies and business development companies.

[81 FR 82010, Nov. 18, 2016, as amended at 85 FR 54064, Aug. 31, 2020]

· · > Regulation S-X Rule 6-02, Definition of Certain Terms

946-10-S99-2 The following is the text of Regulation S-X Rule 6-02, Definition of Certain Terms (17 CFR 210.6-02).

The following terms shall have the meaning indicated in this rule unless the context otherwise requires. (Also see § 210.1-02 of this part.)

(a) **Affiliate.** The term *affiliate* means an *affiliated person* as defined in section 2(a)(3) of the Investment Company Act of 1940 unless otherwise indicated. The term *control* has the meaning in section 2(a)(9) of that Act.

(b) **Value.** As used in §§ 210.6-01 through 210.6-11, the term *value* shall have the meaning given in section 2(a)(41)(B) of the Investment Company Act of 1940.

(c) **Balance sheets; statements of net assets.** As used in §§ 210.6-01 through 210.6-11, the term *balance sheets* shall include statements of assets and liabilities as well as statements of net assets unless the context clearly indicates the contrary.

(d) **Qualified assets.**

(1) For companies issuing face-amount certificates subsequent to December 31, 1940 under the provisions of section 28 of the Investment Company Act of 1940, the term *qualified assets* means qualified investments as that term is defined in section 28(b) of the Act. A statement to that effect shall be made in the balance sheet.

(2) For other companies, the term *qualified assets* means cash and investments which such companies do maintain or are required, by applicable governing legal instruments, to maintain in respect of outstanding face-amount certificates.

(3) Loans to certificate holders may be included as qualified assets in an amount not in excess of certificate reserves carried on the books of account in respect of each individual certificate upon which the loans were made.

(e) *Swing pricing*. The term *swing pricing* shall have the meaning given in §270.22c-1(a)(3)(v) (C) of this chapter.

[47 FR 56838, Dec. 21, 1982, as amended at 81 FR 82137, Nov. 18, 2016; 85 FR 54064, Aug. 31, 2020]

· · > Regulation S-X Rule 6-03, Special Rules of General Application to Registered Investment Companies and Business Development Companies

946-10-S99-3 The following is the text of Regulation S-X Rule 6-03, Special Rules of General Application to Registered Investment Companies and Business Development Companies (17 CFR 210.6-03).

The financial statements filed for persons to which §§ 210.6-01 through 210.6-11 are applicable shall be prepared in accordance with the following special rules in addition to the general rules in §§ 210.1-01 to 210.4-10 (Articles 1, 2, 3, and 4). Where the requirements of a special rule differ from those prescribed in a general rule, the requirements of the special rule shall be met.

(a) *Content of financial statements*. The financial statements shall be prepared in accordance with the requirements of this part (Regulation S-X) notwithstanding any provision of the articles of incorporation, trust indenture or other governing legal instruments specifying certain accounting procedures inconsistent with those required in §§ 210.6-01 through 210.6-11.

(b) *Audited financial statements*. Where, under Article 3 of this part, financial statements are required to be audited, the independent accountant shall have been selected and ratified in accordance with section 32 of the Investment Company Act of 1940 (15 U.S.C. 80a-31).

(c) *Consolidated and combined statements*.

(1) Consolidated and combined statements filed for registered investment companies and business development companies shall be prepared in accordance with §§ 210.3A-02 and 210.3A-03 (Article 3A) except that:

(i) [Reserved]

(ii) A consolidated statement of the registrant and any of its investment company subsidiaries shall not be filed unless accompanied by a consolidating statement which sets forth the individual statements of each significant subsidiary included in the consolidated statement: *Provided, however*, That a consolidating statement need not be filed if all included subsidiaries are totally held; and

(iii) Consolidated or combined statements filed for subsidiaries not consolidated with the registrant shall not include any investment companies unless accompanied by consolidating or combining statements which set forth the individual statements of each included investment company which is a significant subsidiary.

(2) If consolidating or combining statements are filed, the amounts included under each caption in which financial data pertaining to affiliates is required to be furnished shall be subdivided to show separately the amounts:

(i) Eliminated in consolidation; and

(ii) Not eliminated in consolidation.

(d) *Valuation of investments.* The balance sheets of registered investment companies, other than issuers of face-amount certificates, and business development companies, shall reflect all investments at value, with the aggregate cost of each category of investment reported under §§ 210.6-04.1, 6-04.2, 6-04.3, and 6.04.9 or the aggregate cost of each category of investment reported under § 210.6-05.1 shown parenthetically.

State in a note the methods used in determining value of investments.

As required by section 28(b) of the Investment Company Act of 1940 (15 U.S.C. 80a-28(b)), qualified assets of face-amount certificate companies shall be valued in accordance with certain provisions of the Code of the District of Columbia.

(e) *Qualified assets.* State in a note the nature of any investments and other assets maintained or required to be maintained, by applicable legal instruments, in respect of outstanding face-amount certificates. If the nature of the qualifying assets and amount thereof are not subject to the provisions of section 28 of the Investment Company Act of 1940 (15 U.S.C. 80a-28), a statement to that effect shall be made.

(f) *Restricted securities.* State in a note unless disclosed elsewhere the following information as to investment securities which cannot be offered for public sale without first being registered under the Securities Act of 1933 (15 U.S.C. 77a *et seq*) (restricted securities):

(1) The policy of the person with regard to acquisition of restricted securities.

(2) The policy of the person with regard to valuation of restricted securities. Specific comments shall be given as to the valuation of an investment in one or more issues of securities of a company or group of affiliated companies if any part of such investment is restricted and the aggregate value of the investment in all issues of such company or affiliated group exceeds five percent of the value of total assets. (As used in this paragraph, the term *affiliated* shall have the meaning given in § 210.6-02(a).)

(3) A description of the person's rights with regard to demanding registration of any restricted securities held at the date of the latest balance sheet.

(g) *Income recognition.* Dividends shall be included in income on the ex-dividend date; interest shall be accrued on a daily basis. Dividends declared on short positions existing on the record date shall be recorded on the ex-dividend date and included as an expense of the period.

(h) *Federal income taxes.*

(1) The company's status as a *regulated investment company* as defined in subtitle A, chapter 1, subchapter M of the Internal Revenue Code, as amended, shall be stated in a note referred to in the appropriate statements. Such note shall also indicate briefly the principal assumptions on which the company relied in making or not making provisions for income taxes. However, a company which retains realized capital gains and designates such gains as a distribution to shareholders in accordance with section 852(b)(3)(D) of the Internal Revenue Code shall, on the last day of its taxable year (and not earlier), make provision for taxes on such undistributed capital gains realized during such year.

(2) State the following amounts based on cost for Federal income tax purposes:

(i) Aggregate gross unrealized appreciation for all investments in which there is an excess of value over tax cost;

(ii) The aggregate gross unrealized depreciation for all investments in which there is an excess of tax cost over value;

(iii) The net unrealized appreciation or depreciation; and

(iv) The aggregate cost of investments for Federal income tax purposes.

(i) *Issuance and repurchase by a registered investment company or business development company of its own securities.* Disclose for each class of the company's securities:

(1) The number of shares, units, or principal amount of bonds sold during the period of report, the amount received therefor, and, in the case of shares sold by closed-end management investment companies, the difference, if any, between the amount received and the net asset value or preference in involuntary liquidation (whichever is appropriate) of securities of the same class prior to such sale; and

(2) The number of shares, units, or principal amount of bonds repurchased during the period of report and the cost thereof. Closed-end management investment companies shall furnish the following additional information as to securities repurchased during the period of report:

(i) As to bonds and preferred shares, the aggregate difference between cost and the face amount or preference in involuntary liquidation and, if applicable net assets taken at value as of the date of repurchase were less than such face amount or preference, the aggregate difference between cost and such net asset value;

(ii) As to common shares, the weighted average discount per share, expressed as a percentage, between cost of repurchase and the net asset value applicable to such shares at the date of repurchases.

Note to paragraphs (h)(2)(i) and (ii): The information required by paragraphs (h)(2)(i) and (ii) of this section may be based on reasonable estimates if it is impracticable to determine the exact amounts involved.

(j) *Series companies.*

(1) The information required by this part shall, in the case of a person which in essence is comprised of more than one separate investment company, be given as if each class or series of such investment company were a separate investment company; this shall not prevent the inclusion, at the option of such person, of information applicable to other classes or series of such person on a comparative basis, except as to footnotes which need not be comparative.

(2) If the particular class or series for which information is provided may be affected by other classes or series of such investment company, such as by the offset of realized gains in one series with realized losses in another, or through contingent liabilities, such situation shall be disclosed.

(k) *Certificate reserves.*

(1) For companies issuing face-amount certificates subsequent to December 31, 1940 under the provisions of section 28 of the Investment Company Act of 1940 (15 U.S.C. 80a-28), balance sheets shall reflect reserves for outstanding certificates computed in accordance with the provisions of section 28(a) of the Act.

(2) For other companies, balance sheets shall reflect reserves for outstanding certificates determined as follows:

(i) For certificates of the installment type, such amount which, together with the lesser of future payments by certificate holders as and when accumulated at a rate not to exceed 3 1/2 per centum per annum (or such other rate as may be appropriate under the circumstances of a particular case) compounded annually, shall provide the minimum maturity or face amount of the certificate when due.

(ii) For certificates of the fully-paid type, such amount which, as and when accumulated at a rate not to exceed 3 1/2 per centum per annum (or such other rate as may be appropriate under the circumstances of a particular case) compounded annually, shall provide the amount or amounts payable when due.

(iii) Such amount or accrual therefor, as shall have been credited to the account of any certificate holder in the form of any credit, or any dividend, or any interest in addition to the minimum maturity or face amount specified in the certificate, plus any accumulations on any amount so credited or accrued at rates required under the terms of the certificate.

(iv) An amount equal to all advance payments made by certificate holders, plus any accumulations thereon at rates required under the terms of the certificate.

(v) Amounts for other appropriate contingency reserves, for death and disability benefits or for reinstatement rights on any certificate providing for such benefits or rights.

(l) *Inapplicable captions.* Attention is directed to the provisions of §§ 210.4-02 and 210.4-03 which permit the omission of separate captions in financial statements as to which the items and conditions are not present, or the amounts involved not significant. However, amounts involving directors, officers, and affiliates shall nevertheless be separately set forth except as otherwise specifically permitted under a particular caption.

(m) *Swing pricing.* For a registered investment company that has adopted swing pricing policies and procedures, state in a note to the company's financial statements:

- (1) The general methods used in determining whether the company's net asset value per share will swing;
- (2) Whether the company's net asset value per share has swung during the year; and
- (3) A general description of the effects of swing pricing.

[81 FR 82010, Nov. 18, 2016, as amended at 81 FR 82137, Nov. 18, 2016; 83 FR 50202, Oct. 4, 2018; 85 FR 54064, Aug. 31, 2020]

· · > Regulation S-X Rule 6-11, Financial Statements of Funds Acquired or to Be Acquired

946-10-S99-3A The following is the text of Regulation S-X Rule 6-11, Financial Statements of Funds Acquired or to Be Acquired (17 CFR 210.6-11).

(a) *Financial statements required.*

(1) Financial statements described in §§210.3-01 and 210.3-02, or §210.3-18, as applicable, including the schedules specified in §§210.12-01 through 210.12-29 (Article 12), prepared and audited in accordance with Regulation S-X (including the independence standards in §210.2-01 or, alternatively if the fund is not a registrant, the applicable independence standards) for the periods specified in paragraph (b) of this section and the supplemental information specified in paragraph (d) of this section must be filed if any of the following conditions exist:

- (i) During the most recent fiscal year or subsequent interim period for which a balance sheet is required by §210.3-01 or §210.3-18, a fund acquisition has occurred; or
- (ii) After the date of the most recent balance sheet filed pursuant to §210.3-01 or §210.3-18 or, if no relevant balance sheet has been filed in connection with a post-effective amendment for a new series submitted pursuant to §230.485(a)(2) of this chapter (Rule 485(a)(2) under the Securities Act), the filing of such amendment, consummation of a fund acquisition has occurred or is probable.

(2) For purposes of this section:

- (i) The term *fund* includes any investment company as defined in section 3(a) of the Investment Company Act of 1940, including a business development company, or any company that would be an investment company but for the exclusions provided by

sections 3(c)(1) or 3(c)(7) of that Act, or any private account managed by an investment adviser.

(ii) The determination of whether a fund has been acquired or will be acquired should be evaluated in light of the facts and circumstances involved. Among the facts and circumstances which should be considered in evaluating whether a fund acquisition has occurred or will occur are whether it will result in the acquisition by the registrant of all or substantially all of the portfolio investments held by another fund.

(3) Acquisitions of a group of related funds that are probable or that have occurred subsequent to the latest fiscal year-end for which audited financial statements of the registrant have been filed will be treated under this section as if they are a single acquisition. For purposes of this section, funds will be deemed to be related if:

- (i) They are under common control or management;
- (ii) The acquisition of one fund is conditional on the acquisition of each other fund; or
- (iii) Each acquisition is conditioned on a single common event.

(4) This section does not apply to a fund which is totally held by the registrant prior to consummation of the transaction.

(b) *Periods to be presented.*

(1) If securities are being registered to be offered to the security holders of the fund to be acquired, the financial statements specified in §§210.3-01 and 210.3-02 or §210.3-18 for the fund to be acquired and the supplemental information specified in paragraph (d) of this section must be filed, except as provided otherwise for filings on Form N-14 (§239.23 of this chapter). The financial statements covering the fiscal year must be audited except as provided in Item 14 of Schedule 14A (§240.14a-101 of this chapter) with respect to certain proxy statements or in registration statements filed on Form N-14 (§239.23 of this chapter).

(2) In all cases not specified in paragraph (b)(1) of this section, financial statements of the fund acquired or to be acquired for the periods specified in this paragraph (b)(2) or such shorter period as the fund has been in existence and the supplemental information specified in paragraph (d) of this section must be filed. Whether such financial statements and supplemental information are to be filed must be determined using the conditions specified in the definition of significant subsidiary in §210.1-02(w)(2)(i) and (w)(2)(ii)(B) as follows:

- (i) If none of the conditions set forth in §210.1-02(w)(2)(i) and (w)(2)(ii)(B), substituting 20 percent for 10 percent each place it appears therein, are satisfied, the financial statements and supplemental financial information in paragraph (d) of this section are not required.
- (ii) If any of the conditions set forth in §210.1-02(w)(2)(i) and (w)(2)(ii)(B), substituting 20 percent for 10 percent each place it appears therein, are satisfied, the financial statements of the acquired fund must be filed. If the acquired fund is subject to §210.3-18, then the financial statements for the periods described therein must be filed. For all other acquired funds, the financial statements for the most recent fiscal year and the most recent interim period must be filed. The registrant must also provide the supplemental financial information in paragraph (d) of this section.
- (iii) If the aggregate impact of funds acquired or to be acquired since the date of the most recent audited balance sheet filed for the registrant, for which financial statements are not required by paragraph (b)(2)(i) of this section, satisfies any of the conditions set forth in §210.1-02(w)(2)(i) and (w)(2)(ii)(B), substituting 50 percent for 10 percent each place it appears therein, the registrant must provide financial statements for any fund acquired or to be acquired for which financial statements are not yet required by paragraph (b)(2)(i) of this section. If any of the acquired funds are subject to §210.3-18, then the financial statements for the periods described therein must be filed. For any

other acquired funds, the financial statements for the most recent fiscal year and the most recent interim period must be filed. The registrant must also provide the supplemental financial information in paragraph (d) of this section for such funds.

(3) The determination must be made by comparing the most recent annual financial statement of each such fund, or for acquisitions each group of related funds on a combined basis, to the registrant's most recent annual financial statements filed at or prior to the date of acquisition. However, the determination may be made by using pro forma amounts as calculated by the registrant for the periods specified in §210.1-02(w)(2) that only give effect to an acquisition consummated after the latest fiscal year-end for which the registrant's financial statements are required to be filed when the registrant has filed audited financial statements of such acquired fund and provided the supplemental financial information for the periods required by this section.

(4) Separate financial statements of the acquired fund and the supplemental information specified in paragraph (d) of this section need only to be filed once and not included in any subsequent filing or shareholder report.

(c) *Acquisitions involving private funds or private accounts.* If the fund acquired or to be acquired would be an investment company under the Investment Company Act but for the exclusion provided from that definition by either sections 3(c)(1) or 3(c)(7) of that Act, then the required financial statements may comply with U.S. Generally Accepted Accounting Principles and only Article 12. In situations of any private account managed by an investment adviser provide the schedules specified in Article 12 for the assets acquired or to be acquired.

(d) *Supplemental financial information.*

(1) Supplemental financial information must consist of:

(i) A table showing the current fees for the registrant and the acquired fund and pro forma fees, if different, for the registrant after giving effect to the acquisition using the format prescribed in the appropriate registration statement under the Investment Company Act;

(ii) If the transaction will result in a material change in the acquired fund's investment portfolio due to investment restrictions, a schedule of investments of the acquired fund modified to reflect such change and accompanied by narrative disclosure describing the change; and

(iii) Narrative disclosure about material differences in accounting policies of the acquired fund when compared to the registrant.

(2) With respect to any fund acquisition, registered investment companies and business development companies must provide the supplemental financial information required in this section in lieu of any pro forma financial information required by §§210.11-01 through 210.11-03 .

[85 FR 54064, Aug. 31, 2020]

> SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 5.D, Organization and Offering Expenses and Selling Commissions—Limited Partnerships Trading in Commodity Futures

946-10-S99-4 The following is the text of SAB Topic 5.D, Organization and Offering Expenses and Selling Commissions—Limited Partnerships Trading in Commodity Futures.

Facts: Partnerships formed for the purpose of engaging in speculative trading in commodity futures contracts sell limited partnership interests to the public and frequently have a general partner who is an affiliate of the partnership's commodity broker or the principal underwriter selling the limited partnership interests. The commodity broker or a subsidiary typically assumes the liability for all or part of the organization and offering expenses and selling commissions in connection with the sale of limited partnership interests. Funds raised from the sale of partnership interests are deposited in a margin account with the commodity broker and are invested in Treasury Bills or similar securities. The arrangement further provides that interest earned on the investments for an initial period is to be retained by the broker until it has been reimbursed for all or a specified portion of the aforementioned expenses and commissions and that thereafter interest earned accrues to the partnership.

In some instances, there may be no reference to reimbursement of the broker for expenses and commissions to be assumed. The arrangements may provide that all interest earned on investments accrues to the partnership but that commissions on commodity transactions paid to the broker are at higher rates for a specified initial period and at lower rates subsequently.

Question 1: Should the partnership recognize a commitment to reimburse the commodity broker for the organization and offering expenses and selling commissions?

Interpretive Response: Yes. A commitment should be recognized by reducing partnership capital and establishing a liability for the estimated amount of expenses and commissions for which the broker is to be reimbursed.

Question 2: Should the interest income retained by the broker for reimbursement of expenses be recognized as income by the partnership?

Interpretive Response: Yes. All the interest income on the margin account investments should be recognized as accruing to the partnership as earned. The portion of income retained by the broker and not actually realized by the partnership in cash should be applied to reduce the liability for the estimated amount of reimbursable expenses and commissions.

Question 3: If the broker retains all of the interest income for a specified period and thereafter it accrues to the partnership, should an equivalent amount of interest income be reflected on the partnership's financial statements during the specified period?

Interpretive Response: Yes. If it appears from the terms of the arrangement that it was the intent of the parties to provide for full or partial reimbursement for the expenses and commissions paid by the broker, then a commitment to reimbursement should be recognized by the partnership and an equivalent amount of interest income should be recognized on the partnership's financial statements as earned.

Question 4: Under the arrangements where commissions on commodity transactions are at a lower rate after a specified period and there is no reference to reimbursement of the broker for expenses and commissions, should recognition be given on the partnership's financial statements to a commitment to reimburse the broker for all or part of the expenses and commissions?

Interpretive Response: If it appears from the terms of the arrangement that the intent of the parties was to provide for full or partial reimbursement of the broker's expenses and commissions, then the estimated commitment should be recognized on the partnership's financial statements. During the specified initial period commissions on commodity transactions should be charged to operations at the lower commission rate with the difference applied to reduce the aforementioned commitment.

946 Financial Services—Investment Companies

20 Investment Company Activities

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-20-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Front-End Load	Added	Accounting Standards Update No. 2014-06	03/14/2014
	946-20-05-1	Amended	Accounting Standards Update No. 2013-08	06/07/2013
	946-20-05-1A through 05-1E	Added	Accounting Standards Update No. 2013-08	06/07/2013
	946-20-05-1D	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	946-20-25-1	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
	946-20-25-4	Amended	Accounting Standards Update No. 2024-02	03/29/2024
	946-20-50-1	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
	946-20-50-11	Amended	Accounting Standards Update No. 2023-06	10/09/2023
	946-20-50-15	Added	Accounting Standards Update No. 2013-08	06/07/2013
	946-20-50-16	Added	Accounting Standards Update No. 2013-08	06/07/2013

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-20-05-1 This Subtopic addresses accounting for certain activities engaged in by investment companies.

- a. [Subparagraph superseded by Accounting Standards Update No. 2013-08.](#)
- b. [Subparagraph superseded by Accounting Standards Update No. 2013-08.](#)
- c. [Subparagraph superseded by Accounting Standards Update No. 2013-08.](#)
- d. [Subparagraph superseded by Accounting Standards Update No. 2013-08.](#)
- e. [Subparagraph superseded by Accounting Standards Update No. 2013-08.](#)
- f. [Subparagraph superseded by Accounting Standards Update No. 2013-08.](#)

> Background Information about Investment Company Activities

946-20-05-1A Typically, an investment company sells its ownership interests, invests the proceeds to achieve its investment objectives, and provides returns to its investors from the net income earned on its investments and net gains realized on the disposal of its investments.

946-20-05-1B Several kinds of investment companies exist: management investment companies, unit investment trusts, common (collective) trust funds, exchange-traded funds, investment partnerships, certain separate accounts of life insurance companies, and offshore funds. Management investment companies may be open-end funds (commonly known as mutual funds), [closed-end funds](#), special purpose funds, venture capital investment companies, small business investment companies, and business development companies. Investment companies are organized as corporations (in the case of mutual funds, under the laws of certain states that authorize the issuance of common shares redeemable on demand of individual shareholders), common law trusts (sometimes called business trusts), limited partnerships, limited liability investment partnerships and companies, and other more specialized entities, such as separate accounts of insurance companies that are not in themselves legal entities.

946-20-05-1C Once an investment company has been organized to do business, it usually engages immediately in its planned principal operations, that is, the sale of capital stock and investment of funds. Employee training, development of markets for the sale of capital stock, and similar activities are usually performed by the investment adviser or other agent, and the costs of these activities are not borne directly by the investment company. However, an investment company, particularly one not engaging an agent to manage its portfolio and to perform other essential functions, may engage in such activities and may bear those costs directly during its development stage.

946-20-05-1D Multiple-class funds issue more than one class of shares. Each class of shares typically has a different kind of sales charge, such as a [front-end load](#), [contingent-deferred sales load](#), [12b-1](#) fee (referring to Rule 12b-1 in Chapter 17 of the Code of Federal Regulations, which implements the

Investment Company Act of 1940), or combinations thereof. Multiple-class funds may charge different classes of shares for specific or incremental expenses, such as transfer-agent, registration, and printing expenses related to each class.

946-20-05-1E

Venture capital investment companies, including most small business investment companies and private equity investment companies, differ from other types of investment companies. The typical open-end or closed-end investment company is a more passive investor, whereas a venture capital investment company is more actively involved with its investees. In addition to providing funds, whether in the form of loans or equity, a venture capital investment company often provides technical and management assistance to its investees as needed and requested. That assistance is provided for maximizing the overall value of the investment rather than for other benefits. The portfolio of a venture capital investment company may be illiquid by the very nature of the investments, which are usually securities with no public market. Often, gains on those investments are realized over a relatively long holding period. The nature of the investments therefore requires valuation procedures that may differ from those used by the typical investment company primarily addressed by this Subtopic. Venture capital investment companies also may incur liabilities not generally found in other investment companies.

> Payments by Affiliates

946-20-05-2

Affiliates may make payments to a fund related to investment losses for either of the following reasons:

- a. Payments by affiliates. To reimburse the effect of a loss (realized or unrealized) on a portfolio investment, often caused by a situation outside the fund's, or its affiliates', direct control, such as an issuer default or a decline in [fair value](#).
- b. Investment restriction violations (investments not meeting investment guidelines). Occasionally, a fund adviser may purchase an investment for a fund that clearly violates the fund's investment restrictions (investment restrictions are described in the prospectus or statement of additional information for registered funds and in partnership agreements or offering memorandums for nonregistered funds). The investment held in violation of the fund's investment restrictions may appreciate or depreciate in value. In the case where the investment has depreciated in value and the fund has consequently incurred a loss, the fund adviser may make a payment to the fund in lieu of settlement of a potential claim resulting from the violation of the fund's investment restrictions. This payment, in effect, makes the fund whole relative to the loss that it has incurred. This type of transaction is in essence a payment to put the fund's shareholders in the position they would have been in had the violation not occurred.

946-20-05-3

Payments by affiliates may take several forms, such as any of the following:

- a. A direct cash contribution to the fund to offset the effect of a realized loss on a portfolio investment
- b. Purchase of securities from the fund at prices in excess of the securities' current fair value
- c. Provision of a credit enhancement to maintain the investment's value.

> Certain Distribution Costs

946-20-05-4

Open-end investment companies, also known as funds, are permitted to finance the distribution of their shares under a plan pursuant to Rule [12b-1](#) in Chapter 17 of the Code of Federal Regulations. (Rule 12b-1 is one of the regulations implementing the Investment Company Act of 1940.) Under Rule 12b-1, a fund's board of directors is required to perform an annual review of the plan and determine whether to continue or terminate it. Under a [traditional 12b-1 plan](#), a fund's [distributor](#) may be compensated or reimbursed for its [distribution costs](#) or efforts through any of the following methods:

- a. A 12b-1 fee, payable by the fund, based on an annual percentage of the fund's average net assets (a [compensation plan](#)) or based on an annual percentage of the fund's average net assets limited to actual costs incurred, after deducting [contingent-deferred sales loads](#) received by the distributor (a [reimbursement plan](#)). Therefore, a compensation plan differs from a reimbursement plan only in that the latter provides for annual or cumulative limits, or both, on fees paid. Fees for both kinds of plans are treated as expenses in a fund's statement of operations.
- b. A front-end load, which is assessed on purchasing shareholders at the time fund shares are sold.
- c. A contingent-deferred sales load imposed directly on redeeming shareholders. The contingent-deferred sales load usually is expressed as a percentage, which declines with the passage of time, of the lesser of redemption proceeds or original cost. The contingent-deferred sales load normally ranges from 4 percent to 6 percent and typically is reduced by 1 percent (for example, from 6 percent to 5 percent) a year until the sales charge reaches 0 percent.

946-20-05-5 Rule [12b-1](#) plans historically have provided that a fund's board of directors may terminate the plan with no penalty to the fund. (Termination of the plan does not necessitate termination of the fund.) Redeeming shareholders still would be subject to the contingent-deferred sales load, which would be paid to the distributor that sold the shares to those shareholders. However, with a traditional 12b-1 plan, the 12b-1 fees normally would be discontinued on plan termination. Some traditional reimbursement 12b-1 plans provide that, when the plan is terminated, the fund's board of directors has the option, but not the requirement, to pay the distributor for any costs incurred by the distributor in excess of the cumulative contingent-deferred sales load and 12b-1 fees the distributor has received. Such a plan is referred to as a [board-contingent plan](#). Under traditional reimbursement 12b-1 plans, including board-contingent plans, contingent-deferred sales load payments by shareholders continue to be remitted to the distributor until [excess costs](#) are fully recovered, after which the contingent-deferred sales load payments usually are remitted to the fund instead of the distributor.

946-20-05-6 With an [enhanced 12b-1 plan](#), the fund is required to continue paying the 12b-1 fee after termination of the plan to the extent the distributor has excess costs. Contingent-deferred sales load payments by shareholders would continue to be remitted to the distributor to further offset excess costs. Thus, the major distinction between traditional and enhanced 12b-1 plans is the requirement for the fund to continue such payments upon plan termination.

946-20-05-7 The following table summarizes the 12b-1 plan attributes.

	Compensation	Traditional		Enhanced
		Reimbursement		
		Nonboard Contingent	Board Contingent	
Annual review and approval of plan by board, with ability to terminate plan	X	X	X	X
Fund Payment Terms ^(a)				
Payment based on average net assets	X	X	X	X
Annual or cumulative limitation, or both, based on actual distribution costs		X	X	X
Upon termination of 12b-1 plan, board has option, but not obligation, to pay excess costs			X	
Upon termination of 12b-1 plan, fund is required to continue paying 12b-1 fee to the extent the distributor has excess costs				X

(a) Excludes front-end and contingent deferred sales load payments, which are made by shareholders and not the fund.

> Expense Limitation Agreements

946-20-05-8 Some expense limitation agreements may provide that reimbursements by the fund adviser of expenses incurred by the fund in excess of the maximum permitted by the prospectus or offering document will be carried over to a future period and reimbursed to the fund adviser when, and to the extent that, the total expense ratio falls below the permitted maximum. Such agreements may provide

that reimbursement of excess expenses to the fund adviser is not required after a specified date or upon conclusion of a specified period from the time the fund initially incurred, or the adviser initially reimbursed, the expenses, such as three years. Under most excess expense plans, a fund is obligated to repay a servicer for expenses incurred previously only if, during a defined period, the fund retains the service provider and can reduce its expense ratio to a low enough level to permit payment, and maintain that ratio at a sufficiently low level thereafter. Many substantive conditions could cause the fund to have no obligation to the servicer, including failure to attract assets, significant redemptions of shares by investors, market depreciation, and significant increases in other expenses, all of which could drive expenses up to or beyond the maximum under which payment would otherwise be made.

> Brokerage Service Arrangements

946-20-05-9 An investment company may have a brokerage service arrangement with a broker-dealer or an affiliate of a broker-dealer under which the broker-dealer (or its affiliate), in connection with the investment company's brokerage transactions directed to the broker-dealer, provides or pays for services to the investment company (other than brokerage and research services as those terms are used in section 28(e) of the Securities Exchange Act of 1934).

> General Partner Advisory Services

946-20-05-10 Investment companies organized as limited partnerships typically receive advisory services from the general partner. For such services, a number of partnerships pay fees chargeable as expenses to the partnership, whereas others allocate net income from the limited partners' capital accounts to the general partner's capital account, and still others employ a combination of the two methods.

> Fee Waivers

946-20-05-11 An adviser or a third party may voluntarily or involuntarily waive its fee and reimburse expenses (waivers). An example of an involuntary waiver is when the advisory agreement (or other regulation or agreements that are either outside the adviser's control or require shareholder approval) provides that the adviser should reimburse the investment company for expenses in excess of a specified percentage of average net assets.

> Portfolio Insurance

946-20-05-12 Many municipal bond funds, primarily those organized as unit investment trusts with fixed portfolios, arrange for insurance for the payment of principal and interest when due. The insurance applies to portfolio securities only while they are owned by the fund, and its coverage is not transferable to buyers of the securities. That arrangement differs from those in which the issuer of the securities acquires the insurance, making the insurance feature an element of the securities and transferable on changes in ownership.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

946-20-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

12b-1

Rule 12b-1 in Chapter 17 of the Code of Federal Regulations is one of the regulations implementing the Investment Company Act of 1940.

[Board-Contingent Plan](#)

A reimbursement 12b-1 plan that provides that, on the plan's termination, a fund's board of directors has the option, but not the requirement, to pay the distributor for any excess costs incurred by the distributor.

Closed-End Funds

Closed-end funds are investment companies that issue a fixed number of shares (that generally trade on an open market) to raise capital, similar to the way in which an entity sells stock in an initial public offering.

Compensation Plan

A plan that provides for a 12b-1 fee, payable by the fund, based on a percentage of the fund's average net assets. The 12b-1 fee may be more or less than the costs incurred by the distributor.

Contingent-Deferred Sales Load

A sales charge imposed directly on redeeming shareholders based on a percentage of the lesser of the redemption proceeds or original cost. The percentage may decrease or be eliminated based on the duration of share ownership (frequently decreases by 1 percent a year). Also referred to as back-end load.

Current Shareholders

Shareholders of a fund, or a class of shares of a fund, at an evaluation or measurement date. Amounts attributable to current shareholders are based on shares outstanding at that date and do not include estimates of future reinvestments or other share purchases.

Distribution Costs

Costs, as defined in a distribution agreement between a distributor and a fund, incurred by a distributor in distributing a fund's shares. Such costs may include commission payments to sales representatives, promotional materials, overhead allocations, and interest.

Distributor

Usually the principal underwriter that sells the fund's capital shares by acting as an agent (intermediary between the fund and an independent dealer or the public) or as a principal, buying capital shares from the fund at net asset value and selling shares through dealers or to the public (see definition of underwriter in section 2(a)(40) of the Investment Company Act of 1940).

Enhanced 12b-1 Plan

A reimbursement [12b-1](#) plan that provides that, on termination of the plan, the fund is required to continue paying the 12b-1 fee to the extent the distributor has excess costs.

Excess Costs

The cumulative distribution costs incurred by the distributor less the sum of cumulative 12b-1 fees paid, cumulative contingent-deferred sales load payments, and future cumulative contingent-deferred sales load payments by current shareholders, if reasonably estimable.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Front-End Load

A sales commission or charge payable at the time of purchase of mutual fund shares.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Net Asset Value per Share

Net asset value per share is the amount of net assets attributable to each share of capital stock (other than senior equity securities, that is, preferred stock) outstanding at the close of the period. It excludes the effects of assuming conversion of outstanding convertible securities, whether or not their conversion would have a diluting effect.

Offering Costs

Offering costs include all of the following:

- a. Legal fees pertaining to the investment company's shares offered for sale
- b. Securities and Exchange Commission (SEC) and state registration fees
- c. Underwriting and other similar costs
- d. Costs of printing prospectuses for sales purposes
- e. Initial fees paid to be listed on an exchange
- f. Tax opinion costs related to offering of shares
- g. Initial agency fees of securing the rating for bonds or preferred stock issued by closed-end funds.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Persistence

The length of time a shareholder owns shares of a particular fund or class of shares of a fund before redemption.

Reimbursement Plan

A plan that provides for a 12b-1 fee, payable by the fund, that may not exceed the lesser of an annual percentage of the fund's average net assets or actual costs incurred by the distributor net of contingent-deferred sales load received by the distributor.

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Return of Capital

Distributions by investment companies in excess of tax-basis earnings and profits.

Traditional 12b-1 Plan

A compensation or reimbursement plan pursuant to Rule [12b-1](#) that permits the use of a fund's assets to pay distribution-related expenses under certain conditions. The 12b-1 fees under traditional 12b-1 plans are normally discontinued upon plan termination, but may continue to be paid after plan termination under a board-contingent plan.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

946-20-25-1 [Paragraph superseded by Accounting Standards Update No. 2013-08.](#)

> Payments by Affiliates

946-20-25-2 A credit enhancement provided by an affiliate to maintain an investment's value shall be recognized when the enhancement becomes available to the fund.

> Certain Distribution Costs

946-20-25-3 The guidance in this paragraph applies to annual and interim financial statements of investment companies that adopt plans that comply with Rule [12b-1](#). A liability, with a corresponding charge to expense, shall be recognized by a fund with an [enhanced 12b-1 plan](#) for [excess costs](#). A liability for excess costs, computed in the same way as for an enhanced 12b-1 plan, shall be recorded by a fund with a [board-contingent plan](#) when the fund's board commits to pay such costs. Example 1 (see paragraph [946-20-55-1](#)) illustrates this guidance.

> Expense Limitation Agreements

946-20-25-4 A liability for excess expenses shall be recognized if, and to the extent that, the expense limitation agreement's established terms for repayment of the excess expenses to the adviser by the fund and the attendant circumstances meet the criteria in paragraphs 36(a), 36(b), and 36(c) of FASB Concepts Statement No. 6, Elements of Financial Statements, and the criteria in paragraph [450-20-25-2](#). In most instances, a liability will not be recorded because it is not likely that excess expenses under such plans will meet those criteria before amounts are actually due to the adviser under the reimbursement agreement. If an assessment of the specific circumstances (such as an agreement to reimburse for either an unlimited period or a period substantially greater than that necessary for the fund to demonstrate its economic viability or an obligation to reimburse the servicer remains even after the cancellation of the fund's contract with the servicer) indicates that those criteria are met, a liability shall be recorded.

 PENDING CONTENT


Transition Date: P December 16, 2024; N December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

A liability for excess expenses shall be recognized if, and to the extent that, the expense limitation agreement's established terms for repayment of the excess expenses to the adviser by the fund and the attendant circumstances meet all of the following criteria:

- a. The excess expense or expenses embody a present duty or responsibility to one or more other entities that entails settlement by probable future transfer or use of assets at a specified or determinable date, on occurrence of a specified event, or on demand.
- b. The duty or responsibility obligates a particular entity, leaving it little or no discretion to avoid the future sacrifice.
- c. The transaction or other event obligating the entity has already happened.
- d. The guidance in paragraph [450-20-25-2](#).

In most instances, a liability will not be recorded because it is not likely that excess expenses under such plans will meet those criteria before amounts are actually due to the adviser under the reimbursement agreement. If an assessment of the specific circumstances (such as an agreement to reimburse for either an unlimited period or a period substantially greater than that necessary for the fund to demonstrate its economic viability or an obligation to reimburse the servicer remains even after the cancellation of the fund's contract with the servicer) indicates that those criteria are met, a liability shall be recorded.

> Offering Costs

946-20-25-5 [Offering costs](#) of [closed-end funds](#) and investment partnerships shall be charged to paid-in capital upon sale of the shares or units.

946-20-25-6 Offering costs of open-end investment companies and of closed-end funds with a continuous offering period shall be recognized as a deferred charge.

> Capital Share Transactions

946-20-25-7 Accounting for shareholder transactions of open-end funds differs from the accounting followed by commercial entities in several key aspects. Sales of fund shares are recorded daily by crediting capital stock for the par value of the stock to be issued and additional paid-in capital for the amount paid over the par value; redemptions are recorded daily by debiting those accounts. The offsetting debit (credit), however, is made to an asset (liability) account, typically captioned as receivable for fund shares sold (payable for fund shares redeemed). These entries are made on or as of the date the order to purchase or sell fund shares is received (trade date), not on the day the payment is due (settlement date) as is typical practice for the recording of issuance of equity shares by commercial entities.

946-20-25-8 Investment partnerships shall record capital subscription and redemption commitments as of the date required by the partnership agreement. Cash received before this date shall be recorded as an advance capital contribution liability.

> Dividends

946-20-25-9 Both closed-end and open-end investment companies record distribution liabilities on the ex-dividend date rather than the declaration date. For closed-end investment companies, a purchaser typically is not entitled to a dividend for shares purchased on the ex-dividend date. Open-end investment companies record the liability on the ex-dividend date to properly state the net asset value at which sales and redemptions are made. When large (in excess of 15 percent of a closed-end fund's net asset value) dividends or distributions are declared, it is the policy of some exchanges to postpone the ex-dividend date until the dividend has been paid. In such circumstances, the liability for the dividend distribution would be recorded on the books of the fund on the payment date.

> Performance Fees

946-20-25-10 Performance fees by an investment adviser under an investment advisory agreement shall be accrued at interim dates based on actual performance through the accrual date.

> Portfolio Insurance

946-20-25-11 If insurance applies only to the fund's portfolio, it does not have a measurable [fair value](#) in the absence of default of the underlying securities or of indications of the probability of default and, accordingly, the cost of the policy should be treated as an operating expense.

30 Initial Measurement

 **General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Payments by Affiliates

946-20-30-1 The amount of the payment from a credit enhancement to maintain the investment's value shall be measured initially by the cost of obtaining a similar enhancement in an arm's-length transaction.

> Certain Distribution Costs

946-20-30-2 The guidance in paragraphs [946-20-30-3 through 30-5](#) applies to annual and interim financial statements of investment companies that adopt plans that comply with Rule [12b-1](#).

946-20-30-3 The liability and expense recognized under paragraph [946-20-25-3](#) shall be measured initially in an amount equal to the cumulative [distribution costs](#) incurred by the [distributor](#) less the sum of all of the following:

- a. Cumulative 12b-1 fees paid

- b. Cumulative [contingent-deferred sales load](#) payments
- c. Future cumulative contingent-deferred sales load payments by [current shareholders](#), if reasonably estimable.

946-20-30-4 The liability and expense recognized under paragraph [946-20-25-3](#) shall be measured at its present value, calculated using an appropriate current interest rate, if both of the following criteria are met:

- a. The amount and timing of cash flows are reliably determinable.
- b. The distribution costs are not subject to a reasonable interest charge.

946-20-30-5 If these conditions are not met, the liability recognized under paragraph [946-20-25-3](#) shall be calculated without discounting to present value.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Payments by Affiliates

946-20-35-1 Any subsequent change in the value of a credit enhancement to maintain the investment's value shall be accounted for as unrealized appreciation or depreciation.

> Certain Distribution Costs

946-20-35-2 The guidance in the following paragraph and paragraph [946-20-35-4](#) applies to annual and interim financial statements of investment companies that adopt plans that comply with Rule [12b-1](#).

946-20-35-3 The liability recognized under paragraph [946-20-25-3](#) shall be subsequently measured using the guidance in paragraphs [946-20-30-4](#) through [30-5](#). Changes in the liability shall be recognized in the statement of operations as an expense or reduction in expense.

946-20-35-4 Any future cumulative [contingent-deferred sales load](#) payments shall be based on all of the following:

- a. Current [net asset value per share](#)
- b. The number of shares currently outstanding and the number of years that they have been outstanding
- c. Estimated shareholder [persistence](#) based on historical fund data or, if historical fund data are not available, group or industry data for a similar class of shares.

> Offering Costs

946-20-35-5 [Offering costs](#) recognized as a deferred charge under paragraph [946-20-25-6](#) shall be amortized to expense over 12 months on a straight-line basis when operations begin.

946-20-35-6 Offering costs of unit investment trusts shall be charged to paid-in capital on a pro rata basis as the units or shares are issued or sold by the trust (when the units are purchased by the underwriters). Units sold to underwriters on a firm basis are considered sold by the trust, and the offering costs associated with those units shall be charged to paid-in capital when the units are purchased by the underwriters. Offering costs that remain unamortized at the end of the year shall be reviewed for impairment. (For guidance concerning organization and offering costs, see Subtopic [720-15](#).)

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Offering Costs

946-20-40-1 [Offering costs](#) of unit investment trusts that have not yet been charged to paid-in capital shall be written off when it is no longer probable that the shares to which the offering costs relate will be issued in the future. It is presumed that those costs will not have a future benefit one year from the initial offering.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Payments by Affiliates

946-20-45-1 Payments made by affiliates for the two reasons in paragraph [946-20-05-2](#) shall be combined and reported as a separate line item entitled net increase from payments by affiliates and net gains (losses) realized on the disposal of investments in violation of restrictions in the statement of operations as part of net realized and unrealized gains (losses) from investments and foreign currency. That separate line item would comprise amounts related to all of the following:

- a. Voluntary reimbursements by the affiliate for investment transaction losses
- b. Realized and unrealized losses on investments not meeting the investment guidelines of the fund
- c. Reimbursements from the affiliate for losses on investments not meeting the investment guidelines of the fund
- d. Realized and unrealized gains on investments not meeting the investment guidelines of the fund.

> Certain Distribution Costs

946-20-45-2 The guidance in this paragraph applies to annual and interim financial statements of investment companies that adopt plans that comply with Rule [12b-1](#). An excess of cumulative 12b-1 fees and [contingent-deferred sales load](#) payments to date and future contingent-deferred sales load payments by [current shareholders](#) over the cumulative costs incurred by the [distributor](#) shall not be reported as an asset.

> Brokerage Service Arrangements

946-20-45-3 The relevant expense caption on the statement of operations and the expense ratio in the financial highlights shall include the amount that would have been incurred by the investment company for brokerage services had it paid for the services directly in an arm's-length transaction. Such amounts shall also be shown as a corresponding reduction in total expenses, captioned as fees paid indirectly.

> General Partner Advisory Services

- 946-20-45-4** The amounts of any payments or allocations for advisory services from the general partner shall be presented in either the statement of operations or the statement of changes in partners' capital.

> Expense Offset Arrangements

- 946-20-45-5** Expense offset arrangements, under which a third party explicitly reduces its fees by a specified or readily ascertainable amount for services provided to the investment company in exchange for use of the investment company's assets, shall be presented in the statement of operations, the expense ratio in the financial highlights, and notes to financial statements in the same manner as brokerage service arrangements.

> Small Business Investment Companies

- 946-20-45-6** The unique features (primarily the existence of significant debt) of small business investment companies often make it desirable that their financial statements be presented in a conventional balance sheet format.

> Venture Capital Investment Companies

- 946-20-45-7** Though all venture capital investment companies shall prepare their financial statements in conformity with generally accepted accounting principles (GAAP), the statement presentation of some venture capital investment companies may need to be tailored to present the information in a manner most meaningful to their particular group of investors. For example, if debt is a significant item, a balance sheet might be more appropriate than a statement of net assets.

50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 946-20-50-1** [Paragraph superseded by Accounting Standards Update No. 2013-08.](#)

> Payments by Affiliates

- 946-20-50-2** The amounts and circumstances of payments by affiliates to reimburse the fund for losses on investment transactions shall be described in the notes to financial statements. The gains and losses on investments not meeting investment guidelines of the fund shall also be disclosed in the notes to financial statements. In addition, the effect on total return of the payments, as well as any gains or losses on investments not meeting investment guidelines of the fund, shall be quantified and disclosed in the financial highlights in a manner similar to disclosure of the effect of voluntary waivers

of fees and expenses on expense ratios. (See Subtopic [850-10](#).) Total return shall be presented in the financial highlights.

> Certain Distribution Costs

946-20-50-3 The guidance in this paragraph applies to annual and interim financial statements of investment companies that adopt plans that comply with Rule [12b-1](#). For both [board-contingent plans](#) and [enhanced 12b-1 plans](#), funds shall disclose in their financial statements the principal terms of such plans and any plan provisions permitting or requiring payments of [excess costs](#) after plan termination. For board-contingent and enhanced plans, the aggregate amount of [distribution costs](#) subject to recovery through future payments by the fund pursuant to the plan and through future [contingent-deferred sales load](#) payments by [current shareholders](#) shall be disclosed. For enhanced plans, funds shall disclose the methodology used to estimate future contingent-deferred sales load payments by current shareholders.

946-20-50-4 If a 12b-1 distribution [reimbursement plan](#) provides for the carryover of unreimbursed costs to subsequent periods, the terms of reimbursement and the unreimbursed amount shall be disclosed.

> General Partner Advisory Services

946-20-50-5 The method of computing payments or allocations for advisory services from the general partner shall be described in the notes to financial statements.

> Expense Limitation Agreements

946-20-50-6 The existence of reimbursement agreements and the carryover of excess expenses potentially reimbursable to the adviser but not recorded as a liability shall be disclosed in the notes to financial statements.

> Fee Waivers

946-20-50-7 All voluntary and involuntary fee waivers shall be disclosed on the face of the statement of operations as a reduction of total expenses. The expense ratio in the financial highlights shall be shown net of voluntary and involuntary waivers. The effect of only voluntary waivers on the expense ratio shall be disclosed (either as the basis point effect on the ratio or as the gross expense ratio) in a note to, or as part of, the financial highlights. In addition, the terms of all voluntary and involuntary waivers shall be disclosed in the notes to financial statements.

> Dividends

946-20-50-8 Dividends paid to investors shall be disclosed as a single line item in the statement of changes in net assets, except tax [return of capital](#) distributions, which shall be disclosed separately. The notes shall disclose the tax basis components of the dividends paid (that is, either from ordinary income, capital gains, or tax return of capital). Disclosing dividends on a tax basis is consistent with how dividends are reported to shareholders during and at the end of the calendar year. The financial highlights table would disclose per-share information that is consistent with the statement of changes in net assets.

946-20-50-9 Dividends from affiliates and controlled companies shall be disclosed.

- 946-20-50-10** If management of a fund determines that a tax return of capital is likely to occur for the fund's fiscal year, although the exact amount may not be estimable, that fact shall be disclosed in a note to the interim financial statements.

> Components of Capital and Distributable Earnings

- 946-20-50-11** This guidance requires all investment companies to disclose only two components of capital on the balance sheet: shareholder capital and distributable earnings. The components of distributable earnings, on a tax basis, shall be disclosed in a note to financial statements. This information enables investors to determine the amount of accumulated and undistributed earnings they potentially could receive in the future and on which they could be taxed.

 PENDING CONTENT



Transition Date:  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

This guidance requires all investment companies to disclose two components of capital on the balance sheet: shareholder capital and distributable earnings. The components of distributable earnings, on a tax basis, shall be disclosed in a note to financial statements. This information enables investors to determine the amount of accumulated and undistributed earnings they potentially could receive in the future and on which they could be taxed.

- 946-20-50-12** The notes shall disclose all of the following tax-basis components of distributable earnings as of the most recent tax year end:
- Undistributed ordinary income
 - Undistributed long-term capital gains
 - Capital loss carryforwards
 - Unrealized appreciation (depreciation).
- 946-20-50-13** Paragraphs [946-740-35-1](#) and [946-740-50-1](#) require that, if a provision for deferred income taxes on unrealized appreciation exists, it be charged against the unrealized gains account and disclosed as such in the statement of operations. Explanations shall be provided for the differences between the total of these amounts and distributable earnings (accumulated losses).
- 946-20-50-14** Investment partnerships and other pass-through entities shall aggregate all elements of equity into partners' capital, because the results from operations are deemed distributed to each partner.

> Financial Support to Investees

- 946-20-50-15** If, during the periods presented, an investment company provides financial support to an investee, it shall disclose information about both of the following items, disaggregated by financial support that it was contractually required to provide and financial support that it was not previously contractually required to provide:
- The type and amount of financial support provided, including situations in which the investment company assisted the investee in obtaining financial support
 - The primary reasons for providing the financial support.
- 946-20-50-16** An investment company also shall separately disclose both of the following items about financial support that it is contractually required to provide to any of its investees but has not yet provided:

- a. The type and amount of financial support to be provided, including situations in which the investment company must assist the investee in obtaining financial support
- b. The primary reasons for the contractual requirement to provide the financial support.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Disclosure of Payments by Affiliates

946-20-55-1 This Example illustrates application of the guidance in paragraph [946-20-50-2](#). An entity might disclose the following.

In 20XX, a.aa% of the fund's total return consists of a voluntary reimbursement by the adviser for a realized investment loss, and another b.bb% consists of a gain on an investment not meeting the fund's investment restrictions. Excluding these items, total return would have been c.cc%. Additionally, the adviser fully reimbursed the fund for a loss on a transaction not meeting the fund's investment guidelines, which otherwise would have reduced total return by d.dd%.

946 Financial Services—Investment Companies

205 Presentation of Financial Statements

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-205-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	946-205-45-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	946-205-45-1	Amended	Maintenance Update 2016-05 	04/12/2016
	946-205-45-3	Amended	Maintenance Update 2018-12 	09/10/2018

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-205-05-1	This Subtopic addresses the presentation of financial statements for investment companies, including both of the following matters:	
	a. The statement of changes in net assets	
	b. Financial highlights.	

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some

cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

946-205-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- They are able to enter into a transaction for the asset or liability
- They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Net Asset Value per Share

Net asset value per share is the amount of net assets attributable to each share of capital stock (other than senior equity securities, that is, preferred stock) outstanding at the close of the period. It

excludes the effects of assuming conversion of outstanding convertible securities, whether or not their conversion would have a diluting effect.

Nonmanaging Investors

See [Nonregistered Investment Partnerships—Financial Highlights](#).

Nonregistered Investment Partnerships—Financial Highlights

Nonregistered investment partnerships, when disclosing financial highlights, shall interpret the terms classes, units, and theoretical investments as follows:

- a. **Classes.** Nonregistered investment funds typically have one of the following two classes of ownership interest, with one class being the management interest in the fund and the other being the investment interest:
 1. For unitized funds (that is, funds with units specifically called for in the governing underlying legal or offering documents), the management interest usually is a voting class and the investment interest is a nonvoting class. Temporary series of shares (that is, shares that are intended at the time of issuance to be consolidated at a later date with another specified series of shares that remains outstanding indefinitely) are not considered separate classes. Permanent series of a class of share shall be the basis for which that share's financial highlights are determined and presented.
 2. For nonunitized funds, the management interest usually is the general partner class and the investment interest usually is the limited partner class. Generally, a class has certain rights as governed by underlying legal documents or offering documents and local law. Rights to certain investments that do not otherwise affect the rights available under the underlying legal documents and local law do not ordinarily represent a separate share class. For example, rights to income and gains from a specific investment attributed solely to investors at the date the investment is made (side-pocket investments) are not considered to give rise to a share class. Similarly, a temporary series of shares is not considered a share class.
- b. **Units.** Only funds with units specifically called for in the governing underlying legal or offering documents shall be considered unitized. Some funds may employ units for convenience in making allocations to investors for internal accounting or bookkeeping purposes, but the units are not required or specified by legal or offering documents, and for all other purposes operate like nonunitized investment partnerships. For per-share operating performance, those funds are not considered unitized.
- c. **Theoretical investment.** The term theoretical investment in paragraph [946-205-50-20](#) shall be considered as the actual aggregate amount of capital invested by each reporting class of investor as of the beginning of the fiscal reporting period, adjusted for cash flows related to capital contributions or withdrawals during the period.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity

- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Return of Capital

Distributions by investment companies in excess of tax-basis earnings and profits.

Theoretical Investment

See [Nonregistered Investment Partnerships—Financial Highlights](#).

Unitized

See [Nonregistered Investment Partnerships—Financial Highlights](#).

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

[Related Proposed ASUs](#)

946-205-45-1

The overall objective of financial statements, including financial highlights, of investment companies is to present net assets, results of operations, changes in net assets, and financial highlights resulting from investment activities and, if applicable, from capital share transactions. In reporting to shareholders, investment companies and investment companies registered with the Securities and Exchange Commission (SEC) shall present financial statements and financial highlights as follows.

Nonregistered Investment Companies	Registered Investment Companies
A statement of assets and liabilities with a schedule of investments or a statement of net assets, which includes a schedule of investments therein, as of the close of the latest period. At a minimum, a condensed schedule of investments (as discussed in paragraphs 946-210-50-4 through 50-10) should be provided for each statement of assets and liabilities.	A statement of assets and liabilities with a schedule of investments or a statement of net assets, which includes a schedule of investments therein (that is, a detailed list of investments in securities, options written, securities sold short, and other investments) as of the close of the latest period. ^(b) A schedule of investments should be provided for each statement of assets and liabilities in conformity with SEC Regulation S-X, Rule 12-12 or 12-12C ^(a) .
A statement of operations for the latest period.	A statement of operations for the latest year. ^{(b), (c)}
A statement of cash flows for the latest period (if not exempted by Subtopic 230-10).	A statement of cash flows for the latest year (if not exempted by Subtopic 230-10). ^{(b), (c)}
A statement of changes in net assets for the latest period.	A statement of changes in net assets for the latest two years (for semiannual reports, the most recent semiannual period and preceding fiscal year). ^{(b), (c)}
Financial highlights for the latest period consisting of per share operating performance, net investment income, and expense ratios and total return for all investment companies organized in a manner using unitized net asset value. ^(d)	Financial highlights for the latest five fiscal years ^{(b), (c), (e)} (for semiannual reports, the semiannual period and generally the preceding five fiscal years).

(a) In 2004, the SEC adopted rule and form amendments that among other matters amended Article 6 and Article 12 of SEC Regulation S-X to permit a registered management investment company to include, under Regulation S-X, Rule 12-12C, a summary schedule of investments in securities of unaffiliated issuers in its reports to shareholders, provided that the complete portfolio schedule required by Rule 12-12 is filed with the Securities and Exchange Commission semi-annually and is provided to shareholders upon request free of charge. All other complete portfolio schedules required by Regulation S-X (Rule 12-12A-Investments-securities sold short, Rule 12-12B-Open option contracts written, Rule 12-13-Investments other than securities, and Rule 12-14-Investments in and advances to affiliates) continue to be required in both shareholder reports and SEC Form N-CSR. The amendments also exempt money market funds (which utilize the exemptive requirements of Rule 2a-7 under the 1940 Act) from including a portfolio schedule in reports to shareholders, provided that this information is filed with the SEC on Form N-CSR semi-annually and provided to shareholders upon request, free of charge. See SEC Release No. IC-26372 under the Investment Company Act of 1940 (1940 Act) for additional information and for effective date and compliance date information.

Although that SEC rule allows a money market fund to exclude its portfolio of investments from its shareholder reports, the generally accepted accounting principles (GAAP) requirement in this Guide that a money market fund present, at a minimum, a condensed schedule of investments for each statement of assets and liabilities (see paragraphs 946-210-50-1 through 50-3), has not been modified.

(b) If the most current statement of assets and liabilities included in a registration statement is as of a date more than 245 days prior to the date the filing is expected to become effective, then the financial statements, which may be unaudited, included in such filing are to be updated to a date within 245 days of the expected effective date. A statement of assets and liabilities as of such date must be provided as well as a statement of operations, cash flows (if applicable), and statement of changes in net assets for the interim period from the end of the most recent fiscal year for which a statement of assets and liabilities is presented and the date of the most recent interim statement of assets and liabilities.

(c) The Securities and Exchange Commission staff currently requires that sufficient fiscal periods be presented to cover at least twelve calendar months' results of operations ending on the most recent fiscal year-end date (twenty-four calendar months' changes in net assets; sixty months' financial highlights).

(d) For investment companies not using unitized net asset value, financial highlights should be presented and consist of net investment income and expense ratios and total return, or the internal rate of return since inception if applicable.

(e) Item 13(a) of SEC Form N-1A requires financial highlights to be presented for the latest five years in the fund's prospectus. Item 4 of SEC Form N-2 requires financial highlights to be presented for the latest ten years in the fund's prospectus.

946-205-45-2 For investment companies not using [unitized](#) net asset value, financial highlights shall be presented and consist of net investment income and expense ratios and total return, or the internal rate of return since inception if applicable.

> Statement of Changes in Net Assets

946-205-45-3 The statement of changes in net assets summarizes results from operations, net equalization credits or debits, dividends and distributions to shareholders, capital share transactions, and capital contributions. The increase or decrease in net assets of a registered investment company comprises the following categories:

- Operations. Net investment income or loss, net realized gains or losses from investments and foreign currency transactions, and changes in unrealized appreciation or depreciation on investments and translation of assets and liabilities in foreign currencies, as shown in the statement of operations, shall be presented separately to arrive at the net change in net assets resulting from operations.
- Net equalization debits or credits. If equalization accounting is used, undistributed investment income included in the price of capital shares issued or reacquired shall be shown as a separate line item.
- Distributions to shareholders. Distributions shall be disclosed as a single line item, except for tax [return of capital](#) distributions, which shall be presented separately. Distributions made by

regulated investment companies often differ from aggregate undistributed net investment income (including net equalization credits or debits and undistributed net investment income) determined in accordance with generally accepted accounting principles (GAAP) and accumulated net realized gains (total net realized gains determined in accordance with GAAP). The principal cause is that required minimum fund distributions are based on income and gain amounts determined in accordance with federal income tax regulations, rather than GAAP. The differences created can be temporary, meaning that they will reverse in the future, or they can be permanent. If in a subsequent period all or a portion of a temporary difference becomes a permanent difference, the amount of the permanent difference shall be reclassified to paid-in capital.

· > Complex Capital Structures

946-205-45-4 Management investment companies that have multiple classes of shares or master-feeder structures shall apply all of the following guidance with respect to the statement of changes in net assets:

- a. Multiple class funds. Dividends and distributions paid to shareholders and capital share transactions for each class are required to be presented (or disclosed in the notes to financial statements).
- b. Master-feeder funds:
 1. Master funds. The statement of changes in net assets of a master fund shall report capital transactions from or to feeder funds as contributions and withdrawals, respectively. Dividend distributions are normally not made by the master fund when the master fund is treated as a partnership for tax purposes. In those situations where the master fund is treated as a registered investment company and is taxed either as a corporation or trust, there may be distributions to the feeder funds to eliminate any accumulated taxable income at the master fund level.
 2. Feeder funds. For feeder funds, the standard reporting format for investment companies with simple capital structures is used. If the feeder fund is a multiple-class fund, the guidance for multiple-class funds in (a) and elsewhere in this Topic shall be followed.

· > Investment Partnerships

946-205-45-5 For investment partnerships, the statement of changes in net assets may be combined with the statement of changes in partners' capital if the information in paragraph [946-205-45-3](#) is presented.

· > Nonpublic Investment Companies Involving Master-Feeder Arrangements

946-205-45-6 Nonpublic investment companies may present a complete set of master financial statements with each feeder financial statement, in a manner that is consistent with the requirements for public investment companies.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Financial Highlights

- 946-205-50-1** Financial highlights shall be presented either as a separate schedule or within the notes to financial statements for each class of common shares outstanding.
- 946-205-50-2** Investment companies with multiple classes of shares may present financial highlights only for those classes of shares that are included in reports to such shareholders. In such cases, the investment company shall include appropriate disclosures related to all classes so as to ensure that the financial statements are complete (for example, detail of capital share activity in the statement of changes in net assets or notes to financial statements).
- 946-205-50-3** Nonregistered investment partnerships shall disclose per-share data for all common classes in general-purpose financial statements. However, it is permissible for [financial highlights](#) to be presented only for those classes of shares that are included in reports to those classes.
- 946-205-50-4** Only the classes related to the [nonmanaging investors](#) (that is, classes of investors that do not consist exclusively of managing investor interests) are considered to be the common interests requiring financial highlight disclosure.
- 946-205-50-5** If a fund is not [unitized](#), only investment returns (either total return or internal rate of return) and net investment income and expense ratios shall be disclosed as indicated in paragraphs [946-205-50-10 through 50-25](#).
- 946-205-50-6** The remainder of this guidance is organized according to the nature the item included in the financial highlights as follows:
- Per-share information
 - Ratios
 - Total return
 - Capital commitments.

· > Per-Share Information

- 946-205-50-7** Per-share amounts presented are based on a share outstanding throughout each period presented. The caption descriptions in the per-share data shall be the same captions used in the statement of operations and statement of changes in net assets to allow the reader to determine which components of operations are included in or excluded from various per-share data. All of the following per-share information shall be presented for registered investment companies and for investment companies that compute unitized net asset value:
- Net asset value at the beginning of the period.
 - Per-share net investment income or loss. Other methods, such as dividing net investment income by the average or weighted average number of shares outstanding during the period, are acceptable.
 - Realized and unrealized gains and losses per share, which are balancing amounts necessary to reconcile the change in [net asset value per share](#) with the other per-share information presented. The amount shown in this caption might not agree with the change in aggregate gains and losses for the period. If such is the case, the reasons shall be disclosed.
 - Total from investment operations, which represents the sum of net investment income or loss and realized and unrealized gain or loss.

e. Distributions to shareholders shall be disclosed as a single line item except that tax [return of capital](#) distributions shall be disclosed separately. Details of distributions shall conform to those shown in the statement of changes in net assets.

f. Purchase premiums, redemption fees, or other capital items.

g. Payments by affiliates (see paragraphs [946-20-05-2 through 05-3](#)).

h. Net asset value at the end of the period.

The information required in (b) through (g) is not required for separate accounts that represent an ownership interest in the underlying separate account portfolios or mutual funds.

946-205-50-8 Nonregistered investment partnerships that compute unitized net asset value shall disclose information for each reporting share class related to nonmanaging investors. The information shall be disclosed for each major category affecting net asset value per share (as shown in the statement of operations and statement of changes in net assets of the fund).

946-205-50-9 Paragraph [946-210-45-16](#) provides guidance on the net asset amount that shall be used for purposes of preparing the per-share disclosures required by this Section as the beginning and ending balance in the statement of changes in net assets of the fund.

· > Ratios

946-205-50-10 Ratios of expenses and net investment income to average net assets are generally annualized for periods less than a year.

946-205-50-11 The ratio of expenses to average net assets should be increased by brokerage service and expense offset arrangements (see paragraphs [946-20-45-3](#) and [946-20-45-5](#)).

946-205-50-12 When determining expense and net investment income ratios, nonregistered investment partnerships shall calculate average net assets by using the fund's (or class's) weighted-average net assets as measured at each accounting period or periodic valuation (for example, daily, weekly, monthly, quarterly), adjusting for capital contributions or withdrawals from the fund occurring between accounting periods or valuations. (This paragraph is not intended to require any additional interim accounting period or periodic valuation date beyond that which may be provided in offering or organizational documents of the partnership.)

946-205-50-13 The expense and net investment income ratios shall be calculated by nonregistered investment partnerships based on the expenses allocated to each common or investor class (for example, the limited partner class) before the effects of any incentive allocation. Adequate disclosure shall be made to indicate that the net investment income ratio does not reflect the effects of any incentive allocation. Expenses directly related to the total return of the fund, such as incentive fees, and nonrecurring expenses, such as organizational costs, shall not be annualized when determining the expense ratio. Disclosure shall be made of the expenses that have not been annualized.

946-205-50-14 Generally, the determination of expenses for computing those ratios shall follow the presentation of expenses in the fund's statement of operations. Accordingly, if the manager's or general partner's incentive is structured as a fee rather than an allocation of profits, the incentive fee would be factored into the computation of an expense ratio. Because an incentive allocation of profits is not presented as an expense, it shall not be considered part of the expense ratio. However, to avoid potentially significant inconsistencies in ratio presentations based solely on the structuring of incentives as fees or allocations, all incentives shall be reflected in the disclosure of financial highlights.

946-205-50-15 Additionally, for the expense ratio, disclosure shall be made of the effect of any agreement to waive or reimburse fees and expenses to each reporting class as a whole, as described in paragraph [946-20-50-7](#), and of expense offsets, as described in paragraphs [946-20-45-3](#) and [946-20-45-5](#). Agreements to waive a portion or all of certain fees to a specific investor, which do not relate to the share class as

a whole, do not require disclosure in the financial highlights. However, as ratios are calculated for each common class taken as a whole, the financial statements shall disclose that an individual investor's ratio may vary from those ratios.

· · > Funds-of-Funds

946-205-50-16 Funds-of-funds shall compute the expense and net investment income ratios using the expenses presented in the fund's statement of operations. Therefore, funds-of-funds typically shall compute these ratios based on the net investment income and expense items at the fund-of-funds level only. Adequate disclosure shall be made so that it is clear to users that the ratios do not reflect the funds-of-funds' proportionate share of income and expenses of the underlying investee funds.

946-205-50-17 In a master-feeder structure, the feeder shall include its proportionate share of the income and expenses of the master when computing the ratios at the feeder level. If, in a master-feeder structure, an incentive is levied as an allocation at the master level, the feeder shall present its share of the incentive allocation as a separate line item in the statement of operations.

· > Total Return

946-205-50-18 Total return shall be presented for all investment companies (for interim periods, the disclosure shall include whether or not total return is annualized).

· · > Nonregistered Investment Companies Using Unitized Net Asset Value

946-205-50-19 For nonregistered investment companies organized in a manner using unitized net asset value, total return shall be computed based on the change in the net asset value per share during the period, and assuming that all dividends are reinvested.

· · > Investment Companies Not Using Unitized Net Asset Value

946-205-50-20 For investment companies not using unitized net asset value, including investment partnerships, total return shall be computed based on the change in value during the period of a [theoretical investment](#) made at the beginning of the period. The change in value of a theoretical investment is measured by comparing the aggregate ending value of each class of investor with the aggregate beginning value of each such class, adjusted for cash flows related to capital contributions or withdrawals during the period.

946-205-50-21 If capital cash flows occur during the reporting period, returns are geometrically linked based on capital cash flow dates. In general, geometrically linking requires the computation of performance for each discrete period within a year in which invested capital is constant (that is, for each period between investor cash flow dates), then multiplying those performance computations together to obtain the total return for a constant investment outstanding for the entire year.

946-205-50-22 Because incentive allocations or fees may vary among investors within a class, total return for reporting classes subject to an incentive allocation or fee should report total return before and after the incentive allocation or fee for each reporting class taken as a whole. The effect of incentive allocations on total return is computed on a weighted-average aggregate capital basis. That results in an incentive computation less than the maximum if, for example, certain partners had loss carryovers at the beginning of the period.

· · > Certain Limited-Life Investment Companies

946-205-50-23 An investment company shall disclose the internal rate of return since inception of the investment company's cash flows and ending net assets at the end of the period (residual values) as presented in the financial statements, net of all incentive allocations or fees, to each investor class, as of the

beginning and end of the period, if, by the terms of their offering documents, they meet all of the following criteria:

- a. Have limited lives
- b. Do not continuously raise capital and are not required to redeem their interests upon investor request (obtaining initial capital commitments from investors at time of organization and subsequently drawing on those commitments to make investments is not considered continuous for this purpose)
- c. Have as a predominant operating strategy the return of the proceeds from disposition of investments to investors
- d. Have limited opportunities, if any, for investors to withdraw before termination of the entity
- e. Do not routinely acquire (directly or indirectly) as part of their investment strategy market-traded securities and derivative instruments.

946-205-50-24 A footnote to the financial highlights shall disclose that the internal rate of return since inception of the investment is net of all incentives. The internal rate of return since inception shall be based on a consistent assumption, no less frequently than quarterly, as to the timing of cash inflows and outflows (for example, on actual cash flow dates or cash inflows at the beginning of each month or quarter and cash outflows at the end of each month or quarter). All significant assumptions with respect to the internal rate of return since inception shall be disclosed in the footnotes to the financial highlights.

· > Capital Commitments

946-205-50-25 Investment companies that obtain capital commitments from investors and periodically call capital under those commitments to make investments (principally limited-life, nonregistered investment partnerships) shall disclose in the financial highlights or in a note to financial statements the total committed capital of the partnership (including general partner), the year of formation of the entity, and the ratio of total contributed capital to total committed capital.

> Complex Capital Structures

946-205-50-26 Management investment companies that have multiple classes of shares or master-feeder structures shall apply the following guidance in preparing financial highlights.

· > Multiple-Class Funds

946-205-50-27 Financial highlights, including total return, shall be presented by class except for portfolio turnover, which is calculated at the fund level. The financial highlights for any class for which the shareholders are precluded from investing in may be omitted.

· > Master-Feeder Funds

·· > Feeder Funds

946-205-50-28 The feeder fund's ratios of expenses and net investment income to average net assets shall include the expenses of both the feeder and the master fund. Balance credits earned by the master fund shall be reflected in the feeder fund ratios as if they had been earned by the feeder fund directly. Feeder funds need not disclose a portfolio turnover rate because feeders invest all their assets in the master fund.

·· > Master Funds

946-205-50-29 The financial highlights section of the master fund organized as a partnership is substantially modified, because per share information is not applicable. The master fund financial highlights section

shall include the total return, ratios of expenses and net investment income to average net assets, and portfolio turnover rate. The financial highlights section of master funds not organized as a partnership shall report the normal per-share data.

· > Funds of Funds

946-205-50-30 The financial highlights for the reporting fund in a fund-of-funds structure are usually similar to a standalone feeder fund in a master-feeder structure. Net investment income and expense ratios shall be computed based on the amounts reported in the statement of operations, and portfolio turnover shall be measured based on the turnover of investments made by the reporting fund in the investee funds, not looking through the investee funds to their portfolio activity.

> Separate Accounts

946-205-50-31 Separate accounts with more than two levels of contract charges or net unit values per subaccount may elect to present the required financial highlights for contract expense levels that had units issued or outstanding during the reporting period (including number of units, unit [fair value](#), net assets, expense ratio, investment income ratio, and total return), for either of the following:

- a. Each contract expense level that results in a distinct net unit value and for which units were issued or outstanding during each reporting period
- b. The range of the lowest and highest level of expense ratio and the related total return and unit fair values during each reporting period.

The calculation of the ranges for the total return ratio and unit fair values should correspond to the groupings that produced the lowest and highest expense ratios.

946-205-50-32 The financial highlights table in the separate account's financial statements shall state clearly that the expense ratio considers only the expenses borne directly by the separate account and excludes expenses incurred directly by the underlying funds or charged through the redemption of units.

946-205-50-33 If the ranges of expense ratios, total returns, and unit fair values are presented, the entity should disclose instances in which individual contract values do not fall within the ranges presented (for example, if a new product is introduced late in a reporting period and the total return does not fall within the range).

946-205-50-34 The expense disclosure shall also include ranges of all fees that are charged by the separate account and a description of those fees, including whether they are assessed as direct reductions in unit values or through the redemption of units for all policies contained within the separate account.

S00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-205-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
946-205-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019

S45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Content of Financial Statements

946-205-S45-1 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(a), for requirements pertaining to the content of the financial statements.

> Consolidated and Combined Financial Statements

946-205-S45-2 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(c), for requirements pertaining to consolidated and combined statements.

> Series Companies

946-205-S45-3 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(j), for requirements pertaining to series companies.

> Inapplicable Captions

946-205-S45-4 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(l), for circumstances in which it is permissible to omit certain captions or items.

> Required Schedules

946-205-S45-5 See paragraph [946-205-S99-1](#), Regulation S-X Rule 6-10, for requirements pertaining to the presentation of schedules.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Management Investment Companies

946-205-S50-1 See paragraph [946-205-S99-1](#), Regulation S-X Rule 6-10(c), for supplemental schedules required for management investment companies.

> Unit Investment Trusts

946-205-S50-2 See paragraph [946-205-S99-1](#), Regulation S-X Rule 6-10(d), for supplemental schedules required for unit investment trusts.

> Face-Amount Certificate Investment Companies

946-205-S50-3 See paragraph [946-205-S99-1](#), Regulation S-X Rule 6-10(e), for supplemental schedules required for face-amount certificate investment companies.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 6-10, What Schedules Are to Be Filed

946-205-S99-1 The following is the text of Regulation S-X Rule 6-10, What Schedules Are to Be Filed (17 CFR 210.6-10).

(a) When information is required in schedules for both the person and its subsidiaries consolidated, it may be presented in the form of a single schedule, provided that items pertaining to the registrant are separately shown and that such single schedule affords a properly summarized presentation of the facts.

(b) The schedules shall be examined by an independent accountant if the related financial statements are so examined.

(c) Management investment companies.

(1) Except as otherwise provided in the applicable form, the schedules specified in this paragraph shall be filed for management investment companies as of the dates of the most recent audited balance sheet and any subsequent unaudited statement being filed for each person or group.

Schedule I—Investments in securities of unaffiliated issuers. The schedule prescribed by § 210.12-12 shall be filed in support of caption 1 of each balance sheet.

Schedule II—Investments in and advances to affiliates. The schedule prescribed by § 210.12-14 shall be filed in support of caption 2 of each balance sheet.

Schedule III—Investments—securities sold short. The schedule prescribed by § 210.12-12A shall be filed in support of caption 9(a) of each balance sheet.

Schedule IV—Open option contracts written. The schedule prescribed by § 210.12-13 shall be filed in support of caption 9(b) of each balance sheet.

Schedule V—Open futures contracts. The schedule prescribed by § 210.12-13A shall be filed in support of captions 3(a) and 9(c) of each balance sheet.

Schedule VI—Open forward foreign currency contracts. The schedule prescribed by § 210.12-13B shall be filed in support of captions 3(b) and 9(d) of each balance sheet.

Schedule VII—Open swap contracts. The schedule prescribed by § 210.12-13C shall be filed in support of captions 3(c) and 9(e) of each balance sheet.

Schedule VIII—Investments—other than those presented in §§ 210.12-12, 12-12A, 12-12B, 12-13, 12-13A, 12-13B and 12-13C. The schedule prescribed by § 210.12-13D shall be filed in support of captions 3(d) and 9(f) of each balance sheet.

(2) When permitted by the applicable form, the schedule specified in this paragraph may be filed for management investment companies as of the dates of the most recent audited balance sheet and any subsequent unaudited statement being filed for each person or group.

Schedule IX—Summary schedule of investments in securities of unaffiliated issuers. The schedule prescribed by § 210.12-12B may be filed in support of caption 1 of each balance sheet.

(d) Unit investment trusts. Except as otherwise provided in the applicable form:

(1) Schedules I and II, specified below in this section, shall be filed for unit investment trusts as of the dates of the most recent audited balance sheet and any subsequent unaudited statement being filed for each person or group.

(2) Schedule III, specified below in this section, shall be filed for unit investment trusts for each period for which a statement of operations is required to be filed for each person or group.

Schedule I—Investment in securities. The schedule prescribed by § 210.12-12 shall be filed in support of caption 1 of each balance sheet (§ 210.6-04).

Schedule II—Allocation of trust assets to series of trust shares. If the trust assets are specifically allocated to different series of trust shares, and if such allocation is not shown in the balance sheet in columnar form or by the filing of separate statements for each series of trust shares, a schedule shall be filed showing the amount of trust assets, indicated by each balance sheet filed, which is applicable to each series of trust shares.

Schedule III—Allocation of trust income and distributable funds to series of trust shares. If the trust income and distributable funds are specifically allocated to different series of trust shares and if such allocation is not shown in the statement of operations in columnar form or by the filing of separate statements for each series of trust shares, a schedule shall be submitted showing the amount of income and distributable funds, indicated by each statement of operations filed, which is applicable to each series of trust shares.

(e) Face-amount certificate investment companies. Except as otherwise provided in the applicable form:

(1) Schedules I, V and X, specified below, shall be filed for face-amount certificate investment companies as of the dates of the most recent audited balance sheet and any subsequent unaudited statement being filed for each person or group.

(2) All other schedules specified below in this section shall be filed for face-amount certificate investment companies for each period for which a statement of operations is filed, except as indicated for Schedules III and IV.

Schedule I—Investment in securities of unaffiliated issuers. The schedule prescribed by § 210.12-21 shall be filed in support of caption 1 and, if applicable, caption 5(a) of each balance sheet. Separate schedules shall be furnished in support of each caption, if applicable.

Schedule II—Investments in and advances to affiliates and income thereon. The schedule prescribed by § 210.12-22 shall be filed in support of captions 1 and 5(b) of each balance sheet and caption 1 of each statement of operations. Separate schedules shall be furnished in support of each caption, if applicable.

Schedule III—Mortgage loans on real estate and interest earned on mortgages. The schedule prescribed by § 210.12-23 shall be filed in support of captions 1 and 5(c) of each balance sheet and caption 1 of each statement of operations, except that only the information required by Column G and note 8 of the schedule need be furnished in support of statements of operations for years for which related balance sheets are not required.

Schedule IV—Real estate owned and rental income. The schedule prescribed by § 210.12-24 shall be filed in support of captions 1 and 5(a) of each balance sheet and caption 1 of each statement of operations for rental income included therein, except that only the information required by Columns H, I and J, and item "Rent from properties sold during the period" and note 4 of the schedule need be furnished in support of statements of operations for years for which related balance sheets are not required.

Schedule V—Qualified assets on deposit. The schedule prescribed by § 210.12-27 shall be filed in support of the information required by caption 4 of § 210.6-06 as to total amount of qualified assets on deposit.

Schedule VI—Certificate reserves. The schedule prescribed by § 210.12-26 shall be filed in support of caption 7 of each balance sheet.

Schedule VII—Valuation and qualifying accounts. The schedule prescribed by § 210.12-09 shall be filed in support of all other reserves included in the balance sheet.

[81 FR 82013, Nov. 18, 2016]

946 Financial Services—Investment Companies

210 Balance Sheet

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-210-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	946-210-45-18A	Added	Accounting Standards Update No. 2012-04	10/01/2012
	946-210-45-20	Added	Maintenance Update 2017-21 	12/22/2017
	946-210-45-21	Amended	Maintenance Update 2018-12 	09/10/2018
	946-210-45-21	Added	Maintenance Update 2017-21 	12/22/2017
	946-210-50-7	Superseded	Accounting Standards Update No. 2016-19	12/14/2016
	946-210-50-9	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	946-210-55-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	946-210-55-2	Amended	Maintenance Update 2016-11 	06/27/2016

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 946-210-05-1** This Subtopic addresses an investment company's reporting of its financial position, including a schedule of investments.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 946-210-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an **orderly transaction** between **market participants** at the measurement date.

Fully Benefit-Responsive Investment Contract

An investment contract is considered fully benefit-responsive if all of the following criteria are met for that contract, analyzed on an individual basis:

- a. The investment contract is effected directly between the plan and the issuer and prohibits the plan from assigning or selling the contract or its proceeds to another party without the consent of the issuer.
- b. Either of the following conditions exists:
 1. The repayment of principal and interest credited to participants in the plan is a financial obligation of the issuer of the investment contract.
 2. Prospective interest crediting rate adjustments are provided to participants in the plan on a designated pool of investments held by the plan or the contract issuer, whereby a financially responsible third party, through a contract generally referred to as a wrapper, must provide assurance that the adjustments to the interest crediting rate will not result in a future interest crediting rate that is less than zero.

If an event has occurred such that realization of full contract value for a particular investment contract is no longer probable (for example, a significant decline in creditworthiness of the contract issuer or wrapper provider), the investment contract shall no longer be considered fully benefit-responsive.

c. The terms of the investment contract require all permitted participant-initiated transactions with the plan to occur at contract value with no conditions, limits, or restrictions. Permitted participant-initiated transactions are those transactions allowed by the plan, such as any of the following:

1. Withdrawals for benefits
2. Loans
3. Transfers to other funds within the plan.

d. An event that limits the ability of the plan to transact at contract value with the issuer and that also limits the ability of the plan to transact at contract value with the participants in the plan, such as any of the following, must be probable of not occurring:

1. Premature termination of the contracts by the plan
2. Plant closings
3. Layoffs
4. Plan termination
5. Bankruptcy
6. Mergers
7. Early retirement incentives.

e. The plan itself must allow participants reasonable access to their funds.

If access to funds is substantially restricted by plan provisions, investment contracts held by those plans may not be considered to be fully benefit-responsive. For example, if plan participants are allowed access at contract value to all or a portion of their account balances only upon termination of their participation in the plan, it would not be considered reasonable access and, therefore,

investment contracts held by that plan would generally not be deemed to be fully benefit-responsive. However, in plans with a single investment fund that allow reasonable access to assets by inactive participants, restrictions on access to assets by active participants consistent with the objective of the plan (for example, retirement or health and welfare benefits) will not affect the benefit responsiveness of the investment contracts held by those single-fund plans. Also, if a plan limits participants' access to their account balances to certain specified times during the plan year (for example, semiannually or quarterly) to control the administrative costs of the plan, that limitation generally would not affect the benefit responsiveness of the investment contracts held by that plan. In addition, administrative provisions that place short-term restrictions (for example, three or six months) on transfers to competing fixed-rate investment options to limit arbitrage among those investment options (equity wash provisions) would not affect a contract's benefit responsiveness.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Net Asset Value per Share

Net asset value per share is the amount of net assets attributable to each share of capital stock (other than senior equity securities, that is, preferred stock) outstanding at the close of the period. It excludes the effects of assuming conversion of outstanding convertible securities, whether or not their conversion would have a diluting effect.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties

might be prevented from fully pursuing its own separate interests

g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Underlying

A specified interest rate, security price, commodity price, foreign exchange rate, index of prices or rates, or other variable (including the occurrence or nonoccurrence of a specified event such as a scheduled payment under a contract). An underlying may be a price or rate of an asset or liability but is not the asset or liability itself. An underlying is a variable that, along with either a notional amount or a payment provision, determines the settlement of a derivative instrument.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Reporting Financial Position

946-210-45-1 Investment companies report financial position by presenting either a statement of assets and liabilities or a statement of net assets.

946-210-45-2 A statement of net assets includes a schedule of investments (see Section [946-210-50](#)). Details of [related-party](#) balances and other assets and liabilities shall be presented in the statement of net assets or in the notes to financial statements.

> Complex Capital Structures

946-210-45-3 Management investment companies that have multiple classes of shares or master-feeder structures shall apply the following guidance when preparing a statement of assets and liabilities.

· > Multiple-Class Funds

946-210-45-4 The composition of net assets shall be reported in total, but [net asset value per share](#) and shares outstanding shall be reported for each class.

· > Master-Feeder Funds

·· > Master Funds

946-210-45-5 Master funds usually are organized as trusts with flow-through accounting treatment to their feeder funds. As such, the statement of assets and liabilities of the master fund usually shall not report the components of net assets, shares outstanding, or net asset value per share. The portfolio of investments shall be included only in the master fund's financial statements.

·· > Feeder Funds

946-210-45-6 Each feeder fund's statement of assets and liabilities shall show an investment in the master fund, which is the sole or principal investment of the feeder fund. The total of all feeder funds' investments in the master fund shall equal the total net assets of the master fund. A schedule of portfolio investments shall not be presented at the feeder level. The net asset value per share, total shares outstanding, and the components of net assets shall be reported. Should the feeder fund have a multiple-class structure, it would report the multiple-class information specified in this Subtopic.

· > Fund of Funds

946-210-45-7 The reporting fund may list the investee (portfolio) funds directly on the statement of assets and liabilities. Additional disclosures may be required for those funds that hold a mixture of investments in other investment companies and direct investments in securities. However, there is usually no need for a separate schedule of investments. Fund management shall consider if an investment in a single [underlying](#) fund is so significant to the fund of funds as to make the presentation of financial statements in a manner similar to a master-feeder fund more appropriate.

> Credit Enhancements

946-210-45-8 Credit enhancements shall be shown as a component of the security description in the schedule of investments.

> Fully Benefit-Responsive Investment Contracts

946-210-45-9 This guidance describes the limited circumstances in which the net assets of an investment company (also referred to as a fund) shall reflect the contract value (which generally equals the principal balance plus accrued interest) of certain investments that it holds.

946-210-45-10 For purposes of this Subtopic, the term *investment contract* refers to any of the following:

- A traditional or separate account guaranteed investment contract
- A bank investment contract
- A synthetic guaranteed investment contract composed of a wrapper contract and the underlying wrapped portfolio of individual investments
- A contract with similar characteristics.

946-210-45-11 Contract value is the relevant measurement attribute for that portion of the net assets of an investment company attributable to [fully benefit-responsive investment contracts](#) provided that the investment company is established under a trust whereby the trust itself is adopted as part of one or more qualified employer-sponsored defined contribution plans (including both health and welfare and pension plans). A qualified plan refers to a plan that qualifies under the U.S. Internal Revenue Code by

allowing full or partial tax-deferred contributions and tax-deferred investment gains on those contributions.

946-210-45-12 In applying the characteristic in item (c) of the definition of fully benefit-responsive investment contract (that is, execution of transaction at contract value), an investment company registered under the Investment Company Act of 1940 would not meet this requirement because Rule 22c-1 under the Act requires transactions between the investment company and its shareholders to be executed at current net asset value. The definition of fully benefit-responsive investment contract includes guidance for determining whether certain restrictions violate the provision that participants in the investment company have reasonable access to their funds. Restrictions that do not violate this provision shall also not be considered to violate the provisions in item (c) of the definition.

946-210-45-13 If any portion of an investment company's net assets is held by another investment company, the lower-level (investee) fund shall look through to the higher level (investor) fund in determining whether the lower level fund is within the scope of this guidance.

946-210-45-14 Under Rule 2a-4 of the Investment Company Act of 1940, current net asset value is computed using the [fair value](#) of the investment company's portfolio securities.

946-210-45-15 The following line items shall be separately reported on the statement of assets and liabilities with a parenthetical reference that such amounts are being reported at fair value:

- a. Investments (including traditional guaranteed investment contracts)
- b. Wrapper contracts.

946-210-45-16 The statement of assets and liabilities of the fund shall present amounts for all of the following:

- a. Total assets
- b. Total liabilities
- c. Net assets reflecting all investments at fair value
- d. Net assets.

Amount (d) represents the amount at which participants can transact with the fund. That amount shall be used also for purposes of preparing the per-share disclosures required by Section [946-205-50](#) and as the beginning and ending balance in the statement of changes in net assets of the fund. The amount representing the difference between (c) and (d) shall be presented on the face of the statement of assets and liabilities as a single amount, calculated as the sum of the amounts necessary to adjust the portion of net assets attributable to each fully benefit-responsive investment contract from fair value to contract value.

946-210-45-17 The statements of operations and changes in net assets of the fund shall be prepared on a basis that reflects income credited to participants in the fund and realized and unrealized gains and losses only on those investment contracts that are not deemed fully benefit-responsive.

946-210-45-18 The following information shall be disclosed in the financial statements as part of the schedule of investments, to the extent that schedule is already required under paragraph [946-210-50-1](#), and shall reconcile to corresponding line items on the statement of assets and liabilities:

- a. The fair value of each investment contract, including separate disclosure of both of the following:
 1. The fair value of the wrapper contract
 2. The fair value of each of the corresponding underlying investments, if held by the fund, included in that investment contract.
- b. Adjustment from fair value to contract value for each investment contract (if the investment contract is fully benefit-responsive)

c. Major credit ratings of the issuer or wrapper provider for each investment contract.

· > Scope Exception

946-210-45-18A To be considered within the scope of paragraphs [946-210-45-15 through 45-18](#), any portion of the net assets of the investment company attributable to a particular plan investee that is not held in trust for the benefit of participants in a qualified employer-sponsored defined-contribution plan is not permitted to increase, except for reinvestment of income earned.

946-210-45-19 Example 2 (see paragraph [946-210-55-2](#)) illustrates the application of this guidance.

> Cash and Cash Equivalents

946-210-45-20 Cash on hand and demand deposits shall be included under the general caption *cash*.

946-210-45-21 Amounts held in foreign currencies shall be presented separately at value, with acquisition cost shown parenthetically.

50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

 [Related Proposed ASUs](#)

> Schedule of Investments

· > Investment Companies Other than Nonregistered Investment Partnerships

946-210-50-1 In the absence of regulatory requirements, investment companies other than nonregistered investment partnerships shall do all of the following:

a. Disclose the name, number of shares, or principal amount of all of the following:

1. Each investment (including short sales, written options, futures contracts, forward contracts, and other investment-related liabilities) whose [fair value](#) constitutes more than 1 percent of net assets. In applying the 1-percent test, total long and total short positions in any one issuer should be considered separately.
2. All investments in any one issuer whose fair values aggregate more than 1 percent of net assets. In applying the 1-percent test, total long and total short positions in any one issuer should be considered separately.
3. At a minimum, the 50 largest investments.

- b. Categorize investments by both of the following characteristics:
 - 1. The type of investment (such as common stocks, preferred stocks, convertible securities, fixed income securities, government securities, options purchased, options written, warrants, futures contracts, loan participations and assignments, short-term securities, repurchase agreements, short sales, forward contracts, other investment companies, and so forth)
 - 2. The related industry, country, or geographic region of the investment.
- c. Disclose the aggregate other investments (each of which is not required to be disclosed by (a)) without specifically identifying the issuers of such investments, and categorize as required by (b). The disclosure shall include both of the following:
 - 1. The percent of net assets that each such category represents
 - 2. The total value for category in (b)(1) and (b)(2).

946-210-50-2 For required disclosures about any other significant concentration of credit risk, see Section [825-10-50](#). For example, an international fund that categorizes its investments by industry or geographic region should also report a summary of its investments by country, if such concentration is significant.

946-210-50-3 For required disclosures about certain significant estimates, such as use of estimates by directors, general partners, or others in an equivalent capacity to value securities, see Subtopic [275-10](#).

· > Investment Companies That Are Nonregistered Investment Partnerships

946-210-50-4 Except as noted in the following paragraph, the guidance in paragraph [946-210-50-6](#) applies to investment partnerships that are exempt from Securities and Exchange Commission (SEC) registration under the Investment Company Act of 1940, which include all of the following:

- a. Hedge funds
- b. Limited liability companies
- c. Limited liability partnerships
- d. Limited duration companies
- e. Offshore investment companies with similar characteristics
- f. Commodity pools subject to regulation under the Commodity Exchange Act of 1974.

946-210-50-5 The guidance in the following paragraph does not apply to investment partnerships that are brokers and dealers in securities subject to regulation under the Securities Exchange Act of 1934 (registered broker-dealers) and that manage funds only for those who are officers, directors, or employees of the general partner. For guidance applicable to those entities, see Topic [940](#).

946-210-50-6 The financial statements of an investment partnership meeting the condition in paragraph [946-210-50-4](#) shall, at a minimum, include a condensed schedule of investments in securities owned by the partnership at the close of the most recent period. Such a schedule shall do all of the following:

- a. Categorize investments by all of the following:
 - 1. Type (such as common stocks, preferred stocks, convertible securities, fixed-income securities, government securities, options purchased, options written, warrants, futures, loan participations, short sales, other investment companies, and so forth)
 - 2. Country or geographic region, except for derivative instruments for which the [underlying](#) is not a security (see (a)(4))
 - 3. Industry, except for derivative instruments for which the underlying is not a security (see (a)(4))

4. For derivative instruments for which the underlying is not a security, by broad category of underlying (for example, grains and feeds, fibers and textiles, foreign currency, or equity indexes) in place of the categories in (a)(2) and (a)(3).
- b. Report the percent of net assets that each such category represents and the total fair value and cost for each category in (a)(1) and (a)(2).
- c. Disclose the name, number of shares or principal amount, fair value, and type of both of the following:
 1. Each investment (including short sales) constituting more than 5 percent of net assets, except for derivative instruments (see (e) and (f)). In applying the 5-percent test, total long and total short positions in any one issuer should be considered separately.
 2. All investments in any one issuer aggregating more than 5 percent of net assets, except for derivative instruments (see (e) and (f)). In applying the 5-percent test, total long and total short positions in any one issuer shall be considered separately.
- d. Aggregate other investments (each of which is 5 percent or less of net assets) without specifically identifying the issuers of such investments, and categorize them in accordance with the guidance in (a). In applying the 5-percent test, total long and total short positions in any one issuer shall be considered separately.
- e. Disclose the number of contracts, range of expiration dates, and cumulative appreciation (depreciation) for open futures contracts of a particular underlying (such as wheat, cotton, specified equity index, or U.S. Treasury Bonds), regardless of exchange, delivery location, or delivery date, if cumulative appreciation (depreciation) on the open contracts exceeds 5 percent of net assets. In applying the 5-percent test, total long and total short positions in any one issuer shall be considered separately.
- f. Disclose the range of expiration dates and fair value for all other derivative instruments of a particular underlying (such as foreign currency, wheat, specified equity index, or U.S. Treasury Bonds) regardless of counterparty, exchange, or delivery date, if fair value exceeds 5 percent of net assets. In applying the 5-percent test, total long and total short positions in any one issuer shall be considered separately.
- g. Provide both of the following additional qualitative descriptions for each investment in another nonregistered investment partnership whose fair value constitutes more than 5 percent of net assets:
 1. The investment objective
 2. Restrictions on redemption (that is, liquidity provisions).

· > Investments in Other Investment Companies—Applicable to All Investment Companies

946-210-50-7 [Paragraph superseded by Accounting Standards Update No. 2016-19.](#)

946-210-50-8 Investments in other investment companies (investees), such as investment partnerships, limited liability companies, and funds of funds, shall be considered investments for purposes of applying paragraph [946-210-50-1\(a\) through \(b\)](#) and [946-210-50-6](#).

· > Investments in Other Investment Companies—Applicable Only to Nonregistered Investment Partnerships

946-210-50-9 If the reporting investment company's proportional share of any investment owned by any individual investee exceeds 5 percent of the reporting investment company's net assets at the reporting date, each such investment shall be named and categorized as discussed in paragraph [946-210-50-6](#). These investee disclosures shall be made either in the condensed schedule of investments (as components of the investment in the investee) or in a note to that schedule.

946-210-50-10 If information about the investee's portfolio is not available, that fact shall be disclosed.

· > Credit Enhancements

946-210-50-11 The terms, conditions, and other arrangements relating to a credit enhancement shall be disclosed in the notes to financial statements.

946-210-50-12 For a put option provided by an affiliate, the schedule of investments shall describe the put as from an affiliate and the notes to financial statements shall include the name and relationship of the affiliate.

946-210-50-13 For a letter of credit, the name of the entity issuing the letter of credit shall be disclosed separately.

> Fully Benefit-Responsive Investment Contracts

946-210-50-14 Investment companies identified in paragraph [946-210-45-11](#) shall disclose all of the following in connection with [fully benefit-responsive investment contracts](#), in the aggregate:

- a. A description of the nature of those investment contracts.
- b. A description of how those investment contracts operate.
- c. A description of the methodology for calculating the interest crediting for those investment contracts, including all of the following:
 1. The key factors that could influence future average interest crediting rates
 2. The basis for and frequency of determining interest crediting rate resets
 3. Any minimum interest crediting rate under the terms of the contracts.
- d. An explanation of the relationship between future interest crediting rates and the amount reported on the statement of assets and liabilities representing the adjustment for the portion of net assets attributable to fully benefit-responsive investment contracts from fair value to contract value.
- e. A reconciliation between the beginning and ending balance of the amount presented on the statement of assets and liabilities that represents the difference between net assets reflecting all investments at fair value and net assets for each period in which a statement of changes in net assets is presented. This reconciliation shall include both of the following:
 1. The change in the difference between the fair value and contract value of all fully benefit-responsive investment contracts
 2. The increase or decrease due to changes in the fully benefit-responsive status of the fund's investment contracts.
- f. The average yield earned by the entire fund (which may differ from the interest rate credited to participants in the fund) for each period for which a statement of assets and liabilities is presented. This average yield shall be calculated by dividing the annualized earnings of all investments in the fund (irrespective of the interest rate credited to participants in the fund) by the fair value of all investments in the fund.
- g. The average yield earned by the entire fund with an adjustment to reflect the actual interest rate credited to participants in the fund for each period for which a statement of assets and liabilities is presented. This average yield shall be calculated by dividing the annualized earnings credited to participants in the fund (irrespective of the actual earnings of the investments in the fund) by the fair value of all investments in the fund.
- h. Both of the following sensitivity analyses:
 1. The weighted average interest crediting rate (that is, the contract value yield) as of the date of the latest statement of assets and liabilities and the effect on this weighted average interest crediting rate, calculated as of the date of the latest statement of assets and

liabilities and the end of the next four quarterly periods, under two or more scenarios where there is an immediate hypothetical increase or decrease in market yields, with no change to the duration of the underlying investment portfolio and no contributions or withdrawals. Those scenarios should include, at a minimum, immediate hypothetical increases and decreases in market yields equal to one-quarter and one-half of the current yield.

2. The effect on the weighted average interest crediting rate calculated as of the date of the latest statement of assets and liabilities and the next four quarterly reset dates, under two or more scenarios where there are the same immediate hypothetical changes in market yields in the first analysis, combined with an immediate, one-time, hypothetical 10 percent decrease in the net assets of the fund due to participant transfers, with no change to the duration of the portfolio.

i. A description of the events that limit the ability of the fund to transact at contract value with the issuer (for example, premature termination of the contracts by the fund, plant closings, layoffs, plan termination, bankruptcy, mergers, and early retirement incentives), including a statement as to whether the occurrence of those events that would limit the fund's ability to transact at contract value with the participants in the fund is probable or not probable.

j. A description of the events and circumstances that would allow issuers to terminate fully benefit-responsive investment contracts with the fund and settle at an amount different from contract value.

Example 2 (see paragraph [946-210-55-2](#)) illustrates the application of this guidance.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Condensed Schedule of Investments

946-210-55-1 This Example illustrates how to apply the guidance in paragraph [946-210-50-6](#). However, it does not address all possible circumstances that may arise in applying the guidance in that paragraph. Percent of net assets is shown for each category; net assets are assumed to be \$50,000,000 for purposes of this Example.

ABC Associates, Ltd.
Condensed Schedule of Investments^(a)
December 31, 20XX

Principal Amount, or Number of Shares, or Contracts	Description	Fair Value
	COMMON STOCKS (54.9%)	
	United States (33.8%)	
	Airlines (7.2%)	
53,125	Flight Airlines, Inc. (3.6%) ^(b)	\$ 1,811,297
	Other (3.6%)	<u>1,819,074</u>
		3,630,371
	Banks (1.9%)	937,099
	Financial Services (2.9%)	1,433,210
	Foods (7.1%)	
106,607	Andrews Midlands Co. (5.7%)	2,825,078
	Other (1.4%)	<u>702,824</u>
		3,527,902
	Hospital Supplies and Services (5.6%)	
100,404	Chelsea Clinics Inc.	2,811,297
	Technology (4.1%)	2,039,578
	Utilities (5.0%)	<u>2,480,556</u>
	Total United States (cost \$16,850,954)	16,860,013
	Hong Kong (5.7%)	
	Drugs (0.6%)	330,741
	Retail (4.0%)	1,984,445
	Utility—Telephone (1.1%)	<u>552,235</u>
	Total Hong Kong (cost \$2,756,959)	2,867,421
	Italy (5.6%)	
	Airlines (0.2%)	110,247
	Financial Services (1.8%)	881,975
	Leisure Related (3.5%)	1,763,951
	Office Supplies (0.1%)	<u>55,123</u>
	Total Italy (cost \$2,912,465)	2,811,296
	Spain (5.4%)	
	Banks (2.4%)	1,212,716
	Oil (1.7%)	826,852
	Railroads (1.3%)	<u>661,482</u>
	Total Spain (cost \$2,643,197)	2,701,050
	United Kingdom (4.4%)	
	Financial Services (2.3%)	1,157,593
	Technology (2.1%)	<u>1,047,346</u>
	Total United Kingdom (cost \$2,145,246)	2,204,939
	TOTAL COMMON STOCKS (cost \$27,308,821)	<u>27,444,719</u>
	DEBT SECURITIES (41.3%)	
	United States (21.4%)	
	Airlines (2.0%)	
\$1,000,000	Flight Airlines, Inc. 12%, 7/15/X5 ^(b)	\$ 1,000,000
	Government (19.4%)	
\$3,000,000	U.S. Treasury Bonds, 4.5%, 11/15/X7	3,031,791
\$6,800,000	U.S. Treasury Bonds, 3.00%–4.75%, 1/30/X5–7/15/X7	<u>6,686,175</u>
		9,717,966
	Total United States (cost \$15,015,200)	10,717,966
	Mexico (19.9%)	
	Government	
\$11,000,000	United Mexican States, 8.625%–9.125%, 3/12/X8–12/7/X9 (cost \$10,000,000)	<u>9,922,224</u>
	TOTAL DEBT SECURITIES (cost \$25,015,200)	20,640,190
	LONG PUT AND CALL OPTIONS (2.4%)	
	United States	
	Telecommunications (cost \$1,225,800)	1,212,716
	INTEREST IN INVESTMENT PARTNERSHIP (10.0%) (cost \$4,000,000)	<u>5,000,000</u>
	XYZ Hedge Fund, L.P. (35% owned) ^(b)	
	(XYZ Hedge Fund L.P. owns 6,000 shares, valued at \$9,000,000 of Leisure Cruises, Inc., which is a U.S. entity in the leisure time industry. The partnership's share of this investment is valued at \$3,150,000 as of 12/31/20XX.)	
	TOTAL INVESTMENTS (108.6%) (cost \$57,549,821)	<u>\$ 54,297,625</u>
	SECURITIES SOLD SHORT (9.6%)	
	COMMON STOCKS (5.7%)	
	United States	
100,000	Energy	
	ABC Resources Co (Proceeds \$2,715,000)	\$ 2,825,075
	DEBT SECURITIES (3.7%)	
	Canada (3.7%)	
	Telecommunications (proceeds \$1,950,000)	1,867,000
	WRITTEN OPTIONS (2%)	
	United States	
	Manufacturing (proceeds \$130,000)	127,306
	TOTAL SECURITIES SOLD SHORT (proceeds \$4,795,000)	<u>\$ 4,819,384</u>

Description	Fair Value	Expiration Dates	No. of Contracts
FUTURES CONTRACTS (12.5%)			
Financial (5.2%)	\$ 2,611,825	Feb–Apr 20XX	122
Eurodollar (5.2%)			
Indexes (5.6%)			
S&P 500 (5.6%)	\$ 2,788,000	Mar–May 20XX	89
Metals (1.7%)	840,000		
TOTAL FUTURES CONTRACTS	\$ 6,239,825		
FORWARDS (11.5%)			
Argentinian Peso (5.8%)	\$ 2,910,000	Oct–Nov 20XX	
Other Currencies (5.7%)	2,876,315		
TOTAL FORWARDS	\$ 5,786,315		
SWAPS	\$ 2,875,000		
Interest rate swaps (5.7%)			
Currency swaps (7.7%)			
Yen/U.S. dollar swaps (6.0%)	\$ 2,999,016	Jan–Feb 20XX	
Other (1.7%)	868,000		
TOTAL SWAPS	\$ 6,742,018		

The accompanying notes are an integral part of these financial statements.

- (a) Securities of Flight Airlines, Inc., aggregate 5.6 percent of net assets of ABC Associates, Ltd.
- (b) Leisure Cruises, Inc., is named because the proportionate share of ABC Associates, Ltd., equity in it is greater than 5 percent of ABC's net assets. If information about the investments of XYZ was not available, that would have been stated either parenthetically or in a note to this schedule.
- (c) This schedule does not include the disclosures relative to the investment objective and restrictions on redemptions, as discussed in paragraph 946-210-50-6(g), because it is presumed that those disclosures are presented in the notes to the financial statements.

> Example 2: Fully Benefit-Responsive Investment Contracts

946-210-55-2 The following illustrates the presentation for fully benefit-responsive investment contracts in the statement of assets and liabilities in accordance with the guidance beginning in paragraph 946-210-50-14 and related note disclosure prepared in accordance with the guidance beginning in paragraph 946-210-45-9.

Presentation for the Statement of Assets and Liabilities

Investments (at fair value)	\$ 8,800,000
Wrapper contracts (at fair value)	100,000
Total assets	8,900,000
Total liabilities	200,000
Net assets reflecting all investments at fair value	8,700,000
Adjustment from fair value to contract value for fully benefit-responsive investment contracts	1,100,000
Net assets	\$ 9,800,000

Related Note Disclosure

	Major Credit Ratings	Investments at Fair Value	Wrapper Contracts at Fair Value	Adjustment to Contract Value
Traditional guaranteed investment contract A	AAA/Aaa	\$ 1,600,000	-	\$ 400,000
Bank ABC stable value fund I	N/A	1,800,000	-	200,000
Wrapped portfolio A:				
Bond #1		850,000	-	-
Bond #2		910,000	-	-
Wrapper		-	40,000	-
Total wrapped portfolio A	AAA/Aa2	1,760,000	40,000	200,000
Wrapped portfolio B:				
Bond #3		850,000	-	-
Bond fund #1		860,000	-	-
Bond #4		930,000	-	-
Wrapper		-	60,000	-
Total wrapped portfolio B	AA-/Aa3	2,640,000	60,000	300,000
Short-term investments	AAA/Aaa	1,000,000	-	-
Total		\$ 8,800,000	\$ 100,000	\$ 1,100,000

S00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-210-S00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	946-210-S99-1 through S99-3	Amended	Accounting Standards Update No. 2019-07	07/26/2019

S45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Certificate Reserves

946-210-S45-1 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(k), for the required presentation for certificate reserves.

> Balance Sheet Format

946-210-S45-2 See paragraph [946-210-S99-1](#), Regulation S-X Rule 6-04, for the required balance sheet presentation for registered investment companies.

> Statements of Net Assets Format

946-210-S45-3 See paragraph [946-210-S99-2](#), Regulation S-X Rule 6-05, for the required statement of net asset presentation.

> Format for Balance Sheets Filed by Issuers of Face-Amount Certificates

946-210-S45-4 See paragraph [946-210-S99-3](#), Regulation S-X Rule 6-06, for the required balance sheet presentation for issuers of face-amount certificates.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Cash

946-210-S50-1 See paragraph [946-210-S99-1](#), Regulation S-X Rule 6-04.5, for the required disclosures pertaining to cash.

> Notes Payable, Bonds, and Similar Debt

946-210-S50-2 See paragraph [946-210-S99-1](#), Regulation S-X Rule 6-04.13(b), for the required disclosures pertaining to notes payable, bonds, and similar debt.

> Units of Capital

946-210-S50-3 See paragraph [946-210-S99-1](#), Regulation S-X Rule 6-04.16(b), for the required disclosures pertaining to unit investment trusts.

> Statement of Net Assets

946-210-S50-4 See paragraph [946-210-S99-2](#), Regulation S-X Rule 6-05, for the required disclosures related to the statement of net assets.

> Balance Sheets Filed by Issuers of Face-Amount Certificates

946-210-S50-5 See paragraph [946-210-S99-3](#), Regulation S-X Rule 6-06, for the required disclosures related to face-amount certificate issuers.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 6-04, Balance Sheets

946-210-S99-1 The following is the text of Regulation S-X Rule 6-04, Balance Sheets (17 CFR 210.6-04).

This section is applicable to balance sheets filed by registered investment companies and business development companies except for persons who substitute a statement of net assets in accordance with the requirements specified in § 210.6-05, and issuers of face-amount certificates which are subject to the special provisions of § 210.6-06. Balance sheets filed under this rule shall comply with the following provisions:

ASSETS

1. Investments in securities of unaffiliated issuers.
2. Investments in and advances to affiliates. State separately investments in and advances to: (a) Controlled companies and (b) other affiliates.
3. Other investments. State separately amounts of assets related to
 - (a) variation margin receivable on futures contracts,
 - (b) forward foreign currency contracts;
 - (c) swap contracts; and
 - (d) investments—other than those presented in §§210.12-12, 12-12A, 12-12B, 12-13, 12-13A, 12-13B, and 12-13C
4. Cash. Include under this caption cash on hand and demand deposits.

Provide in a note to the financial statements the information required under § 210.5-02.1 regarding restrictions and compensating balances.
5. Receivables.
 - (a) State separately amounts receivable from

- (1) sales of investments;
- (2) subscriptions to capital shares;
- (3) dividends and interest;
- (4) directors and officers; and
- (5) others.

(b) If the aggregate amount of notes receivable exceeds 10 percent of the aggregate amount of receivables, the above information shall be set forth separately, in the balance sheet or in a note thereto, for accounts receivable and notes receivable.

6. Deposits for securities sold short and other investments. State separately amounts held by others in connection with:

- (a) Short sales;
- (b) open option contracts;
- (c) futures contracts;
- (d) forward foreign currency contracts;
- (e) swap contracts; and
- (f) investments—other than those presented in §§210.12-12, 12-12A, 12-12B, 12-13, 12-13A, 12-13B, and 12-13C.

7. Other assets. State separately

- (a) prepaid and deferred expenses;
- (b) pension and other special funds;
- (c) organization expenses; and
- (d) any other significant item not properly classified in another asset caption.

8. Total assets.

LIABILITIES

9. Other investments. State separately amounts of liabilities related to:

- (a) Securities sold short;
- (b) open option contracts written;
- (c) variation margin payable on futures contracts;
- (d) forward foreign currency contracts;
- (e) swap contracts; and
- (f) investments—other than those presented in §§210.12-12, 12-12A, 12-12B, 12-13, 12-13A, 12-13B, and 12-13C.

10. Accounts payable and accrued liabilities. State separately amounts payable for:

- (a) Other purchases of securities;
- (b) capital shares redeemed;
- (c) dividends or other distributions on capital shares; and
- (d) others.

State separately the amount of any other liabilities which are material.

11. Deposits for securities loaned. State the value of securities loaned and indicate the nature of the collateral received as security for the loan, including the amount of any cash received.
 12. Other liabilities. State separately
 - (a) amounts payable for investment advisory, management and service fees; and
 - (b) the total amount payable to:
 - (1) Officers and directors;
 - (2) controlled companies; and
 - (3) other affiliates, excluding any amounts owing to noncontrolled affiliates which arose in the ordinary course of business and which are subject to usual trade terms.
 13. Notes payable, bonds and similar debt.
 - (a) State separately amounts payable to:
 - (1) Banks or other financial institutions for borrowings;
 - (2) controlled companies;
 - (3) other affiliates; and
 - (4) others, showing for each category amounts payable within one year and amounts payable after one year.
 - (b) Provide in a note the information required under § 210.5-02.19(b) regarding unused lines of credit for short-term financing and § 210.5-02.22(b) regarding unused commitments for long-term financing arrangements.
 14. Total liabilities.
 15. Commitments and contingent liabilities.
- NET ASSETS
16. Units of capital.
 - (a) Disclose the title of each class of capital shares or other capital units, the number authorized, the number outstanding, and the dollar amount thereof.
 - (b) Unit investment trusts, including those which are issuers of periodic payment plan certificates, also shall state in a note to the financial statements:
 - (1) The total cost to the investors of each class of units or shares;
 - (2) the adjustment for market depreciation or appreciation;
 - (3) other deductions from the total cost to the investors for fees, loads and other charges, including an explanation of such deductions; and
 - (4) the net amount applicable to the investors.
 17. Total distributable earnings (loss). Disclose total distributable earnings (loss), which generally comprise:
 - (a) Accumulated undistributed investment income-net,
 - (b) accumulated undistributed net realized gains (losses) on investment transactions, and
 - (c) net unrealized appreciation (depreciation) in value of investments at the balance sheet date.
 18. Other elements of capital. Disclose any other elements of capital or residual interests appropriate to the capital structure of the reporting entity.
 19. Net assets applicable to outstanding units of capital. State the net asset value per share.

[81 FR 82011, Nov. 18, 2016, as amended at 83 FR 50202, Oct. 4, 2018]

· · > Regulation S-X Rule 6-05, Statements of Net Assets

946-210-S99-2 The following is the text of Regulation S-X Rule 6-05, Statements of Net Assets (17 CFR 210.6-05).

In lieu of the balance sheet otherwise required by § 210.6-04, persons may substitute a statement of net assets if at least 95 percent of the amount of the person's total assets are represented by investments in securities of unaffiliated issuers. If presented in such instances, a statement of net assets shall consist of the following:

STATEMENTS OF NET ASSETS

1. A schedule of investments in securities of unaffiliated issuers as prescribed in § 210.12-12.
2. The excess (or deficiency) of other assets over (under) total liabilities stated in one amount, except that any amounts due from or to officers, directors, controlled persons, or other affiliates, excluding any amounts owing to noncontrolled affiliates which arose in the ordinary course of business and which are subject to usual trade terms, shall be stated separately.
3. Disclosure shall be provided in the notes to the financial statements for any item required under §210.6-04.3 and §§210.6-04.9 to 210.6-04.13.
4. The balance of the amounts captioned as net assets. The number of outstanding shares and net asset value per share shall be shown parenthetically.
5. The information required by (i) § 210.6-04.16, (ii) § 210.6-04.17 and (iii) § 210.6-04.18 shall be furnished in a note to the financial statements.

[81 FR 82012, Nov. 18, 2016]

· · > Regulation S-X Rule 6-06, Special Provisions Applicable to the Balance Sheets of Issuers of Face-Amount Certificates

946-210-S99-3 The following is the text of Regulation S-X Rule 6-06, Special Provisions Applicable to the Balance Sheets of Issuers of Face-Amount Certificates (17 CFR 210.6-06).

Balance sheets filed by issuers of face-amount certificates shall comply with the following provisions:

ASSETS

1. Investments. State separately each major category: such as, real estate owned, first mortgage loans on real estate, other mortgage loans on real estate, investments in securities of unaffiliated issuers, and investments in and advances to affiliates.
2. Cash. Include under this caption cash on hand and demand deposits. Provide in a note to the financial statements the information required under § 210.5-02.1 regarding restrictions and compensating balances.
3. Receivables.
 - (a) State separately amounts receivable from
 - (1) sales of investments;
 - (2) dividends and interest;
 - (3) directors and officers; and
 - (4) others.
 - (b) If the aggregate amount of notes receivable exceeds 10 percent of the aggregate amount of receivables, the above information shall be set forth separately, in the balance sheet or in a note thereto, for accounts receivable and notes receivable.
4. Total qualified assets. State in a note to the financial statements the amount of qualified assets on deposit classified as to general categories of assets and as to general types of

depositories, such as banks and states, together with a statement as to the purpose of the deposits.

5. Other assets. State separately:

- (a) Investments in securities of unaffiliated issuers not included in qualifying assets in item 1 above;
- (b) investments in and advances to affiliates not included in qualifying assets in item 1 above; and
- (c) any other significant item not properly classified in another asset caption.

6. Total assets.

LIABILITIES

7. Certificate reserves. Issuers of face-amount certificates shall state separately reserves for:

- (a) Certificates of the installment type;
- (b) certificates of the fully-paid type;
- (c) advance payments;
- (d) additional amounts accrued for or credited to the account of certificate holders in the form of any credit, dividend, or interest in addition to the minimum amount specified in the certificate; and
- (e) other certificate reserves.

State in an appropriate manner the basis used in determining the reserves, including the rates of interest of accumulation.

8. Notes payable, bonds and similar debt.

- (a) State separately amounts payable to:
 - (1) Banks or other financial institutions for borrowings;
 - (2) controlled companies;
 - (3) other affiliates; and
 - (4) others, showing for each category amounts payable within one year and amounts payable after one year.
- (b) Provide in a note the information required under § 210.5-02.19(b) regarding unused lines of credit for short-term financing and § 210.5-02.22(b) regarding unused commitments for long-term financing arrangements.

9. Accounts payable and accrued liabilities. State separately

- (a) amounts payable for investment advisory, management and service fees; and
- (b) the total amount payable to:
 - (1) Officers and directors;
 - (2) controlled companies; and
 - (3) other affiliates, excluding any amounts owing to noncontrolled affiliates which arose in the ordinary course of business and which are subject to usual trade terms.

State separately the amount of any other liabilities which are material.

10. Total liabilities.

11. Commitments and contingent liabilities.

STOCKHOLDERS' EQUITY

12. Capital shares. Disclose the title of each class of capital shares or other capital units, the number authorized, the number outstanding and the dollar amount thereof. Show also the dollar amount of any capital shares subscribed but unissued, and show the deduction for subscriptions receivable therefrom.
13. Other elements of capital.

(a) Disclose any other elements of capital or residual interests appropriate to the capital structure of the reporting entity.

(b) A summary of each account under this caption setting forth the information prescribed in § 210.3-04 shall be given in a note or separate statement for each period in which a statement of operations is presented.
14. Total liabilities and stockholders' equity.

946 Financial Services—Investment Companies

220 Income Statement—Reporting Comprehensive Income

00 Status

i

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-220-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
12b-1	Added	Maintenance Update 2017-19 	11/15/2017
946-220-05-1	Added	Maintenance Update 2017-19 	11/15/2017
946-220-15-1	Added	Maintenance Update 2017-19 	11/15/2017
946-220-45-1 through 45-17	Added	Maintenance Update 2017-19 	11/15/2017
946-220-45-3	Amended	Maintenance Update 2018-12 	09/10/2018
946-220-45-6	Amended	Maintenance Update 2018-12 	09/10/2018
946-220-45-9	Amended	Accounting Standards Update No. 2020-10	10/29/2020

946-220-45-11	Amended	Maintenance Update 2018-12 	09/10/2018
946-220-45-12	Amended	Maintenance Update 2018-12 	09/10/2018
946-220-45-14	Amended	Accounting Standards Update No. 2020-10	10/29/2020
946-220-50-1	Added	Maintenance Update 2017-19 	11/15/2017
946-220-50-2	Added	Maintenance Update 2017-19 	11/15/2017
946-220-50-3	Added	Accounting Standards Update No. 2020-10	10/29/2020
946-220-50-4	Added	Accounting Standards Update No. 2020-10	10/29/2020

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-220-05-1 This Subtopic addresses income statements, or statements of operations, for investment companies.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

946-220-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

12b-1

Rule 12b-1 in Chapter 17 of the Code of Federal Regulations is one of the regulations implementing the Investment Company Act of 1940.

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Statement of Operations

- 946-220-45-1** The objective of the statement of operations is to present the increase or decrease in net assets resulting from all of the company's investment activities, by reporting investment income from dividends, interest, and other income less expenses, the amounts of realized gains or losses from investment and foreign currency transactions, and changes in unrealized appreciation or depreciation of investments and foreign-currency-denominated assets and liabilities for the period. That format helps the user understand the contribution of each aspect of investment activity to the company's overall operations.

946-220-45-2 This following provides guidance on presentation of all of the following captioned items in an investment company's statement of operations:

- a. Expenses
- b. Taxes
- c. Net investment income
- d. Gain or loss from investments and foreign currency transactions
- e. Net increase or decrease in net assets from operations.

· > Expenses

946-220-45-3 All of the following expenses are commonly reported separately:

- a. Investment advisory (management) fees (or compensation)
- b. Administration fees payable to an affiliate (if accrued under a separate agreement)
- c. Shareholder service costs, including fees and expenses for the transfer agent and dividend disbursing agent
- d. Distribution ([12b-1](#)) expenses
- e. Custodian fees
- f. Cost of reports to shareholders
- g. Federal and state income taxes (these expenses shall be shown separately after the income category to which they apply, such as investment income and realized or unrealized gains)
- h. Other taxes (foreign withholding taxes shall be deducted from the relevant income item and presented parenthetically or shown as a separate contra item in the income section)
- i. Interest (including interest on debt, bank borrowings, and reverse repurchase agreements)
- j. Dividends on securities sold short
- k. Professional fees
- l. Directors' or trustees' fees
- m. Registration fees and expenses.

· > Taxes

946-220-45-4 Income tax expense shall be presented by investment companies under the separate income categories (such as investment income or realized and unrealized gains) to which it applies. Taxes in certain foreign jurisdictions may be based on the net investment income and realized gains of the fund within that jurisdiction; the guidance in Topic [740](#) is applicable to such taxes.

· > Net Investment Income

946-220-45-5 The excess of investment income over total expenses shall be shown as net investment income (or loss).

· > Gain or Loss from Investments and Foreign Currency Transactions

946-220-45-6 The following amounts related to gain or loss from investments and foreign currency transactions shall be presented as follows:

- a. Net realized gain or loss from investments and foreign currency transactions.
 - 1. Investments. Net realized gains or losses resulting from sales or other disposals of investments shall be reported net of brokerage commissions. The net realized gains or losses from investments and net realized gains or losses from foreign currency transactions may be reported separately or may be combined.

2. Foreign currency transactions. Net gains or losses from assets or liabilities denominated in foreign currencies during the period shall be reported separately. If separate reporting of foreign currency effects on realized gains or losses from investments is elected, those effects shall be included in this caption.

b. Net increase (decrease) in unrealized appreciation or depreciation on investments and translation of assets and liabilities in foreign currencies, which comprises both of the following:

1. Investments. Changes in net unrealized appreciation or depreciation during the period shall be presented in the statement of operations. The major components of unrealized appreciation or depreciation shall be presented in a manner that is consistent with the guidance provided in (a). Either combining the net unrealized gains or losses from investments with net unrealized gains or losses from foreign currency transactions or reporting them separately is permissible. Any provision for deferred taxes shall be reported separately.

2. Translation of assets and liabilities in foreign currencies. The net change during the period from translating assets and liabilities denominated in foreign currencies shall be reported under the caption "Net Increase (Decrease) in Unrealized Appreciation or Depreciation on Translation of Assets and Liabilities in Foreign Currencies."

c. Net realized and unrealized gain or loss from investments and foreign currency. The sum of the net realized gain or loss and change in unrealized gain or loss on investments and foreign-currency-denominated assets and liabilities shall be presented in the statement of operations as a net gain or loss on investments and foreign currency.

· > Net Increase or Decrease in Net Assets from Operations

946-220-45-7 The sum of net investment income or loss and net realized and unrealized gain or loss on investments and foreign currency shall be shown as a net increase or decrease in net assets resulting from operations.

> Complex Capital Structures

946-220-45-8 Management investment companies that have multiple classes of shares or master-feeder structures shall apply the following guidance when preparing a statement of operations.

· > Multiple-Class Funds

946-220-45-9 Class-specific expenses shall be reported for each class of fund in the statement of operations or disclosed in the notes to financial statements. Reporting the amount of fund-level expenses allocated to each class is not required but disclosure of fund-level expenses by class in the statement of operations or in notes to financial statements is permitted. (See paragraph [946-220-50-3](#).)

· > Master-Feeder Funds

· · > Master Funds

946-220-45-10 For master funds, the standard reporting format for investment companies with simple capital structures shall be used.

· · > Feeder Funds

946-220-45-11 The statement of operations shall report details of the feeder fund's allocated share of net investment income from the master fund (that is, present allocated interest, dividends, and expenses separately).

946-220-45-12 The statement also shall report separately the feeder's allocated share of the master fund's realized and unrealized gains and losses. The total of all feeders' income, expense, and realized and unrealized gain or loss components shall agree to the corresponding totals of the master fund. Feeder funds shall present their fund-specific expenses, such as transfer agent, distribution, legal and audit expenses, and registration and directors' fees. Additionally, any fee waivers or reimbursements at the feeder-fund level shall be reported.

· > Fund of Funds

946-220-45-13 Income reflected on the statement of operations shall represent the net earnings received from investee funds. For example, if the investee funds are all registered investment companies the income would represent the dividends received from such investee funds.

946-220-45-14 The investor fund shall not reflect any operating expenses if the investee funds have agreed to assume certain of the investor fund expenses. To the extent the investor fund has such agreements, they shall be disclosed in the notes to financial statements. (See paragraph [946-220-50-4](#).)

946-220-45-15 When investing in registered investment companies, distributions received from long-term capital gains shall be reported as realized gains together with gains realized on disposition of shares of investee entities.

946-220-45-16 Expenses are those incurred only at the reporting fund level. Expenses of the investee funds are embedded in the net earnings from such funds.

> Investment Partnerships

946-220-45-17 Investment partnerships shall present their statements of operations in conformity with the requirements for statements of operations of management investment companies provided beginning in paragraph [946-220-45-8](#).

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Net Investment Income

946-220-50-1 Any income tax provision relating to net investment income shall be disclosed separately.

> Net Realized Gain or Loss from Investments

946-220-50-2 The statement of operations shall disclose net realized gains or losses. Gains or losses arising from in-kind redemptions shall be disclosed. Notes to financial statements shall state an entity's practice of either including or excluding that portion of realized and unrealized gains and losses from investments that result from foreign currency changes with or from other foreign currency gains and losses.

> Complex Capital Structures

· > Multiple Class Funds

946-220-50-3 Class-specific expenses shall be reported for each class of fund in the statement of operations or disclosed in the notes to financial statements. Reporting the amount of fund-level expenses allocated to each class is not required but disclosure of fund-level expenses by class in the statement of operations or in notes to financial statements is permitted. (See paragraph [946-220-45-9](#).)

· > Fund of Funds

946-220-50-4 In accordance with paragraph [946-220-45-14](#), the investor fund shall not reflect any operating expenses if the investee funds have agreed to assume certain of the investor fund expenses. To the extent the investor fund has such agreements, they shall be disclosed in the notes to financial statements.

S00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-220-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
946-220-S45-1 through S45-3	Added	Maintenance Update 2017-19 	11/15/2017
946-220-S50-1 through S50-3	Added	Maintenance Update 2017-19 	11/15/2017
946-220-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019
946-220-S99-1 through S99-3	Added	Maintenance Update 2017-19 	11/15/2017

946-220-S99-3

Amended

Accounting Standards Update No.
2019-07

07/26/2019

S45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Statements of Operations Format

946-220-S45-1 See paragraph [946-220-S99-1](#), Regulation S-X Rule 6-07, for the required income statement presentation for registered investment companies.

> Format for Statements of Operations of Issuers of Face-Amount Certificates

946-220-S45-2 See paragraph [946-220-S99-2](#), Regulation S-X Rule 6-08, for the required income statement presentation for issuers of face-amount certificates.

> Statements of Changes in Net Assets Format

946-220-S45-3 See paragraph [946-220-S99-3](#), Regulation S-X Rule 6-09, for the required statement of changes in net assets format.

S50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Expenses

946-220-S50-1 See paragraph [946-220-S99-1](#), Regulation S-X Rule 6-07.2, for the required disclosures pertaining to expenses.

· > Issuers of Face-Amount Certificates

946-220-S50-2 See paragraph [946-220-S99-2](#), Regulation S-X Rule 6-08.2, for the required disclosures pertaining to expenses of issuers of face-amount certificates.

> Realized and Unrealized Gains (Losses) on Investments—Net

946-220-S50-3 See paragraph [946-220-S99-1](#), Regulation S-X Rule 6-07.7(c), for the required disclosures pertaining to realized and unrealized gains (losses) on investments—net.

S99 SEC Materials

General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 6-07, Statements of Operations

946-220-S99-1 The following is the text of Regulation S-X Rule 6-07, Statements of Operations (17 CFR 210.6-07).

Statements of operations, or statements of comprehensive income, where applicable, filed by registered investment companies, other than issuers of face-amount certificates, subject to the special provisions of § 210.6-08 and business development companies, shall comply with the following provisions:

STATEMENTS OF OPERATIONS**1. Investment income. State separately income from:**

- (a) Dividends;
- (b) interest on securities; and
- (c) other income.

Any other category of income which exceeds five percent of the total shown under this caption (e.g. income from non-cash dividends, income from payment-in-kind interest) shall be stated separately. If income from investments in or indebtedness of affiliates is included hereunder, such income shall be segregated under an appropriate caption subdivided to show separately income from: (1) Controlled companies; and (2) other affiliates. If income from non-cash dividends or payment-in-kind interest are included in income, the bases of recognition and measurement used in respect to such amounts shall be disclosed.

2. Expenses.

(a) State separately the total amount of investment advisory, management and service fees, and expenses in connection with research, selection, supervision, and custody of investments. Amounts of expenses incurred from transactions with affiliated persons shall be disclosed together with the identity of and related amount applicable to each such person accounting for five percent or more of the total expenses shown under this caption together with a description of the nature of the affiliation. Expenses incurred within the person's own organization in connection with research, selection and supervision of investments shall be stated separately. Reductions or reimbursements of management or service fees shall be shown as a negative amount or as a reduction of total expenses shown under this caption.

(b) State separately any other expense item the amount of which exceeds five percent of the total expenses shown under this caption.

(c) A note to the financial statements shall include information concerning management and service fees, the rate of fee, and the base and method of computation. State separately the amount and a description of any fee reductions or reimbursements representing: (1) Expense limitation agreements or commitments; and (2) offsets received from broker-dealers showing separately for each amount received or due from (i) unaffiliated persons; and (ii) affiliated persons. If no management or service fees were incurred for a period, state the reason therefor.

(d) If any expenses were paid otherwise than in cash, state the details in a note.

(e) State in a note to the financial statements the amount of brokerage commissions (including dealer markups) paid to affiliated broker-dealers in connection with purchase and sale of investment securities. Open-end management companies shall state in a note the net amounts of sales charges deducted from the proceeds of sale of capital shares which were retained by any affiliated principal underwriter or other affiliated broker-dealer.

(f) State separately all amounts paid in accordance with a plan adopted under 17 CFR 270.12b-1 of this chapter. Reimbursement to the fund of expenses incurred under such plan (12b-1 expense reimbursement) shall be shown as a negative amount and deducted from current 12b-1 expenses. If 12b-1 expense reimbursements exceed current 12b-1 costs, such excess shall be shown as a negative amount used in the calculation of total expenses under this caption.

(g)(1) Brokerage/Service Arrangements. If a broker-dealer or an affiliate of the broker-dealer has, in connection with directing the person's brokerage transactions to the broker-dealer, provided, agreed to provide, paid for, or agreed to pay for, in whole or in part, services provided to the person (other than brokerage and research services as those terms are used in section 28(e) of the Securities Exchange Act of 1934 [15 U.S.C. 78bb(e)]), include in the expense items set forth under this caption the amount that would have been incurred by the person for the services had it paid for the services directly in an arms-length transaction.

(2) Expense Offset Arrangements. If the person has entered into an agreement with any other person pursuant to which such other person reduces, or pays a third party which reduces, by a specified or reasonably ascertainable amount, its fees for services provided to the person in exchange for use of the person's assets, include in the expense items set forth under this caption the amount of fees that would have been incurred by the person if the person had not entered into the agreement.

(3) Financial Statement Presentation. Show the total amount by which expenses are increased pursuant to paragraphs (1) and (2) of this paragraph 2(g) as a corresponding reduction in total expenses under this caption. In a note to the financial statements, state separately the total amounts by which expenses are increased pursuant to paragraphs (1) and (2) of this paragraph 2(g), and list each category of expense that is increased by an amount equal to at least 5 percent of total expenses. If applicable, the note should state that the person could have employed the assets used by another person to produce income if it had not entered into an arrangement described in paragraph 2(g)(2) of this section.

3. Interest and amortization of debt discount and expense. Provide in the body of the statements or in the footnotes, the average dollar amount of borrowings and the average interest rate.

4. Investment income before income tax expense.

5. Income tax expense. Include under this caption only taxes based on income.

6. Investment income-net.

7. Realized and unrealized gain (loss) on investments-net.

(a) State separately the net realized gain or loss from:

- (1) Transactions in investment securities of unaffiliated issuers,
- (2) transactions in investment securities of affiliated issuers,
- (3) expiration or closing of option contracts written,
- (4) closed short positions in securities,
- (5) expiration or closing of futures contracts,
- (6) settlement of forward foreign currency contracts,
- (7) expiration or closing of swap contracts, and
- (8) transactions in other investments held during the period.

(b) Distributions of realized gains by other investment companies shall be shown separately under this caption.

(c) State separately the amount of the net increase or decrease during the period in the unrealized appreciation or depreciation in the value of:

- (1) Investment securities of unaffiliated issuers,
- (2) investment securities of affiliated issuers,
- (3) option contracts written,
- (4) short positions in securities,

- (5) futures contracts,
- (6) forward foreign currency contracts,
- (7) swap contracts, and
- (8) other investments held at the end of the period.

(d) State separately any: (1) Federal income taxes and (2) other income taxes applicable to realized and unrealized gain (loss) on investments, distinguishing taxes payable currently from deferred income taxes.

- 8. Net gain (loss) on investments.
 - 9. Net increase (decrease) in net assets resulting from operations.
- [81 FR 82012, Nov. 18, 2016; 83 FR 50202, Oct. 4, 2018]

· · > Regulation S-X Rule 6-08, Special Provisions Applicable to the Statements of Operations of Issuers of Face-Amount Certificates

946-220-S99-2 The following is the text of Regulation S-X Rule 6-08, Special Provisions Applicable to the Statements of Operations of Issuers of Face-Amount Certificates (17 CFR 210.6-08).

Statements of operations filed by issuers of face-amount certificates shall comply with the following provisions:

STATEMENTS OF OPERATIONS

1. Investment income. State separately income from:

- (a) Interest on mortgages;
- (b) interest on securities;
- (c) dividends;
- (d) rental income; and
- (e) other investment income.

If income from investments in or indebtedness of affiliates is included hereunder, such income shall be segregated under an appropriate caption subdivided to show separately income from: (1) Controlled companies; and (2) other affiliates. If non-cash dividends are included in income, the bases of recognition and measurement used in respect to such amounts shall be disclosed. Any other category of income which exceeds five percent of the total shown under this caption shall be stated separately.

2. Investment expenses.

- (a) State separately the total amount of investment advisory, management and service fees, and expenses in connection with research, selection, supervision, and custody of investments. Amounts of expenses incurred from transactions with affiliated persons shall be disclosed together with the identity of and related amount applicable to each such person accounting for five percent or more of the total expenses shown under this caption together with a description of the nature of the affiliation. Expenses incurred within the person's own organization in connection with research, selection and supervision of investments shall be stated separately. Reductions or reimbursements of management or service fees shall be shown as a negative amount or as a reduction of total expenses shown under this caption.
- (b) State separately any other expense item the amount of which exceeds five percent of the total expenses shown under this caption.
- (c) A note to the financial statements shall include information concerning management and service fees, the rate of fee, and the base and method of computation. State separately the amount and a description of any fee reductions or reimbursements representing: (1) Expense

limitation agreements or commitments; and (2) offsets received from broker-dealers showing separately for each amount received or due from: (i) Unaffiliated persons; and (ii) affiliated persons. If no management or service fees were incurred for a period, state the reason therefor.

(d) If any expenses were paid otherwise than in cash, state the details in a note.

(e) State in a note to the financial statements the amount of brokerage commissions (including dealer markups) paid to affiliated broker-dealers in connection with purchase and sale of investment securities.

3. Interest and amortization of debt discount and expense.

4. Provision for certificate reserves. State separately any provision for additional credits, or dividends, or interests, in addition to the minimum maturity or face amount specified in the certificates. State also in an appropriate manner reserve recoveries from surrenders or other causes.

5. Investment income before income tax expense.

6. Income tax expense. Include under this caption only taxes based on income.

7. Investment income-net.

8. Realized gain (loss) on investments-net.

(a) State separately the net realized gain or loss on transactions in:

(1) Investment securities of unaffiliated issuers,

(2) investment securities of affiliated issuers, and

(3) other investments.

(b) Distributions of capital gains by other investment companies shall be shown separately under this caption.

(c) State separately any: (1) Federal income taxes and (2) other income taxes applicable to realized gain (loss) on investments, distinguishing taxes payable currently from deferred income taxes.

9. Net income or loss.

· · > Regulation S-X Rule 6-09, Statements of Changes in Net Assets

946-220-S99-3 The following is the text of Regulation S-X Rule 6-09, Statements of Changes in Net Assets (17 CFR 210.6-09).

Statements of changes in net assets filed for persons to whom this article is applicable shall comply with the following provisions:

STATEMENTS OF CHANGES IN NET ASSETS

1. Operations. State separately:

(a) Investment income-net as shown by § 210.6-07.6;

(b) realized gain (loss) on investments-net of any Federal or other income taxes applicable to such amounts;

(c) increase (decrease) in unrealized appreciation or depreciation-net of any Federal or other income taxes applicable to such amounts; and

(d) net increase (decrease) in net assets resulting from operations as shown by § 210.6-07.9.

2. Net equalization charges and credits. State the net amount of accrued undivided earnings separately identified in the price of capital shares issued and repurchased.

3. Distributions to shareholders. State total distributions to shareholders which generally come from:
- (a) Investment income-net;

(b) realized gain from investment transactions-net; and

(c) other sources, except tax return of capital distributions, which shall be disclosed separately.
4. Capital share transactions.
- (a) State the increase or decrease in net assets derived from the net change in the number of outstanding shares or units.

(b) Disclose in the body of the statements or in the notes, for each class of the person's shares, the number and value of shares issued in reinvestment of dividends as well as the number and dollar amounts received for shares sold and paid for shares redeemed.
5. Total increase (decrease).
6. Net assets at the beginning of the period.
7. Net assets at the end of the period.

[47 FR 56838, Dec. 21, 1982, as amended at 83 FR 50202, Oct. 4, 2018]

946 Financial Services—Investment Companies

225 Income Statement

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-225-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
12b-1	Superseded	Maintenance Update 2017-19 	11/15/2017
946-225-05-1	Superseded	Maintenance Update 2017-19 	11/15/2017
946-225-15-1	Superseded	Maintenance Update 2017-19 	11/15/2017

946-225-45-1 through 45-17	Superseded	Maintenance Update 2017-19 	11/15/2017
946-225-50-1	Superseded	Maintenance Update 2017-19 	11/15/2017
946-225-50-2	Superseded	Maintenance Update 2017-19 	11/15/2017

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-225-05-1 [Paragraph superseded by Maintenance Update 2017-19.](#)

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

946-225-15-1 [Paragraph superseded by Maintenance Update 2017-19.](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

- 946-225-45-1** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-2** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-3** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-4** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-5** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-6** [Paragraph superseded by Maintenance Update 2017-19.](#)

- 946-225-45-7** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-8** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-9** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-10** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-11** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-12** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-13** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-14** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-15** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-16** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-45-17** [Paragraph superseded by Maintenance Update 2017-19.](#)

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 946-225-50-1** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-50-2** [Paragraph superseded by Maintenance Update 2017-19.](#)

S00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-225-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
946-225-S45-1 through S45-3	Superseded	Maintenance Update 2017-19 	11/15/2017
946-225-S50-1 through S50-3	Superseded	Maintenance Update 2017-19 	11/15/2017
946-225-S99-1 through S99-3	Superseded	Maintenance Update 2017-19 	11/15/2017

S45 Other Presentation Matters

 **General Note:**The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

- 946-225-S45-1** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-S45-2** [Paragraph superseded by Maintenance Update 2017-19.](#)
- 946-225-S45-3** [Paragraph superseded by Maintenance Update 2017-19.](#)

S50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

946-225-S50-1 Paragraph superseded by Maintenance Update 2017-19.

946-225-S50-2 Paragraph superseded by Maintenance Update 2017-19.

946-225-S50-3 Paragraph superseded by Maintenance Update 2017-19.

S99 SEC Materials

General Note: As more fully described in *About the Codification*, the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

946-225-S99-1 Paragraph superseded by Maintenance Update 2017-19.

946-225-S99-2 Paragraph superseded by Maintenance Update 2017-19.

946-225-S99-3 Paragraph superseded by Maintenance Update 2017-19.

946 Financial Services—Investment Companies

230 Statement of Cash Flows

05 Overview and Background

- General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 946-230-05-1** This Subtopic addresses statements of cash flows for investment companies, as well as the circumstances under which an investment company would be exempt from the presentation of statements of cash flows.

15 Scope and Scope Exceptions

- General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 946-230-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

45 Other Presentation Matters

- General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains

Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

946-230-45-1 Paragraph [230-10-15-4](#) specifies conditions under which an investment company is exempt from the requirements to provide a statement of cash flows.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

946-230-55-1 Examples of noncash investing and financing activities of investment companies that paragraphs [230-10-50-3 through 50-4](#) require be disclosed include reinvestments of dividends and distributions.

946 Financial Services—Investment Companies

235 Notes to Financial Statements

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-235-05-1 This Subtopic addresses notes to financial statements for investment companies with complex capital structures.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

946-235-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Complex Capital Structures

946-235-50-1 Management investment companies that have multiple classes of shares or master-feeder structures shall apply the following disclosure guidance.

· > Multiple-Class Funds

946-235-50-2 Notes to financial statements shall include all of the following:

- a. Description of each class of shares, including sales charges, shareholder servicing fees, and distribution fees
- b. Disclosure of the method used to allocate income and expenses, and realized and unrealized capital gains and losses, to each class
- c. Description of fee arrangements for class-specific distribution plans and for any other class-level expenses paid to affiliates
- d. Disclosure of capital share transactions (if not disclosed separately in the statement of changes in net assets) for each class
- e. Disclosure of total sales charges paid to any affiliates for each class.

· > Master-Feeder Funds

946-235-50-3 Notes to financial statements of each feeder fund shall include all of the following:

- a. A general description of the master and feeder structure
- b. The feeder's percentage ownership share of the particular master fund at the reporting date
- c. A statement that the feeder invests all of its investable assets in a corresponding open-end management investment company having the same investment objectives as the feeder, and a reference to the financial statements of the master fund, including the portfolio of investments
- d. Disclosure of or reference to the accounting policies of the master fund that affect the feeders (such as valuation of investments of the master fund).

Information concerning the purchases and sales of investments and gross unrealized appreciation or depreciation of investments on a tax basis is not applicable to the feeder's financial statements.

· > Fund of Funds

946-235-50-4 Fund management shall consider whether, and to what extent, disclosure of the investee funds' investment policies is appropriate.

946-235-50-5 Notes to financial statements of the reporting fund shall include both of the following:

- a. A general description of the fund of funds structure
- b. Disclosure of valuation policy-values generally based on information reported by investee funds.

S00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-235-S00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	946-235-S99-1 through	Amended	Accounting Standards Update No.	07/26/2019
	S99-4		2019-07	

S50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Qualified Assets

946-235-S50-1 See paragraph 946-10-S99-3, Regulation S-X Rule 6-03(e), for requirements for disclosures pertaining to qualified assets.

> Restricted Securities

946-235-S50-2 See paragraph 946-10-S99-3, Regulation S-X, Rule 6-03(f), for required disclosures pertaining to investments in restricted securities.

> Supplemental Schedules

· > Real Estate Owned and Rental Income

946-235-S50-3 See paragraph 946-235-S99-1, Regulation S-X Rule 12-24, for the requirements of Schedule IV—Real Estate Owned and Rental Income for face-amount certificate companies.

· > Supplementary Profit and Loss Information

946-235-S50-4 See paragraph 946-235-S99-2, Regulation S-X Rule 12-25, for the requirements of the Supplementary Profit and Loss Information.

· > Certificate Reserves

946-235-S50-5 See paragraph 946-235-S99-3, Regulation S-X Rule 12-26, for the requirements of Schedule VI—Certificate Reserves for face-amount certificate issuers.

· > Qualified Assets on Deposit

946-235-S50-6 See paragraph [946-235-S99-4](#), Regulation S-X Rule 12-27, for the requirements of Schedule V—Qualified Assets on Deposit for face-amount certificate issuers.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 12-24, Real Estate Owned and Rental Income

946-235-S99-1 The following is the text of Regulation S-X Rule 12-24, Real Estate Owned and Rental Income (17 CFR 210.12-24).

Reg. § 210.12-24 Real Estate Owned and Rental Income¹

Part 1—Real estate owned at end of period						Part 2—Rental Income			
Column A	Column B	Column C	Column D	Column E	Column F	Column G	Column H	Column I	Column J
List classification of property as indicated below ^{2,3}	Amount of incumbrances	Initial cost to company	Cost of improvements, etc.	Amount at which carried at close of period ^{4,5,6,7}	Reserve for depreciation	Rents due and accrued at end of period	Total rental income applicable to period	Expended for interest, taxes, repairs and expenses	Net income applicable to period
Total ⁸	=====	=====	=====	=====	=====	=====	=====	=====	=====
Rent from properties sold during period	xxxxx	xxxxx	xxxxx	xxxxx	xxxxx	xxxxx	=====	=====	=====
Total	xxxxxx	xxxxxx	xxxxxx	xxxxxx	xxxxxx	xxxxxx	=====	=====	=====

¹ All money columns shall be totaled.

² Each item of property included in column E in an amount in excess of \$100,000 shall be listed separately.

³ In a separate schedule classify by states in which the real estate owned is located the total amounts in support of columns E and F.

⁴ In a footnote to this schedule, furnish a reconciliation, in the following form, of the total amount at which real estate was carried at the beginning of the period with the total amount shown in column E:

Balance at beginning of period \$

Additions during period:

Acquisitions through foreclosure \$

Other acquisitions

Improvements, etc.

Other (describe)

Deductions during period:

Cost of real estate sold \$

Other (describe)

Balance at close of period \$

If additions, except acquisitions through foreclosure, represent other than cash expenditures, explain. If any of the changes during the period result from transactions, directly or indirectly, with affiliates, explain and state the amount of any intercompany gain or loss.

⁵ If any item of real estate investments has been written down or reserved against pursuant to § 210.6-03(d), describe the item and explain the basis for the write-down or reserve.

⁶ State in a footnote to column E the aggregate cost for Federal income tax purposes.

⁷ The amount of all intercompany profits included in the total of column E shall be stated if material.

⁸ Summarize the aggregate amounts for each column applicable to § 210.6-06(1) and 6-06(5)(a).

[16 FR 348, Jan. 13, 1951, as amended at 16 FR 2655, Mar. 24, 1951. Redesignated at 45 FR 63679, Sept. 25, 1980; 83 FR 50208, Oct. 4, 2018]

· · > Regulation S-X Rule 12-25, Supplementary Profit and Loss Information

946-235-S99-2 The following is the text of Regulation S-X Rule 12-25, Supplementary Profit and Loss Information (17 CFR 210.12-25).

Reg. § 210.12-25 Supplementary Profit and Loss Information

Column A	Column B	Column C		Column D
Item ¹	Charged to investment expense	Charged to other accounts		Total
		(1) Amount	(2) Amount	
1. Legal expenses (including those in connection with any matter, measure or proceeding before legislative bodies, officers or government departments)				
2. Advertising publicity				
3. Sales promotion ²				
4. Payments directly and indirectly to trade associations and service organizations, and contributions to other organization				

1 Amounts resulting from transactions with affiliates shall be stated separately.

2 State separately each category of expense representing more than 5 percent of the total expense shown under this item.

· · > Regulation S-X Rule 12-26, Certificate Reserves

946-235-S99-3 The following is the text of Regulation S-X Rule 12-26, Certificate Reserves (17 CFR 210.12-26).

Reg. § 210.12-26 Certificate Reserves

Column A	Column B Balance at beginning of period			Column C Additions			Column D Deductions			Column E Balance at close of period		
Description ¹	(1) Number of accounts with security bidders	(2) Amount of maturity value	(3) Amount of reserves ²	(1) Charged to profit and loss or income	(2) Reserve payments by certificate holders	(3) Charged to other accounts—describe	(1) Maturities	(2) Cash surrenders prior to maturity	(3) Other—describe	(1) Number of accounts with security holders	(2) Amount of maturity value	(3) Amount of reserves ²

1 (a) Each series of certificates shall be stated separately. The description shall include the yield to maturity on an annual payment basis.

(b) For certificates of the installment type, information required by columns B, D (2) and (3) and E shall be given by age groupings, according to the number of months paid by security holders, grouped to show those upon which 1-12 monthly payments have been made, 13-24 payments, etc.

2 (a) If the total of the reserves shown in these columns differs from the total of the reserves per the accounts, there should be stated (i) the aggregate difference and (ii) the difference on a \$1,000 face-amount certificate basis.

(b) There shall be shown by footnote or by supplemental schedule (i) the amounts periodically credited to each class of security holders' accounts from installment payments and (ii) such other amounts periodically credited to accumulate the maturity amount of the certificate. Such information shall be stated on a \$1,000 face-amount certificate basis for the term of the certificate.

· · > Regulation S-X Rule 12-27, Qualified Assets On Deposit

946-235-S99-4 The following is the text of Regulation S-X Rule 12-27, Qualified Assets on Deposit (17 CFR 210.12-27).

Reg. § 210.12-27 Qualified Assets on Deposit¹

Column A	Column B	Column C	Column D	Column E	Column F
Name of depository ²	Cash	Investments in securities	First mortgages and other first liens on real estate	Other	Total ³

1 All money columns shall be totaled.

2 Classify names of individual depositories under group headings, such as banks and states.

3 Total of column F shall agree with note required by § 210.6-06(4) as to total amount of qualified Assets on Deposit.

[59 FR 65637, Dec. 20, 1994, as amended at 83 FR 50208, Oct. 4, 2018]

946 Financial Services—Investment Companies

305 Cash and Cash Equivalents

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-305-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	946-305-05-1	Superseded	Maintenance Update 2017-21	12/22/2017
	946-305-15-1	Superseded	Maintenance Update 2017-21	12/22/2017
	946-305-45-1	Superseded	Maintenance Update 2017-21	12/22/2017
	946-305-45-2	Superseded	Maintenance Update 2017-21	12/22/2017

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-305-05-1 [Paragraph superseded by Maintenance Update 2017-21.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

946-305-15-1 [Paragraph superseded by Maintenance Update 2017-21.](#)

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

946-305-45-1 [Paragraph superseded by Maintenance Update 2017-21.](#)

946-305-45-2 [Paragraph superseded by Maintenance Update 2017-21.](#)

946 Financial Services—Investment Companies

310 Receivables

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-310-05-1 This Subtopic addresses an investment company's accounting for receivables.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

946-310-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Statement of Assets and Liabilities or Statement of Net Assets

· > Receivables

- 946-310-45-1

Receivables shall be listed separately at net realizable value for all of the following categories, among others:

a. Dividends and interest

b. Investment securities sold

c. Capital stock sold

d. Other accounts receivable, such as receivables from [related parties](#), including expense reimbursement receivables from affiliates, and variation margin on open futures contracts.
- 946-310-45-2

Receivables denominated in foreign currencies shall be converted into the functional currency at current exchange rates and may be categorized with the corresponding functional currency receivables.

S00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-310-S00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
946-310-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019

S50 Disclosure

i General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Mortgage Loans on Real Estate and Interest Earned on Mortgages

946-310-S50-1 See paragraph [946-310-S99-1](#), Regulation S-X Rule 12-23, for the requirements of Schedule III—Mortgage Loans on Real Estate and Interest Earned on Mortgages for face-amount certificate investment companies.

S99 SEC Materials

General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 12-23, Mortgage Loans on Real Estate and Interest Earned on Mortgages

946-310-S99-1 The following is the text of Regulation S-X Rule 12-23, Mortgage Loans on Real Estate and Interest Earned on Mortgages (17 CFR 210.12-23).

Reg. § 210.12-23 Mortgage Loans on Real Estate and Interest Earned on Mortgages ¹

Part 1—Mortgage loans on real estate at close of period					Part 2—Interest earned on mortgages		
Column A	Column B	Column C	Column D		Column E	Column F	Column G
List by classification indicated below ^{2,3,7}	Prior liens ²	Carrying amount of mortgages ^{8,9,10,11}	Amount of principal unpaid at close of period		Amount of mortgages being foreclosed	Interest due and accrued at end of period ⁶	Interest income earned applicable to period ⁵
			(1) Total	(2) Subject to delinquent interest ⁴			
Liens on:							
Farms (total).....							
Residential (total).....							
Apartments and business (total).....							
Unimproved (total).....							
Total ¹²							

1 All money columns shall be totaled.

2 If mortgages represent other than first liens, list separately in a schedule in a like manner, indicating briefly the nature of the lien. Information need not be furnished as to such liens which are fully insured or wholly guaranteed by an agency of the United States Government.

3 In a separate schedule classify by states in which the mortgaged property is located the total amounts in support of columns B, C, D and E.

4 (a) Interest in arrears for less than 3 months may be disregarded in computing the total amount of principal subject to delinquent interest.
(b) Of the total principal amount, state the amount acquired from controlled and other affiliates.

5 In order to reconcile the total of column G with the amount shown in the profit and loss or income statement, interest income earned applicable to period from mortgages sold or canceled during period should be added to the total of this column.

6 If the information required by columns F and G is not reasonably available because the obtaining thereof would involve unreasonable effort or expense, such information may be omitted if the registrant shall include a statement showing that unreasonable effort or expense would be involved. In such an event, state in column G for each of the above classes of mortgage loans the average gross rate of interest on mortgage loans held at the end of the fiscal period.

7 Each mortgage loan included in column C in an amount in excess of \$500,000 shall be listed separately. Loans from \$100,000 to \$500,000 shall be grouped by \$50,000 groups, indicating the number of loans in each group.

8 In a footnote to this schedule, furnish a reconciliation, in the following form, of the carrying amount of mortgage loans at the beginning of the period with the total amount shown in column C:

Balance at beginning of period

\$

Additions during period:

New mortgage loans \$

Other (describe) \$

Deductions during period:

Collections of principal \$

Foreclosures

Cost of mortgages sold

Amortization of premium

Other (describe)

Balance at close of period

\$

If additions represent other than cash expenditures, explain. If any of the changes during the period result from transactions, directly or indirectly with affiliates, explain the bases of such transactions, and amounts involved. State the aggregate amount of mortgages (a) renewed and (b) extended. If the carrying amount of the new mortgages is in excess of the unpaid amount (not including interest) of prior mortgages, explain.

9 If any item of mortgage loans on real estate investments has been written down or reserved against pursuant to § 210.6-03 describe the item and explain the basis for the write-down or reserve.

10 State in a footnote to column C the aggregate cost for Federal income tax purposes.

11 If the total amount shown in column C includes intercompany profits, state the bases of the transactions resulting in such profits and, if practicable, state the amounts thereof.

12 Summarize the aggregate amounts for each column applicable to § 210.6-06(1) and 6-06(5)(a).

[16 FR 348, Jan. 13, 1951, as amended at 16 FR 2655, Mar. 24, 1951; 83 FR 50208, Oct. 4, 2018]

946 Financial Services—Investment Companies

320 Investments—Debt and Equity Securities

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-320-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
946-320-30-1	Added	Accounting Standards Update No. 2013-08	06/07/2013
946-320-35-11	Amended	Accounting Standards Update No. 2012-04	10/01/2012
946-320-35-20	Amended	Accounting Standards Update No. 2017-08	03/30/2017
946-320-40-1	Amended	Accounting Standards Update No. 2013-08	06/07/2013

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-320-05-1 This Subtopic addresses an investment company's accounting for investments in debt and equity securities, including matters encountered by investment companies holding [high-yield debt securities](#) in their portfolios. Included is discussion of all of the following matters:

- a. Interest income from step bonds and payment-in-kind bonds
- b. Previously recorded purchased interest if recoverability becomes doubtful in connection with defaults or potential defaults by issuers
- c. Additional expenditures made by investment companies in support of high-yield debt securities and other securities.

946-320-05-2 An investment company's securities portfolio typically comprises substantially all its net assets. Portfolio securities produce income from dividends, interest, and changes in [fair values](#) of securities while they are owned by the fund.

> High-Yield Debt Securities

946-320-05-3 High-yield debt securities ([junk bonds](#)) take various forms. The most common forms may include zero-coupon bonds, [payment-in-kind bonds](#), and deep-discount [step bonds](#). High-yield debt securities have supplied significant capital for business expansion and corporate restructuring. These securities are inherently different from investment-grade debt securities. They present additional credit, liquidity, and market risks for all participants in this marketplace: holders, issuers, underwriters, and broker-dealers.

946-320-05-4 High-yield debt securities typically are unsecured and subordinate to other debt outstanding. Many issuers of high-yield debt securities are highly leveraged, with limited equity capital. That, plus a market for such securities that may not always be liquid, may increase the market risk, liquidity risk, and credit risk of high-yield debt securities as follows:

- a. Market risk. In contrast to investment-grade bonds (the market prices of which change primarily as a reaction to changes in interest rates), the market prices of high-yield bonds (which are also affected by changes in interest rates) are influenced much more by credit factors and financial results of the issuer and by general economic factors that influence the financial markets as a whole. Such factors often make it difficult to substantiate the market valuation of high-yield bonds.
- b. Liquidity risk. The market risk is often heightened by liquidity risk; that is, the absence of centralized high-yield bond exchanges and relatively thin trading markets, which make it more difficult to liquidate holdings quickly and increase the volatility of the market price. There is generally no centralized or regulated procedure for pricing high-yield debt issues.
- c. Credit risk. Issues of high-yield debt securities are more likely to default on interest or principal than are issues of investment-grade securities.

946-320-05-5 High-yield debt securities may be issued or traded at significant discounts from their face amounts (principal).

946-320-05-6 Interest for some high-yield debt securities is not paid currently. Instead, interest may be deferred and paid at maturity (zero-coupon bonds) or in periodic interest payments that do not commence until a specific date in the securities' life cycle (step bonds), or interest may be paid in the form of additional debt securities of the issuer bearing similar terms (payment-in-kind bonds).

> Interest Receivable Purchased on Defaulted Debt Securities

946-320-05-7 Interest receivable from debt securities generally comprises both of the following distinct components:

- a. Interest purchased from the previous bondholder
- b. Interest accrued by the investment company during the holding period.

946-320-05-8 If market prices fluctuate significantly or issues of debt securities have defaulted, a judgment about whether to write off interest receivable will involve both components. Writeoffs of interest receivable differ from traditional writeoffs of trade accounts receivable since they can significantly affect an investment company's statement of operations, the performance measurement ratios of expenses to average net assets, and net investment income to average net assets.

> Expenditures in Support of Defaulted Debt Securities

946-320-05-9 The market for many high-yield debt securities is relatively thin. When issuers of high-yield and other debt securities default, the bondholders often become active in any negotiations and in the workout

process. This process often results in new terms that restructure the obligations to allow the issuer to continue to meet its ongoing interest obligations and maintain some, if not all, of the principal value to the holders of the obligations.

946-320-05-10 Adverse economic developments often lead to increases in the default rates of high-yield and other debt securities. In addition to occasional [capital infusions](#), professional fees to legally restructure the investments are frequently incurred by the bondholders.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

946-320-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#), with instrument qualifications noted below.

> Instruments

946-320-15-2 Securities that have no credit rating shall be classified as [high-yield debt securities](#) if they otherwise have the characteristics of such securities.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Baby Bonds

See [Payment-in-Kind Bonds](#).

Capital Infusions

Expenditures made directly to the issuer to ensure that operations are completed, thereby allowing the issuer to generate cash flows to service the debt. Such expenditures are usually nonrecurring. In certain cases, bondholders may receive additional promissory notes, or the original bond instrument may be amended to provide for repayment of the capital infusions.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

High-Yield Debt Securities

Corporate and municipal debt securities having a lower-than-investment-grade credit rating (BB+ or lower by Standard & Poor's, or Ba or lower by Moody's). Because high-yield debt securities typically are used when lower-cost capital is not available, they have interest rates several percentage points higher than investment-grade debt and often have shorter maturities. These high-yielding corporate and municipal debt obligations are frequently referred to as junk bonds.

Interest Method

The method used to arrive at a periodic interest cost (including amortization) that will represent a level effective rate on the sum of the face amount of the debt and (plus or minus) the unamortized premium or discount and expense at the beginning of each period.

Junk Bonds

See [High-Yield Debt Securities](#).

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms

- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Payment-in-Kind Bonds

Bonds in which the issuer has the option at each interest payment date of making interest payments in cash or in additional debt securities. Those additional debt securities are referred to as baby or bunny bonds. Baby bonds generally have the same terms, including maturity dates and interest rates, as the original bonds (parent payment-in-kind bonds). Interest on baby bonds may also be paid in cash or in additional like-kind debt securities at the option of the issuer.

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Return of Capital

Distributions by investment companies in excess of tax-basis earnings and profits.

Step Bonds

Bonds that involve a combination of deferred-interest payment dates and increasing interest payment amounts over the bond lives and, thus, bear some similarity to zero-coupon bonds and to traditional debentures.

Workout Expenditures

Professional fees (legal, accounting, appraisal) paid to entities unaffiliated with the investment company's advisor or sponsor in connection with any of the following:

- a. Capital infusions
- b. Restructurings or plans of reorganization
- c. Ongoing efforts to protect or enhance an investment
- d. The pursuit of other claims or legal actions.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Effective Date of Transactions

· > Trade Date Recognition for Securities Purchases and Sales Other Than Private Placements and Tender Offers

946-320-25-1 An investment company shall record security purchases and sales as of the trade date, the date on which the investment company agrees to purchase or sell the securities, so that the effects of all securities trades entered into by or for the account of the investment company to the date of a financial report are included in the financial report.

· > Private Placements and Tender Offers

946-320-25-2 A securities transaction outside conventional channels, such as through a private placement or by submitting shares in a tender offer, shall be recorded as of the date the investment company obtained a right to demand the securities purchased or to collect the proceeds of sale, and incurred an

obligation to pay the price of the securities purchased or to deliver the securities sold, respectively. Determining the recording date may sometimes require an interpretation by legal counsel.

946-320-25-3 Even if the investment company tenders its securities, it shall continue to value the shares tendered until the number of shares accepted in the tender is known. Thereafter, the investment company shall value the assets to be received for the shares tendered.

· > Dividends

946-320-25-4 Investment companies shall record dividend income on the ex-dividend date, not on the declaration, record, or payable date, because on the ex-dividend date the quoted market price of listed securities and other market-traded securities tends to be affected by the exclusion of the dividend declared. Also, investment companies shall record liabilities for dividends to shareholders on the ex-dividend or ex-distribution date because mutual fund shares are purchased and redeemed at prices equal to or based on net asset value. Investors purchasing shares between the declaration and ex-dividend dates are entitled to receive the dividend, whereas investors purchasing shares on or after the ex-dividend date are not entitled to the dividend.

30 Initial Measurement

 **General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

946-320-30-1 An investment company shall initially measure its investments in debt and equity securities at their transaction price. The transaction price shall include commissions and other charges that are part of the purchase transaction.

> Securities Received in a Spinoff

946-320-30-2 An investment company may receive securities in a spinoff wherein the entity in which the investment company has invested spins off a portion of its operations. A portion of the cost of the securities held shall be allocated to the securities received in the spinoff.

946-320-30-3 The amount allocated to securities received in a spinoff shall be based on the ratio of the fair value of the securities received to the sum of the fair value of such securities and the fair value of the original securities held by the investment company of the entity effecting the spinoff.

> High-Yield Debt Securities

· > Payment-in-Kind Bonds

946-320-30-4 [Payment-in-kind bonds](#) typically trade flat (that is, interest receivable is included in the market value quote obtained each day). Accordingly, that portion of the quote representing interest income needs to be identified. The sum of the acquisition amount of the bond and the discount to be amortized shall not exceed the undiscounted future cash collections that are both reasonably estimable and probable.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

946-320-35-1 An investment company shall measure investments in debt and equity securities subsequently at [fair value](#).

> Methods of Valuing Investments

· > Market-Traded Securities

946-320-35-2 Valuing market-traded securities—that is, securities listed and traded on one or more securities exchanges, or unlisted securities traded regularly in over-the-counter markets (for example, U.S. Treasury bonds, notes and bills or stocks traded in the National Market System of the National Association of Securities Dealers Automated Quotations [NASDAQ] Stock Market)—ordinarily is not difficult, because quotations of completed transactions are published daily, or price quotations are readily obtainable from financial reporting services or individual broker-dealers.

946-320-35-3 A security traded in an active market on the valuation date shall be valued at the last quoted sales price.

· > Foreign Investments

946-320-35-4 In general, the discussion of valuation of securities in this Subtopic also applies to foreign securities. Portfolio securities that are traded primarily on foreign securities exchanges shall be valued at the functional currency (usually the U.S. dollar equivalent) values for such securities on their exchanges.

> Dividends

946-320-35-5 Dividends on investment securities shall be recorded on the ex-dividend date. Distributions that represent [returns of capital](#) shall be credited to investment cost rather than to investment income.

946-320-35-6 Stock splits and stock dividends in shares of the same class as the shares owned are not income to the investment company. However, dividends for which the recipient has the choice to receive cash or

stock are usually recognized as investment income in the amount of the cash option, because in such cases cash is usually the best evidence of fair value of the stock.

- 946-320-35-7** Other noncash dividends shall be recognized as investment income at the fair value of the property received.
- 946-320-35-8** Stock rights (that is, subscription rights) received shall be allocated a prorated portion of the cost basis of the related investment; however, allocation is not required if the fair value of the rights is 15 percent or less of the fair value of the investment company's holdings.
- 946-320-35-9** Cash dividends declared on stocks for which the securities portfolio reflects a short position as of the record date shall be recognized as an expense on the ex-dividend date.

> High-Yield Debt Securities

· > Payment-in-Kind Bonds

- 946-320-35-10** An investment company shall use the [interest method](#) (see paragraph [835-30-35-2](#)) to determine interest income on [payment-in-kind bonds](#).
- 946-320-35-11** To the extent that interest income to be received in the form of [baby bonds](#) is not expected to be realized, a reserve against income shall be established. Specifically, the investment company shall determine periodically that the total amount of interest income recorded as receivable, plus the initial cost of the underlying payment-in-kind bond, does not exceed the fair value of those assets.

· > Step Bonds

- 946-320-35-12** Income on [step bonds](#) should be recognized using the interest method (see paragraph [835-30-35-2](#)).
- 946-320-35-13** To the extent that interest income is not expected to be realized, a reserve against income shall be established. Specifically, the sum of the acquisition amount of the bond and the discount to be amortized shall not exceed the undiscounted future cash collections that are both reasonably estimable and probable.

> Expenditures in Support of Defaulted Debt Securities

· > Capital Infusions

- 946-320-35-14** All [capital infusions](#) shall be recorded as additions to the cost bases of related securities.

· > Workout Expenditures

- 946-320-35-15** [Workout expenditures](#) that are incurred as part of negotiations of the terms and requirements of capital infusions, or that are expected to result in the restructuring of or a plan of reorganization for an investment shall be recorded as realized losses.
- 946-320-35-16** Ongoing expenditures to protect or enhance an investment, or expenditures incurred to pursue other claims or legal actions, shall be treated as operating expenses.

> Interest Receivable Purchased on Defaulted Debt Securities

- 946-320-35-17** The portion of interest receivable on defaulted debt securities written off that was recognized as interest income shall be treated as a reduction of interest income.
- 946-320-35-18** Writeoffs of purchased interest should be reported as both of the following:
- Increases to the cost basis of the security
 - Unrealized losses until the security is sold.
- 946-320-35-19** Those reserves shall be recorded when they become probable and estimable in accordance with the guidance in Subtopic [450-20](#).

> Premiums and Discounts

- 946-320-35-20** Premiums and discounts shall be amortized using the interest method. The amortization of premiums on purchased callable debt securities that have explicit, noncontingent call features that are callable at fixed prices on preset dates shall be consistent with the guidance in paragraph [310-20-35-33](#).

> Proceeds from Litigation Awards

- 946-320-35-21** Proceeds from litigation relating to an investment security shall be accounted for as follows:
- If the investment company holds the securities, the proceeds are accounted for as a reduction of cost.
 - If the investment company no longer holds the securities, the proceeds are accounted for as realized gains on security transactions.

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Determining Costs and Realized Gains and Losses

- 946-320-40-1** The cost of investment securities held in the portfolio of an investment company and the net realized gains or losses thereon shall be determined on the specific identification or average-cost methods. An investment company shall use only one method for all of its investments.

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

- 946-320-45-1** For presentation of investments in debt and equity securities as part of reporting financial position, see Section [946-210-45](#).

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 946-320-50-1** For disclosures about investments in debt and equity securities as part of a schedule of investments, see Section [946-210-50](#).

S00 Status

- i General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-320-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
946-320-S99-1 through S99-9	Amended	Accounting Standards Update No. 2019-07	07/26/2019
946-320-S99-5A through S99-5D	Added	Accounting Standards Update No. 2019-07	07/26/2019
946-320-S99-15	Superseded	Accounting Standards Update No. 2010-22	08/19/2010

S25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Investment Securities

946-320-S25-1 See paragraph [946-320-S99-11](#), CFRR 404.03.a, for the recognition requirements for certain investment securities.

· > Restricted Securities

946-320-S25-2 See paragraph [946-320-S99-17](#), CFRR 404.04.a, for the recognition requirements for restricted securities.

> Dividend and Interest Income

946-320-S25-3 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(g), for the recognition requirements for dividend income.

> Accounting for Interest Collected on Defaulted Bonds

946-320-S25-4 See paragraph [946-320-S99-9A](#), CFRR 404.02, for SEC views on accounting for purchased defaulted bonds with defaulted interest coupons attached.

S30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Qualified Assets of Face-Amount Certificate Companies

946-320-S30-1 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(d), for the measurement requirements for qualified assets of face-amount certificate companies.

S35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Investment Securities

946-320-S35-1 See paragraph [946-320-S99-12](#), CFR 404.03.b, for the valuation requirements for certain investment securities.

· > Restricted Securities

946-320-S35-2 See paragraph [946-320-S99-17](#), CFR 404.04.a, for the valuation requirements for restricted securities.

> Money Market Funds

946-320-S35-3 See paragraph [946-320-S99-20](#), CFRR 404.05, Money Market Funds, for subsequent valuation requirements for money market funds in valuing certain portfolio securities.

S45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

946-320-S45-1 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(d), for requirements for the presentation of investments at value.

> Accounting for Interest Collected on Defaulted Bonds

946-320-S45-2 See paragraph [946-320-S99-9A](#), CFRR 404.02, for SEC views on accounting for purchased defaulted bonds with defaulted interest coupons attached.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Recognition

946-320-S50-1 See paragraph [946-320-S99-11](#), CFRR 404.03.a, for the required disclosure in a situation where the propriety or validity of certain securities are not satisfactorily resolved.

> Valuation Policy

946-320-S50-2 See paragraph [946-320-S99-12](#), CFRR 404.03.b, for disclosure requirements related to valuation policies.

946-320-S50-3 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(d), for the requirement to disclose the valuation method used for investments.

> Restricted Securities

946-320-S50-4 See paragraphs [946-10-S99-3](#), Regulation S-X Rule 6-03(f), and [946-320-S99-13](#), CFRR 404.04.c, for required disclosures pertaining to the valuation of restricted securities.

> Qualified Assets

946-320-S50-5 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(e), for required disclosures pertaining to qualified assets.

> Supplemental Schedules

· > Management Investment Companies

·· > Investments in Securities of Unaffiliated Issuers

946-320-S50-6 See paragraph [946-320-S99-1](#), Regulation S-X Rule 12-12, for the requirements of Schedule I—Investments in Securities of Unaffiliated Issuers for management investment companies.

·· > Investments—Securities Sold Short

946-320-S50-7 See paragraph [946-320-S99-2](#), Regulation S-X Rule 12-12A, for the requirements of Schedule IV—Investments—Securities Sold Short for management investment companies.

·· > Open Options Contracts Written

946-320-S50-8 See paragraph [946-320-S99-3](#), Regulation S-X Rule 12-12B, for the requirements of Schedule V—Open Option Contracts Written for management investment companies.

·· > Summary Schedule of Investments in Securities of Unaffiliated Issuers

946-320-S50-9 See paragraph [946-320-S99-4](#), Regulation S-X Rule 12-12C, for the requirements of Schedule VI—Summary Schedule of Investments in Securities of Unaffiliated Issuers for management investment companies.

·· > Investments Other than Securities

946-320-S50-10 See paragraph [946-320-S99-5](#), Regulation S-X Rule 12-13, for the requirements of Schedule II—Investments—Other than Securities for management investment companies.

· · > Investments in and Advances to Affiliates

946-320-S50-11 See paragraph [946-320-S99-6](#), Regulation S-X Rule 12-14, for the requirements of Schedule III—Investments in Advances to Affiliates for management investment companies.

· · > Summary of Investments—Other than Investments in Related Parties

946-320-S50-12 See paragraph [946-320-S99-7](#), Regulation S-X Rule 12-15, for the requirements of Summary of Investments—Other than Investments in Related Parties.

· > Face-Amount Certificate Investment Companies

· · > Investments in Securities of Unaffiliated Issuers

946-320-S50-13 See paragraph [946-320-S99-8](#), Regulation S-X Rule 12-21, for the requirements of Schedule I—Investments in Securities of Unaffiliated Issuers for face-amount certificate investment companies.

· · > Investments in and Advances to Affiliates and Income Thereon

946-320-S50-14 See paragraph [946-320-S99-9](#), Regulation S-X Rule 12-22, for the requirements of Schedule II—Investments in and Advances to Affiliates and Income Thereon for face-amount certificate investment companies.

S55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Valuation of Securities

946-320-S55-1 See paragraph [946-320-S99-12](#), CFRR 404.03.b., for Commission guidance on determining "value."

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 12-12, Investments in Securities of Unaffiliated Issuers

946-320-S99-1 The following is the text of Regulation S-X Rule 12-12, Investments in Securities of Unaffiliated Issuers (17 CFR 210.12-12).

Reg. § 210.12-12 Investments in Securities of Unaffiliated Issuers

[For management investment companies only]

Column A	Column B	Column C
Name of issuer and title of issue ^{1,2,3,4}	Balance held at close of period. Number of shares—principal amount of bonds and notes ⁷	Value of each item at close of period ^{5,6,8,9,10}

1 Each issue shall be listed separately: *Provided*, however, that an amount not exceeding five percent of the total of Column C may be listed in one amount as "Miscellaneous securities," provided the securities so listed are not restricted, have been held for not more than one year prior to the date of the related balance sheet, and have not previously been reported by name to the shareholders of the person for which the schedule is filed or to any exchange, or set forth in any registration statement, application, or annual report or otherwise made available to the public. If any securities are listed as "Miscellaneous securities," briefly explain in a footnote what the term represents.

2 Categorize the schedule by (i) the type of investment (such as common stocks, preferred stocks, convertible securities, fixed income securities, government securities, options purchased, warrants, loan participations and assignments, commercial paper, bankers' acceptances, certificates of deposit, short-term securities, repurchase agreements, other investment companies, and so forth); and (ii) the related industry, country, or geographic region of the investment. Short-term debt instruments (i.e., debt instruments whose maturities or expiration dates at the time of acquisition are one year or less) of the same issuer may be aggregated, in which case the range of interest rates and maturity dates shall be indicated. For issuers of periodic payment plan certificates and unit investment trusts, list separately (i) trust shares in trusts created or serviced by the depositor or sponsor of this trust; (ii) trust shares in other trusts; and (iii) securities of other investment companies. Restricted securities shall not be combined with unrestricted securities of the same issuer. Repurchase agreements shall be stated separately showing for each the name of the party or parties to the agreement, the date of the agreement, the total amount to be received upon repurchase, the repurchase date and description of securities subject to the repurchase agreements.

3 For options purchased, all information required by §§210.12-13 for options contracts written should be shown. Options on underlying investments where the underlying investment would otherwise be presented in accordance with §§210.12-12, 12-13A, 12-13B, 12-13C, or 12-13D should include the description of the underlying investment as would be required by §§210.12-12, 12-13A, 12-13B, 12-13C, or 12-13D as part of the description of the option.

4 Indicate the interest rate or preferential dividend rate and maturity date, as applicable, for preferred stocks, convertible securities, fixed income securities, government securities, loan participations and assignments, commercial paper, bankers' acceptances, certificates of deposit, short-term securities, repurchase agreements, or other instruments with a stated rate of income. For variable rate securities, indicate a description of the reference rate and spread and: (1) The end of period interest rate or (2) disclose the end of period reference rate for each reference rate described in the Schedule in a note to the Schedule. For securities with payment in kind, disclose the rate paid in kind.

5 The subtotals for each category of investments, subdivided both by type of investment and industry, country or geographic region, shall be shown together with their percentage value compared to net assets. (§§210.6-04.19 or 210.6-05.4.)

6 Column C shall be totaled. The total of Column C shall agree with the correlative amounts shown on the related balance sheet.

7 Indicate by an appropriate symbol each issue of securities which is non-income producing. Evidences of indebtedness and preferred shares may be deemed to be income producing if, on the respective last interest payment date or date for the declaration of dividends prior to the date of the related balance sheet, there was only a partial payment of interest or a declaration of only a partial amount of the dividends payable; in such case, however, each such issue shall be indicated by an appropriate symbol referring to a note to the effect that, on the last interest or dividend date, only partial interest was paid or partial dividends declared. If, on such respective last interest or dividend date, no interest was paid or no cash or in kind dividends declared, the issue shall not be deemed to be income producing. Common shares shall not be deemed to be income producing unless, during the last year preceding the date of the related balance sheet, there was at least one dividend paid upon such common shares.

8 Indicate by an appropriate symbol each issue of restricted securities. State the following in a footnote: (a) as to each such issue (1) acquisition date, (2) carrying value per unit of investment at date of related balance sheet, e.g., a percentage of current market value of unrestricted securities of the same issuer, etc., and (3) the cost of such securities; (b) as to each issue acquired during the year preceding the date of the related balance sheet, the carrying value per unit of investment of unrestricted securities of the same issuer at: (1) The day the purchase price was agreed to and (2) the day on which an enforceable right to acquire such securities was obtained; and (c) the aggregate value of all restricted securities and the percentage which the aggregate value bears to net assets.

9 Indicate by an appropriate symbol each issue of securities whose value was determined using significant unobservable inputs.

10 Indicate by an appropriate symbol each issue of securities held in connection with open put or call option contracts, loans for short sales, or where any portion of the issue is on loan.

[81 FR 82014, Nov. 18, 2016]

· · > Regulation S-X Rule 12-12A, Investments—Securities Sold Short

946-320-S99-2 The following is the text of Regulation S-X Rule 12-12A, Investments—Securities Sold Short (17 CFR 210.12-12A).

Reg. § 210.12.12A Investments—Securities Sold Short

[For management investment companies only]

Column A	Column B	Column C
Name of issuer and title of issue ^{1,2,3}	Balance of short position at close of period (Number of shares)	Value of each open short position ^{4,5,6}

1 Each issue shall be listed separately.

2 Categorize the schedule as required by instruction 2 of §210.12-12.

3 Indicate the interest rate or preferential dividend rate and maturity date, as applicable, for preferred stocks, convertible securities, fixed income securities, government securities, loan participations and assignments, commercial paper, bankers' acceptances, certificates of deposit, short-term securities, repurchase agreements, or other instruments with a stated rate of income. For variable rate securities, indicate a description of the reference rate and spread and: (1) The end of period interest rate or (2) disclose the end of period reference rate for each reference rate described in the Schedule in a note to the Schedule. For securities with payment in kind income, disclose the rate paid in kind.

4 The subtotals for each category of investments, subdivided both by type of investment and industry, country, or geographic region, shall be shown together with their percentage value compared to net assets.

5 Column C shall be totaled. The total of Column C shall agree with the correlative amounts shown on the related balance sheet.

6 Indicate by an appropriate symbol each issue of securities whose value was determined using significant unobservable inputs.

[81 FR 82015, Nov. 18, 2016]

· · > Regulation S-X Rule 12-12B, Summary Schedule of Investments in Securities of Unaffiliated Issuers

946-320-S99-3 The following is the text of Regulation S-X Rule 12-12B, Summary Schedule of Investments in Securities of Unaffiliated Issuers (17 CFR 210.12-12B).

Reg. § 210.12-12B Summary Schedule of Investments in Securities of Unaffiliated Issuers

Column A	Column B	Column C	Column D
Name of issuer and title of issue ^{1,2,3,4,5,6,7,8}	Balance held at close of period. Number of shares—principal amount of bonds and notes ¹⁰	Value of each item at close of period ^{9,11,12,13}	Percentage value compared to net assets

1 Categorize the schedule by (a) the type of investment (such as common stocks, preferred stocks, convertible securities, fixed income securities, government securities, options purchased, warrants, loan participations and assignments, commercial paper, bankers' acceptances, certificates of deposit, short-term securities, repurchase agreements, other investment companies, and so forth); and (b) the related industry, country or geographic region of the investment.

2 The subtotals for each category of investments, subdivided both by type of investment and industry, country, or geographic region, shall be shown together with their percentage value compared to net assets.

3 Indicate the interest rate or preferential dividend rate and maturity date, as applicable, for preferred stocks, convertible securities, fixed income securities, government securities, loan participations and assignments, commercial paper, bankers' acceptances, certificates of deposit, short-term securities, repurchase agreements, or other instruments with a stated rate of income. For variable rate securities, indicate a description of the reference rate and spread and: (1) The end of period interest rate or (2) disclose the end of period reference rate for each reference rate described in the Schedule in a note to the Schedule. For securities with payment in kind income, disclose the rate paid in kind.

4 Except as provided in note 6, list separately the 50 largest issues and any other issue the value of which exceeded one percent of net asset value of the registrant as of the close of the period. For purposes of the list (including, in the case of short-term debt instruments, the first sentence of note 4), aggregate and treat as a single issue, respectively, (a) short-term debt instruments (i.e., debt instruments whose maturities or expiration dates at the time of acquisition are one year or less) of the same issuer (indicating the range of interest rates and maturity dates); and (b) fully collateralized repurchase agreements (indicate in a footnote the range of dates of the repurchase agreements, the total purchase price of the securities, the total amount to be received upon repurchase, the range of repurchase dates, and description of securities subject to the repurchase agreements). Restricted and unrestricted securities of the same issue should be aggregated for purposes of determining whether the issue is among the 50 largest issues, but should not be combined in the schedule. For purposes of determining whether the value of an issue exceeds one percent of net asset value, aggregate and treat as a single issue all securities of any one issuer, except that all fully collateralized repurchase agreements shall be aggregated and treated as a single issue. The U.S. Treasury and each agency, instrumentality, or corporation, including each government-sponsored entity, that issues U.S. government securities is a separate issuer.

5 For options purchased, all information required by §210.12-13 for options contracts written should be shown. Options on underlying investments where the underlying investment would otherwise be presented in accordance with §§210.12-12, 12-13A, 12-13B, 12-13C, or 12-13D should include the description of the underlying investment as would be required by §§210.12-12, 12-13A, 12-13B, 12-13C, or 12-13D as part of the description of the option.

6 If multiple securities of an issuer aggregate to greater than one percent of net asset value, list each issue of the issuer separately (including separate listing of restricted and unrestricted securities of the same issue) except that the following may be aggregated and listed as a single issue: (a) Fixed-income securities of the same issuer which are not among the 50 largest issues and whose value does not exceed one percent of net asset value of the registrant as of the close of the period (indicating the range of interest rates and maturity dates); and (b) U.S. government securities of a single agency, instrumentality, or corporation, which are not among the 50 largest issues and whose value does not exceed one percent of net asset value of the registrant as of the close of the period (indicating the range of interest rates and maturity dates). For each category identified pursuant to note 1, group all issues that are neither separately listed nor included in a group of securities that is listed in the aggregate as a single issue in a sub-category labeled "Other securities," and provide the information for Columns C and D.

7 Any securities that would be required to be listed separately or included in a group of securities that is listed in the aggregate as a single issue may be listed in one amount as "Miscellaneous securities," provided the securities so listed are eligible to be, and are, categorized as "Miscellaneous securities" in the registrant's Schedule of Investments in Securities of Unaffiliated Issuers required under §210.12-12. However, if any security that is included in "Miscellaneous securities" would otherwise be required to be included in a group of securities that is listed in the aggregate as a single issue, the remaining securities of that group must nonetheless be listed as required by notes 4 and 5 even if the remaining securities alone would not otherwise be required to be listed in this manner (e.g., because the combined value of the security listed in "Miscellaneous securities" and the remaining securities of the same issuer exceeds one percent of net asset value, but the value of the remaining securities alone does not exceed one percent of net asset value).

8 If any securities are listed as "Miscellaneous securities" pursuant to note 6 or "Other securities" pursuant to note 5, briefly explain in a footnote what those terms represent.

9 Total Column C. The total of Column C should equal the total shown on the related balance sheet for investments in securities of unaffiliated issuers.

10 Indicate by an appropriate symbol each issue of securities which is non-income producing. Evidences of indebtedness and preferred shares may be deemed to be income producing if, on the respective last interest payment date or date for the declaration of dividends prior to the date of the related balance sheet, there was only a partial payment of interest or a declaration of only a partial amount of the dividends payable; in such case, however, each such issue shall be indicated by an appropriate symbol referring to a note to the effect that, on the last interest or dividend date, only partial interest was paid or partial dividends declared. If, on such respective last interest or dividend date, no interest was paid or no cash or in kind dividends declared, the issue shall not be deemed to be income producing. Common shares shall not be deemed to be income producing unless, during the last year preceding the date of the related balance sheet, there was at least one dividend paid upon such common shares.

11 Indicate by an appropriate symbol each issue of restricted securities. State the following in a footnote: (a) As to each such issue: (1) Acquisition date, (2) carrying value per unit of investment at date of related balance sheet, e.g., a percentage of current market value of unrestricted securities of the same issuer, etc., and (3) the cost of such securities; (b) as to each issue acquired during the year preceding the date of the related balance sheet, the carrying value per unit of investment of unrestricted securities of the same issuer at: (1) The day the purchase price was agreed to; and (2) the day on which an enforceable right to acquire such securities was obtained; and (c) the aggregate value of all restricted securities and the percentage which the aggregate value bears to net assets.

12 Indicate by an appropriate symbol each issue of securities whose value was determined using significant unobservable inputs.

13 Indicate by an appropriate symbol each issue of securities held in connection with open put or call option contracts, loans for short sales, or where any portion of the issue is on loan.

· · > Regulation S-X Rule 12-12C

946-320-S99-4 The following is the text of Regulation S-X Rule 12-12C (17 CFR 210.12-12C).

[Reserved]

· · > Regulation S-X Rule 12-13, Open Option Contracts Written

946-320-S99-5 The following is the text of Regulation S-X Rule 12-13, Open Option Contracts Written (17 CFR 210.12-13).

Reg. § 210.12-13 Open Option Contracts Written

[For management investment companies only]

Column A	Column B	Column C	Column D	Column E	Column F	Column G
Description ^{1,2,3}	Counterparty ⁴	Number of contracts ⁵	Notional amount	Exercise price	Expiration date	Value ^{6,7,8}

1 Information as to put options shall be shown separately from information as to call options.

2 Options where descriptions, counterparties, exercise prices or expiration dates differ shall be listed separately.

3 Options on underlying investments where the underlying investment would otherwise be presented in accordance with §§210.12-12, 12-13A, 12-13B, 12-13C, or 12-13D should include the description of the underlying investment as would be required by §§210.12-12, 12-13A, 12-13B, 12-13C, or 12-13D as part of the description of the option.

If the underlying investment is an index or basket of investments, and the components are publicly available on a Web site as of the balance sheet date, identify the index or basket. If the underlying investment is an index or basket of investments, the components are not publicly available on a Web site as of the balance sheet date, and the notional amount of the option contract does not exceed one percent of the net asset value of the registrant as of the close of the period, identify the index or basket. If the underlying investment is an index or basket of investments, the components are not publicly available on a Web site as of the balance sheet date, and the notional amount of the option contract exceeds one percent of the net asset value of the registrant as of the close of the period, provide a description of the index or custom basket and list separately: (i) The 50 largest components in the index or custom basket and (ii) any other components where the notional value for that component exceeds 1% of the notional value of the index or custom basket. For each investment separately listed, include the description of the underlying investment as would be required by §§210.12-12, 12-13, 12-13A, 12-13B, or 12-13D as part of the description, the quantity held (e.g. the number of shares for common stocks, principal amount for fixed income securities), the value at the close of the period, and the percentage value when compared to the custom basket's net assets.

4 Not required for exchange traded or centrally cleared options.

5 If the number of shares subject to option is substituted for number of contracts, the column name shall reflect that change.

6 Indicate by an appropriate symbol each investment which cannot be sold because of restrictions or conditions applicable to the investment.

7 Indicate by an appropriate symbol each investment whose value was determined using significant unobservable inputs.

8 Column G shall be totaled and shall agree with the correlative amount shown on the related balance sheet.

[81 FR 82016, Nov. 18, 2016]

· · > Regulation S-X Rule 12-13A, Open Futures Contracts

946-320-S99-5A The following is the text of Regulation S-X Rule 12-13A, Open Futures Contracts (17 CFR 210.12-13A).

Reg. § 210.12-13A Open Futures Contracts

[For management investment companies only]

Column A	Column B	Column C	Column D	Column E	Column F
Description ^{1,2,3,4,5}	Number of contracts	Expiration date	Notional amount ⁶	Value	Unrealized appreciation/depreciation

1 Information as to long purchases of futures contracts shall be shown separately from information as to futures contracts sold short.

2 Futures contracts where descriptions or expiration dates differ shall be listed separately.

3 Description should include the name of the reference asset or index.

4 Indicate by an appropriate symbol each investment which cannot be sold because of restrictions or conditions applicable to the investment.

5 Indicate by an appropriate symbol each investment whose value was determined using significant unobservable inputs.

6 Notional amount shall be the current notional amount at close of period.

[81 FR 82017, Nov. 18, 2016]

· · > Regulation S-X Rule 12-13B, Open Forward Foreign Currency Contracts

946-320-S99-5B The following is the text of Regulation S-X Rule 12-13B, Open Forward Foreign Currency Contracts (17 CFR 210.12-13B).

Reg. § 210.12-13B Open Forward Foreign Currency Contracts

[For management investment companies only]

Column A	Column B	Column C	Column D	Column E
Amount and description of currency to be purchased ¹	Amount and description of currency to be sold ¹	Counterparty	Settlement date	Unrealized appreciation/depreciation ^{2,3,4}

1 Forward foreign currency contracts where description of currency purchased, description of currency sold, counterparty, or settlement dates differ shall be listed separately.

2 Indicate by an appropriate symbol each investment which cannot be sold because of restrictions or conditions applicable to the investment.

3 Indicate by an appropriate symbol each investment whose value was determined using significant unobservable inputs.

4 Column E shall be totaled and shall agree with the total of correlative amount(s) shown on the related balance sheet.

[81 FR 82017, Nov. 18, 2016]

· · > Regulation S-X Rule 12-13C, Open Swap Contracts

946-320-S99-5C The following is the text of Regulation S-X Rule 12-13C, Open Swap Contracts (17 CFR 210.12-13C).

Reg. § 210.12-13C Open Swap Contracts

[For management investment companies only]

Column A	Column B	Column C	Column D	Column E	Column F	Column G	Column H
Description and terms of payments to be received from another party ^{1,2,3}	Description and terms of payments to be paid to another party ^{1,2,3}	Counterparty ⁴	Maturity date	Notional amount	Value	Upfront payments/receipts	Unrealized appreciation/depreciation ^{5,6,7}

1 List each major category of swaps by descriptive title (e.g., credit default swaps, interest rate swaps, total return swaps). Credit default swaps where protection is sold shall be listed separately from credit default swaps where protection is purchased.

2 Swaps where description, counterparty, or maturity dates differ shall be listed separately within each major category.

3 Description should include information sufficient for a user of financial information to understand the terms of payments to be received and paid. (e.g. For a credit default swap, including, among other things, description of reference obligation(s) or index, financing rate to be paid or received, and payment frequency. For an interest rate swap, this may include, among other things, whether floating rate is paid or received, fixed interest rate, floating interest rate, and payment frequency. For a total return swap, this may include, among other things, description of reference asset(s) or index, financing rate, and payment frequency.) If the reference instrument is an index or basket of investments, and the components are publicly available on a Web site as of the balance sheet date, identify the index or basket. If the reference instrument is an index or basket of investments, the components are not publicly available on a Web site as of the balance sheet date, and the notional amount of the swap contract does not exceed one percent of the net asset value of the registrant as of the close of the period, identify the index or basket. If the reference instrument is an index or basket of investments, the components are not publicly available on a Web site as of the balance sheet date, and the notional amount of the swap contract exceeds one percent of the net asset value of the registrant as of the close of the period provide a description of the index or custom basket and list separately: (i) The 50 largest components in the index or custom basket and (ii) any other components where the notional value for that components exceeds 1% of the notional value of the index or custom basket. For each investment separately listed, include the description of the underlying investment as would be required by §§210.12-12, 210.12-13, 210.12-13A, 210.12-13B, or 210.12-13D as part of the description, the quantity held (e.g., the number of shares for common stocks, principal amount for fixed income securities), the value at the close of the period, and the percentage value when compared to the custom basket's net assets.

4 Not required for exchange-traded or centrally cleared swaps.

5 Indicate by an appropriate symbol each investment which cannot be sold because of restrictions or conditions applicable to the investment.

6 Indicate by an appropriate symbol each investment whose value was determined using significant unobservable inputs.

7 Columns G and H shall be totaled and shall agree with the total of correlative amount(s) shown on the related balance sheet.

[81 FR 82017, Nov. 18, 2016]

· · > Regulation S-X Rule 12-13D, Investments Other Than Those Presented in §§210.12-12, 12-12A, 12-12B, 12-13, 12-13A, 12-13B, and 12-13C

946-320-S99-5D The following is the text of Regulation S-X Rule 12-13D, Investments Other Than Those Presented in §§210.12-12, 12-12A, 12-12B, 12-13, 12-13A, 12-13B, and 12-13C (17 CFR 210.12-13D).

Reg. § 210.12-13D Investments Other Than Those Presented in §§210.12-12, 12-12A, 12-12B, 12-13, 12-13A, 12-13B, and 12-13C

[For management investment companies only]

Column A	Column B	Column C
Description ^{1,2,3}	Balance held at close of period—quantity ^{4,5}	Value of each item at close of period ^{6,7,8,9}

- 1 Each investment where any portion of the description differs shall be listed separately.
- 2 Categorize the schedule by (i) the type of investment (such as real estate, commodities, and so forth); and, as applicable, (ii) the related industry, country, or geographic region of the investment.
- 3 Description should include information sufficient for a user of financial information to understand the nature and terms of the investment, which may include, among other things, reference security, asset or index, currency, geographic location, payment terms, payment rates, call or put feature, exercise price, expiration date, and counterparty for non-exchange-traded investments.
- 4 If practicable, indicate the quantity or measure in appropriate units.
- 5 Indicate by an appropriate symbol each investment which is non-income producing.
- 6 Indicate by an appropriate symbol each investment which cannot be sold because of restrictions or conditions applicable to the investment.
- 7 Indicate by an appropriate symbol each investment whose value was determined using significant unobservable inputs.
- 8 Indicate by an appropriate symbol investment subject to option. State in a footnote: (a) The quantity subject to option, (b) nature of option contract, (c) option price, and (d) dates within which options may be exercised.
- 9 Column C shall be totaled and shall agree with the correlative amount shown on the related balance sheet.

[81 FR 82018, Nov. 18, 2016]

· · > Regulation S-X Rule 12-14, Investments in and Advances to Affiliates

946-320-S99-6 The following is the text of Regulation S-X Rule 12-14, Investments in and Advances to Affiliates (17 CFR 210.12-14).

Reg. § 210.12-14 Investments in and Advances to Affiliates

[For management investment companies only]

Column A	Column B	Column C	Column D	Column E		Column F
Name of issuer and title of issue or nature of indebtedness ^{1,2,3}	Number of shares—principal amount of bonds, notes and other indebtedness held at close of period	Net realized gain or loss for the period ^{4,6}	Net increase or decrease in unrealized appreciation or depreciation for the period ^{4,6}	Amount of dividends or interest ^{4,6}		Value of each item at close of period ^{5,7,8,9}
				(Col. 1) Credit to income	(Col. 2) Other	

- 1 (a) List each issue separately and group (1) investments in majority-owned subsidiaries; (2) other controlled companies; and (3) other affiliates.
(b) If during the period there has been any increase or decrease in the amount of investment in and advance to any affiliate, state in a footnote (or if there have been changes to numerous affiliates, in a supplementary schedule) (1) name of each issuer and title of issue or nature of indebtedness; (2) balance at beginning of period; (3) gross additions; (4) gross reductions; (5) balance at close of period as shown in Column F. Include in the footnote or schedule comparable information as to affiliates in which there was an investment at any time during the period even though there was no investment at the close of the period of report.
- 2 Categorize the schedule as required by instruction 2 of §210.12-12.
- 3 Indicate the interest rate or preferential dividend rate and maturity date, as applicable, for preferred stocks, convertible securities, fixed income securities, government securities, loan participations and assignments, commercial paper, bankers' acceptances, certificates of deposit, short-term securities, repurchase agreements, or other instruments with a stated rate of income. For variable rate securities, indicate a description of the reference rate and spread and: (1) The end of period interest rate or (2) disclose the end of period reference rate for each reference rate described in the Schedule in a note to the Schedule. For securities with payment in kind income, disclose the rate paid in kind.
- 4 Columns C, D, E, and F shall be totaled. The totals of Column F shall agree with the correlative amount shown on the related balance sheet.
- 5 (a) Indicate by an appropriate symbol each issue of restricted securities. The information required by instruction 8 of §210.12-12 shall be given in a footnote. (b) Indicate by an appropriate symbol each issue of securities subject to option. The information required by §210.12-13 shall be given in a footnote.
- 6 (a) Include in Column E (1) as to each issue held at the close of the period, the dividends or interest included in caption 1 of the statement of operations. In addition, show as the final item in Column E (1) the aggregate of dividends and interest included in the statement of operations in respect of investments in affiliates not held at the close of the period. The total of this column shall agree with the correlative amount shown on the related statement of operations.
(b) Include in Column E (2) all other dividends and interest. Explain in an appropriate footnote the treatment accorded each item.
(c) Indicate by an appropriate symbol all non-cash dividends and interest and explain the circumstances in a footnote.
(d) Indicate by an appropriate symbol each issue of securities which is non-income producing. Evidences of indebtedness and preferred shares may be deemed to be income producing if, on the respective last interest payment date or date for the declaration of dividends prior to the date of the related balance sheet, there was only a partial payment of interest or a declaration of only a partial amount of the dividends payable; in such case, however, each such issue shall be indicated by an appropriate symbol referring to a note to the effect that, on the last interest or dividend date, only partial interest was paid or partial dividends declared. If, on such respective last interest or dividend date, no interest was paid or no cash or in kind dividends declared, the issue shall not be deemed to be income producing. Common shares shall not be deemed to be income producing unless, during the last year preceding the date of the related balance sheet, there was at least one dividend paid upon such common shares.
(e) Include in Column C (1) as to each issue held at the close of the period, the realized gain or loss included in §210.6-07.7 of the statement of operations. In addition, show as the final item in Column C (1) the aggregate of realized gain or loss included in the statement of operations in respect of investments in affiliates not held at the close of the period. The total of this column shall agree with the correlative amount shown on the related statement of operations.
(f) Include in Column D (1) as to each issue held at the close of the period, the net increase or decrease in unrealized appreciation or depreciation included in §210.6-07.7 of the statement of operations. In addition, show as the final item in Column D (1) the aggregate of increase or decrease in unrealized appreciation or depreciation included in the statement of operations in respect of investments in affiliates not held at the close of the period. The total of this column shall agree with the correlative amount shown on the related statement of operations.
- 7 The subtotals for each category of investments, subdivided both by type of investment and industry, country, or geographic region, shall be shown together with their percentage value compared to net assets.
- 8 Indicate by an appropriate symbol each issue of securities whose value was determined using significant unobservable inputs.
- 9 Indicate by an appropriate symbol each issue of securities held in connection with open put or call option contracts, loans for short sales, or where any portion of the issue is on loan.

[81 FR 82018, Nov. 18, 2016]

· · > Regulation S-X Rule 12-15, Summary of Investments—Other than Investments in Related Parties

946-320-S99-7 The following is the text of Regulation S-X Rule 12-15, Summary of Investments—Other than Investments in Related Parties (17 CFR 210.12-15).

Reg. § 210.12-15 Summary of Investments-Other than Investments in Related Parties

[For insurance companies]			
Column A	Column B	Column C	Column D
Type of investment	Cost ¹	Value	Amount at which shown in the balance sheet ²
Fixed maturities:			
Bonds:			
United States Government and government agencies and authorities			
States, municipalities and political subdivisions			
Foreign governments			
Public utilities			
Convertibles and bonds with warrants attached			
All other corporate bonds			
Certificates of Deposit			
Redeemable preferred stock			
Total fixed maturities			
Equity securities:			
Common stocks			
Public utilities			
Banks, trust and insurance companies			
Industrial, miscellaneous and all other			
Nonredeemable preferred stocks			
Total equity securities			
Mortgage loans on real estate			
Real estate ⁴			
Policy loans			
Other long-term investments			
Short-term investments			
Total investments			

1 Original cost of equity securities and, as to fixed maturities, original cost reduced by repayments and adjusted for amortization of premiums or accrual of discounts.

2 If the amount at which shown in the balance sheet is different from the amount shown in either column B or C, state the reason for such difference. The total of this column should agree with the balance sheet.

3 All convertibles and bonds with warrants shall be included in this caption, regardless of issuer.

4 State separately any real estate acquired in satisfaction of debt.

[46 FR 54337, Nov. 2, 1981]

· · > Regulation S-X Rule 12-21, Investments in Securities of Unaffiliated Issuers

946-320-S99-8 The following is the text of Regulation S-X Rule 12-21, Investments in Securities of Unaffiliated Issuers (17 CFR 210.12-21).

Reg. § 210.12-21 Investments in Securities of Unaffiliated Issuers

Column A	Column B	Column C	Column D
Name of issuer and title of issue ¹	Balance held at close of period. Number of shares—principal amount of bonds and notes ²	Cost of each item ^{3,4}	Value of each item at close of period ^{3,5}

- (a) The required information is to be given as to all securities held as of the close of the period of report. Each issue shall be listed separately.
(b) Indicate by an appropriate symbol those securities which are non-income-producing securities. Evidences of indebtedness and preferred shares may be deemed to be income-producing if, on the respective last interest payment date or dates for the declaration of dividends prior to the date of the related balance sheet, there was only a partial payment of interest or a declaration of only a partial amount of the dividends payable; in such case, however, each such issue shall be indicated by an appropriate symbol referring to a note to the effect that, on the last interest or dividend date, only partial interest was paid or partial dividends declared. If, on such respective last interest or dividend date, no interest was paid or no dividends declared, the issue shall not be deemed to be income-producing. Common shares shall not be deemed to be income-producing unless, during the last year preceding the date of the related balance sheet, there was at least one dividend paid upon such common shares. List separately (1) bonds; (2) preferred shares; (3) common shares. Within each of these subdivisions classify according to type of business, insofar as practicable: e.g., investment companies, companies, railroads, utilities, banks, insurance companies, or industrials. Give totals for each group, subdivision, and class.
- Indicate any securities subject to option at the end of the most recent period and state in a note the amount subject to option, the option prices, and the dates within which such options may be exercised.
- Columns C and D shall be totaled. The totals of columns C and D should agree with the correlative amounts required to be shown by the related balance sheet captions. State in a footnote to column C the aggregate cost for Federal income tax purposes.
- If any investments have been written down or reserved against by such companies pursuant to § 210.6-03(d), indicate each such item by means of an appropriate symbol and explain in a footnote.
- Where value is determined on any other basis than closing prices reported on any national securities exchange, explain such other basis in a footnote.

[47 FR 56844, Dec. 21, 1982, as amended at 83 FR 50208, Oct. 4, 2018]

· · > Regulation S-X Rule 12-22, Investments in and Advances to Affiliates and Income Thereon

946-320-S99-9 The following is the text of Regulation S-X Rule 12-22, Investments in and Advances to Affiliates and Income Thereon (17 CFR 210.12-22).

Reg. § 210.12-22 Investment in and Advances to Affiliates and Income Thereon

Column A	Column B	Column C	Column D	Column E		Column F
Name of issuer and title of issue or amount of indebtedness ¹	Balance held at close of period—Number of shares—principal amount of bonds, notes and other indebtedness ²	Cost of each item ^{3,4}	Amount at which carried at close of period ^{4,5}	Amount of dividends or interest ^{4,6}		Amount of equity in net profit and loss for the period ⁷
				(1) Credited to income	(2) Other	

- (a) The required information is to be given as to all investments in affiliates as of the close of the period. See §§210.6-06(1), 210.6-06(5)(b), 210.6-06(8)(a)(2), and 210.6-06(8)(a)(3). List each issue and group separately (1) investments in majority-owned subsidiaries, segregating subsidiaries consolidated; (2) other controlled companies; and (3) other affiliates. Give totals for each group. If operations of any controlled companies are different in character from those of the registrant, group such affiliates within divisions (1) and (2) by type of activities.
(b) Changes during the period. If during the period there has been any increase or decrease in the amount of investment in any affiliate, state in a footnote (or if there have been changes as to numerous affiliates, in a supplementary schedule) (1) name of each issuer and title of issue; (2) balance at beginning of period; (3) gross purchases and additions; (4) gross sales and reductions; (5) balance at close of period as shown in column C. Include in such footnote or schedule comparable information as to affiliates in which there was an investment at any time during the period even though there was no investment in such affiliate as of the close of such period.
- Indicate any securities subject to option at the end of the most recent period and state in a footnote the amount subject to option, the option prices, and the dates within which such options may be exercised.
- If the cost in column C represents other than cash expenditure, explain.
- (a) Columns C, D and E shall be totaled. The totals of columns C and D should agree with correlative amounts required to be shown by the related balance sheet captions. State in a footnote the aggregate cost for Federal income tax purposes.
(b) If any investments have been written down or reserved against by such companies pursuant to § 210.6-03(d), indicate each such item by means of an appropriate symbol and explain in a footnote.
- State the basis of determining the amounts shown in Column D.
- Show in column E(1) as to each issue held at close of period, the dividends or interest included in caption 1 of the profit and loss or income statement. In addition, show as the final item in column E(1) the aggregate dividends and interest included in the profit and loss or income statement in respect of investments in affiliates not held at the close of the period. The total of this column should agree with the amounts shown under such caption. Include in column E(2) all other dividends and interest. Explain briefly in an appropriate footnote the treatment accorded each item. Identify by an appropriate symbol all non-cash dividends and explain the circumstances in a footnote. See §§ 210.6-06(3)(a)(2), 210.6-03(g), and 210.6-07(1).
- The information required by column F need be furnished only as to controlled companies. The equity in the net profit and loss of each person required to be listed separately shall be computed on an individual basis. In addition, there may be submitted the information required as computed on the basis of the statements of each such person and its subsidiaries consolidated.

[59 FR 65637, Dec. 20, 1994, as amended at 83 FR 50208, Oct. 4, 2018]

· > Codification of Financial Reporting Policies

·· > Section 404 Registered Investment Companies

··· > Section 404.02 Accounting for Interest Collected on Defaulted Bonds

946-320-S99-9A The following is the text of CFRR 404.02, Accounting for Interest Collected on Defaulted Bonds.

ASR 36:

A question has been raised as to the treatment by an investment company of interest collected on defaulted bonds applicable to a period prior to the date on which such bonds and defaulted interest were acquired. In the particular case an investment company purchased, at a "flat" price of \$260,000, \$1,000,000 principal amount of bonds with attached defaulted interest coupons amounting to \$250,000. The company subsequent to the purchase received an interest payment of \$40,000 on account of defaulted interest coupons for periods to the purchase.

Where a purchase is made of defaulted bonds with defaulted interest coupons attached, it is clear that the purchase price covers not only the right to receive the principal of the bond itself, but also the right to receive any payments made on the defaulted interest coupons purchased. Under these circumstances, the price paid cannot be deemed to reflect only the cost of acquisition of the issuer's obligation to pay the principal sum, but must instead be considered to reflect as well the cost of acquisition of the issuer's existing obligation to pay the interest coupons already matured. In the usual case, moreover, there is no satisfactory basis on which to allocate the total price between the bond on the one hand and the defaulted interest coupons on the other. Under such circumstances, the bond and defaulted coupons should be treated as a unit for accounting purposes and collections on account of the defaulted interest coupons should be treated not as interest on the sum invested but rather as repayments thereof. Moreover, in view of the uncertainty of eventually receiving payments in excess of the purchase price, ordinarily no part of any payment, whether on account of principal or the defaulted interest, should be considered as profit until the full purchase price has been recovered.

In the instant case, therefore, the receipt of the \$40,000 interest payments should be treated as a reduction of the cost of the investment and not as interest income, or as a profit on the investment. After payments are received on account of the principal and defaulted interest in an amount equal to the purchase price, any further collections thereon should be treated not as interest, but as profit on securities purchased. On the other hand, it seems clear that collection of interest coupons covering periods subsequent to the purchase may be treated as interest income unless the circumstances of a particular case are such as to indicate that, despite the apparent nature of the payment, recovery of the cost of the investment through sale or redemption is so uncertain as to make it necessary to treat the payment as a reduction of the investment.

··· > Section 404.03 Accounting, Valuation and Disclosure of Investment Securities

946-320-S99-10 The following is the text of CFRR 404.03 Accounting, Valuation and Disclosure of Investment Securities.

[The Commission has periodically published its views as to the appropriate method of accounting for and valuation of investment securities of registered investment companies. In addition, the Commission's views have also been published regarding the appropriate disclosure of certain types of investment securities.]

···· > .a. General

946-320-S99-11 The following is the text of CFRR 404.03.a. General.

ASR 118:

The statement of assets and liabilities of a registered investment company comprises, for the most part, not only investments in securities which are held by a custodian or are on hand, but also frequently includes securities as to which contracts to purchase have been entered into but which have not been received. Securities held by a custodian or on hand that have been contracted to be sold are excluded from the investments in such statement. In the ordinary transaction through a broker, recording the transaction on the date the broker advised the investment company that the securities have been purchased or sold (the "trade date"), rather than when delivery is made or due (the "settlement date"), is the established and acceptable practice in investment company accounting.

In the case of purchased or sales of securities other than in the usual brokerage transactions, the date on which the investment company obtains an enforceable right to demand the securities or the payment therefor the date the transaction should be recorded is sometimes difficult to determine. When a question arises as to the date an enforceable right is obtained by the investment company, an opinion of legal counsel as to when the right occurred should normally be obtained by the company's management and made available to the independent accountant. Such an opinion should be in writing, and a copy should be included in the accountant's working papers.

Where the propriety or validity of an investment in a security by an investment company is questionable because of particular provisions or the Investment Company Act, or state law, or the company's investment policy or other representations as stated in its filings with the Commission, or legal obligations in respect of a contract or transaction, a written opinion of legal counsel should also be obtained by the company's management, made available to the independent accountant, and a copy included in the working papers. If the questions of propriety or validity are not satisfactorily resolved, the circumstances of the investment should be disclosed in the financial statements or notes thereto.

Securities held by the company or its custodian should be substantiated by the company's independent accountant in the course of an audit by inspection of such securities in custody pursuant to Section 17(f) of the Investment Company Act. When securities contracted to be purchased but not yet received are included in the statement of assets and liabilities, confirmation of the contract to purchase should be obtained from the bank, broker, or other person responsible for the delivery of such securities. Where satisfactory confirmation has been received, audit procedures normally need not be extended to obtain evidence of subsequent receipt of the securities by the company or its custodian unless additional substantiation is considered necessary by the independent accountant under the circumstances. Where satisfactory confirmation has not been received, subsequent receipt of such securities should be substantiated by other appropriate procedures.

In accordance with Section 30(e) of the Investment Company Act, the certificate of the company's independent accountant should include a brief statement concerning the substantiation of securities owned. Except for securities contracted to be purchased but not received, the certificate should state that the securities were either inspected by the independent accountant or, where the company's securities were maintained in custody pursuant to Section 17(f) of the Investment Company Act, were confirmed to him by the custodian. In the case of securities contracted to be purchased but not received by the company or its custodian, reference should be made to confirmation by banks, brokers, or others or to alternative procedures, as appropriate in the circumstances.

.... > .b. Valuation Of Securities

946-320-S99-12 The following is the text of CFRR 404.03.b. Valuation of Securities.

i. Introduction

ASR 118:

Under Article 6 of Regulation S-X, the statement of assets and liabilities of open-end investment companies must reflect all assets at value, showing cost parenthetically, while closed-end

companies may elect to use either this basis or to reflect all assets at cost, showing value parenthetically.

"Value" is defined in Section 2(a)(41) of the Investment Company Act. For purposes of determining the amounts at which securities and other assets are carried in the statements of assets and liabilities included in annual and other reports and in registration statements filed by investment companies, "value" is defined in pertinent part as: "(i) with respect to securities for which market quotations are readily available, the market value of such securities; and (ii) with respect to other securities and assets, fair value as determined in good faith by the board of directors...." This definition is also used in Rule 2a-4 under the Investment Company Act as the required basis for computing periodically the current net asset value of redeemable securities of investment companies for the purpose of pricing their shares.

In some circumstances value can be determined fairly in more than one way. Hence, the standards set forth below should be considered as guidelines, one or more of which may be appropriate in the circumstances of a particular case. These standards should be followed, and a company's stated valuation policies should be consistent with them. Any variation from the standards should be disclosed in the financial statements or notes thereto even though the variation is in accordance with the company's stated valuation policy. In addition, any deviation from a stated valuation policy, whether or not in conformity with the standard, should be disclosed in the financial statements or notes thereto.

ii. Securities Listed or Traded on a National Securities Exchange

ASR 118:

Ordinarily, little difficulty should be experienced in valuing securities listed or traded on one or more national securities exchanges, since quotations of completed transaction are published daily. If a security is traded on the valuation date, the last quoted sale price generally is used. In the case of securities listed on more than one national securities exchange the last quoted sale, up to the time of valuation, on the exchange on which the security is principally traded should be used or, if there were no sales on that exchange on the valuation date, the last quoted sale, up to the time of valuation, on the other exchanges should be used. With respect to the time of valuation, Rule 22c-1 under the Investment Company Act specifies the frequency with which current net asset value shall be computed.

If there was no sale on the valuation date but published closing bid and asked prices are available, the valuation in such circumstances should be within the range of these quoted prices. Some companies as a matter of general policy use the bid price, others use the mean of the bid and asked prices, and still others use a valuation within the range considered best to represent values in the circumstances; each of these policies is acceptable if consistently applied. Normally, it is not acceptable to use the asked price alone. Where, on the valuation date, only a bid price or an asked price is quoted or the spread between bid and asked prices is substantial, quotations for several days should be reviewed. If sales have been infrequent or there is a thin market in the security, further consideration should be given to whether "market quotations are readily available." If it is decided that they are not readily available, the alternative method of valuation prescribed by Section 2(a)(41) "fair value as determined in good faith by the board of directors" should be used.

iii. Over-the-Counter Securities

ASR 118:

Quotations are available from various sources for most unlisted securities traded regularly in the over-the-counter market. These sources include tabulations in the financial press, publications of the National Quotation Bureau and the "Blue List" of municipal bond offerings, several financial reporting services, and individual broker-dealers. These quotations generally are in the form of inter-dealer bid and asked prices. Because of the availability of multiple sources, a company frequently has a greater number of options open to it in valuing securities traded in the over-the-counter market than it does in valuing listed securities. A company may adopt a policy of using a mean of the bid prices, or of the bid and asked prices or of the prices of a representative selection of broker-dealers quoting on a particular security; or it may use a valuation within the range of bid and asked prices considered best to represent value in the circumstances. Any of

these policies is acceptable if consistently applies. Normally, the use of asked prices alone is not acceptable.

Ordinarily, quotations for a security should be obtained from more than one broker-dealer, particularly if quotations are available only from broker-dealers not known to be established market-makers for that security, and quotations for several days should be reviewed. If the validity of the quotations appears to be questionable, or if the number of quotations is such as to indicate that there is a thin market in the security, further considerations should be given to whether "market quotations are readily available." If it is decided that they are not readily available, the security should be considered one required to be valued at "fair value as determined in good faith by the board of directors."

iv. Securities Value "in Good Faith"

ASR 118:

To comply with Section 2(a)(41) of the Investment Company Act and Rule 2a-4 under the Investment Company Act, it is incumbent upon the board of directors to satisfy themselves that all appropriate factors relevant to the value of securities for which market quotations are not readily available have been considered and to determine the method of arriving at the fair value of each such security. To the extent considered necessary, the board may appoint persons to assist them in the determination of such value, and to make the actual calculations pursuant to the board's direction. The board must also, consistent with this responsibility, continuously review the appropriateness of the method used in valuing each issue of security in the company's portfolio. The directors must recognize their responsibilities in this matter and whenever technical assistance is requested from individuals who are not directors, the findings of such individuals must be carefully reviewed by the directors in order to satisfy themselves that the resulting valuations are fair.

No single standard for determining "fair value... in good faith" can be laid down, since fair value depends upon the circumstances of each individual case. As a general principle, the current "fair value" of an issue of securities being valued by the board of directors would appear to be the amount which the owner might reasonably expect to receive for them upon their current sale. Methods which are in accord with this principle may, for example, be based on a multiple of earnings, or a discount from market of a similar freely traded security, or yield to maturity with respect to debt issues, or a combination of these and other methods. Some of the general factors which the directors should consider in determining a valuation method for an individual issue of securities include: 1) the fundamental analytical data relating to the investment, 2) the nature and duration of restrictions on disposition of the securities, and 3) an evaluation of the forces which influence the market in which these securities are purchased and sold. Among the more specific factors, which are to be considered are: type of security, financial statements, cost at date of purchase, size of holding, discount from market value of unrestricted securities of the same class at time of purchase, special reports prepared by analysts, information as to any transactions or offers with respect to the security, existence of merger proposals or tender offers affecting the security, price and extent of public trading in similar securities of the issuer or comparable companies, and other relevant matters.

The above guidance does not purport to delineate all factors which may be considered. The directors should take into consideration all indications of value available to them in determining the "fair value" assigned to a particular security. The information so considered together with, to the extent practicable, judgment factors considered by the board of directors in reach its decisions should be documented in the minutes of the director's meetings and the supporting data retained for the inspection of the company's independent accountant.

... > .c. Auditing Security Valuations

946-320-S99-13 The following is the text of CFRR 404.03.c. Auditing Security Valuations.

ASR 118:

In the case of securities for which market quotations are readily available, the independent accounts should independently verify all the quotations used by the company at the balance sheet

date and satisfy himself that such quotations may properly be used under the standards stated above.

In the case of securities carried at "fair value" as determined by the board of directors in "good faith," the accountant does not function as an appraiser and is not expected to substitute his judgment for that of the company's directors; rather, he should review all information considered by the board or by analysts reporting to it, read relevant minutes of directors meetings, and ascertain the procedures followed by the directors. If the accountant is unable to express an unqualified opinion because of the uncertainty inherent in the valuations of the securities based on the directors' subjective judgment, he should nevertheless make appropriate mention in his certificate whether in the circumstances the procedures appear to be reasonable and the underlying documentation appropriate.

When considering values assigned to securities by the company, the independent accountant should consider any investment limitations or conditions on the acquisition or holding of such securities which may be imposed on the company by the Act, by its certificate or by-laws, by contract, or by its filings with the Commission. If such restrictions are met by a narrow margin, the independent accountant may need to exercise extra care in satisfying himself that the evidence indicates that the security valuation determinations were not biased to meet those restrictions.

... > .d. Investments in Affiliates or Affiliated Persons

946-320-S99-14 The following is the text of CFRR 404.03.d. Investments in Affiliates or Affiliated Persons.

ASR 118.

Various rules of Regulation S-X require that the financial statements of an investment company state separately investments in, investment income from, gain or loss on sales of securities of, and management or other service fees payable to (a) controlled companies and (b) other "affiliates." As stated in Rule 6-02(d) of Regulation S-X, the term "affiliate" means and affiliated person as defined in Section 2(a)(3) of the Investment Company Act, and the term "control" has the meaning given in Section 2(a)(9) of the Investment Company Act in such a manner as to encompass such control relationships and also the direct or indirect ownership of five percent or more of the outstanding voting securities of any issuer. An affiliated person as there defined also includes any officer, director, partner, copartner, or employee or, with respect to an investment company, any investment adviser or member of an advisory board thereof.

In ascertaining the existence of any such affiliations, the independent accountant should consider the facts obtained during the course of an audit and also make inquiries of the company's management; and his working papers should include written representations from the management as evidence of such inquiries. The representations should be in the form of a statement that the company, except to the extent indicated, (i) does not own any securities either of persons who are directly affiliated, or, to the best information and belief of management, of person who are indirectly affiliated, (ii) has not received income from or realized gain or loss on sales of investments in or indebtedness of such persons, (iii) has not incurred expenses for management or other service fees payable to such persons, and (iv) has not otherwise engaged in transaction with such persons. Where there is a question as to the existence of an affiliation, a written opinion of legal counsel should be obtained b the company's management, made available to the independent accountant and a copy included in the working papers. Regulation S-X requires disclosure in the financial statements or notes thereto of details of such investments and transactions.

946-320-S99-15 [Paragraph superseded by Accounting Standards Update No. 2010-22.](#)

... > Section 404.04 "Restricted" Securities

946-320-S99-16 The following is the text of CFRR 404.04 "Restricted" Securities.

ASR 113:

Section 4(2) of the Securities Act exempts from the registration requirements of that Act "transactions by an issuer not involving any public offering." This is the so-called "private offering" provision in the Securities Act. The securities involved in transactions effected pursuant to this exemption are referred to as restricted securities because they cannot be resold to the public without prior registration. They are also sometimes referred to as "investment letter securities" because of the practice frequently followed by the seller in such a transaction, in order to substantiate the claim that the transaction does not involve a public offering, of requiring that the buyer furnish a so-called "investment letter" representing that the purchase is for investment and not for resale to the general public.

The private offering exemption of Section 4(2) of the Securities Act is available only where the offerees do not need the protections afforded by the registration procedure. As the Court of Appeals for the Second Circuit stated in *Katz v. Amos Treat & Co.*, CCH Fed'l. Sec. Law Rep. para. 92,409 (1969):

The Supreme Court has instructed that the applicability of the exemption should turn on whether the particular class of persons affected needs the protection of the Act. *SEC v. Ralston Purina Co.*, 346 U.S. 119, 125 (1953).

The test of the availability of the Section 4(2) exemption is whether the offerees are in such a position with respect to the issuer as to have access to the kind of information that would be made available in a registration statement filed pursuant to the Securities Act. This test is no different when the offeree is an investment company.

.... > .a. The Problem of the Valuation

946-320-S99-17 The following is the text of CFRR 404.04.a. The Problem of Valuation.

ASR 113:

It is critically important that an investment company properly value its portfolio securities. It is obvious, for example, that any distortion in the valuation of a restricted security held by an investment company will distort the price at which the shares of the investment company are sold or redeemed. It is also clear that investment managers who are compensated on the basis of net asset value or performance may be unduly compensated if a restricted security, purchased at a discount from the market quotation for unrestricted securities of the same class, is over-valued. In such a case, investors may also be misled by the reported performance of the investment company.

The acquisition of restricted securities by both open-end and closed-end investment companies creates serious problems of valuation. Section 2(a)(41) of the Investment Company Act and Rule 2a-4 thereunder requires that in determining net asset value, "securities for which market quotations are readily available" must be valued at current market value while other securities and assets must be valued at "fair value as determined in good faith by the board of directors."

Readily available market quotations refer to reports of current public quotations for securities similar in all respects to the securities in question. No such current public quotations can exist in the case of restricted securities. For valuation purposes, therefore, restricted securities constitute securities for which market quotations are not readily available. Accordingly, their fair values must be determined in good faith by the board of directors and this obligation necessarily continues throughout the period these securities are retained in the company's portfolio.

Restricted securities should be included in the portfolio of a company and valued to determine current net asset value on the date that the investment company has an enforceable right to demand the securities from the seller.

Where the investment company negotiates the acquisition of the restricted securities directly with the owner of the securities, there are three significant dates. The first occurs when the investment company and the seller orally agree upon the price and the amount of the securities (the "handshake date"). At this point, there would not seem to be any enforceable right of the investment company to demand the securities from the seller since, in most states, particularly those which have adopted the Uniform Commercial Code, there is no enforceable right unless

there exists some writing "sufficient to indicate that a contract has been made for sale of a stated quantity of described securities as a defined or stated price" (Section 8-319(a) of the Uniform Commercial Code). If the terms of the oral understanding do not contemplate compliance with any condition by the seller, it is suggested that the investment company procure, from the seller, a signed memorandum setting forth the price and quantity of securities to be sold. Upon receipt of that memorandum and enforceable right would be obtained. The securities should be valued as of that date.

In those situations where the oral understanding contemplates the execution of a formal contract of purchase and sale, no enforceable right exists until the time the formal contract is signed (the "contract date"). If the formal contract does not require compliance with any conditions by the seller, an enforceable right is then obtained, and the securities should be valued as of that date.

Where the formal contract requires compliance with stated conditions which the investment company believes should not be waived, no enforceable right is obtained until the stated conditions are satisfied. In that situation, the valuation date should be the date upon which the conditions are satisfied. (the "closing date").

Restricted securities are often purchased at a discount, frequently substantial, from the market price of outstanding unrestricted securities of the same class. This reflects the fact that securities which cannot be readily sold in the public market place are less valuable than securities which can be sold, and also the fact that, by the direct sale of restricted securities, sellers avoid the expense, time and public disclosure which registration entails.

As a general principle, the current fair value of restricted securities would appear to be the amount which the owner might reasonably expect to receive for them upon their current sale. This depends upon their inherent worth, without regard to the restrictive feature, adjusted for any diminution in value resulting from the restrictive feature. Consequently, the valuation of restricted securities at the market quotations for unrestricted securities of the same class would, except for most unusual situations, be improper. Further, the continued valuation of such securities at cost would be improper if, as a result of the operation of the issuer, change in general market conditions or otherwise, cost has ceased; to represent fair market value. In such circumstances, maintaining the value of the restricted securities at cost would mislead investors as the value of the portfolio of the investment company which holds restricted securities.

Instead of valuing restricted securities at cost or at the market value of unrestricted securities of the same class, some investment companies valued restricted securities held in the portfolio by applying either a constant percentage or an absolute dollar discount to the market quotation for unrestricted securities of the same class. The automatic valuation of restricted securities by such a method, however, would also not appear to satisfy the requirement of the Investment Company Act that each security, for which a market quotation is not readily available, be valued at fair value as determined in good faith by the board of directors.

Thus, it would be improper in valuing restricted securities automatically to maintain the same percentage discount (from the market quotation for unrestricted securities of the same class) that was received when the restricted securities were purchased, without regard to other relevant factors such as, for example, the extent to which the inherent value of the securities may have changed.

Furthermore, the valuation of restricted securities by reference to the market price for unrestricted securities of the same class assumes that the market price for unrestricted securities of the same class is representative of the fair value of the securities. This may not be the case when the market for the unrestricted securities is very thin, i.e., only a limited volume of shares are available for trading. With a thin market, the news of the investment company's purchase of the restricted securities may, by itself, have the effect of stimulating a public demand for the unrestricted securities, the supply of which has not been increased, and thus lead to a spiralling increase in the valuation of both the restricted and unrestricted securities.

Moreover, if in valuing restricted securities, the diminution in value attributable to the restrictive feature is itself affected by factors subject to change, such as the length of time which must elapse before the investment company may require the issuers to cause the securities to be registered for public sale, the valuation should reflect any such changes.

Some companies value restricted securities, acquired at prices below the market quotations for unrestricted securities of the same class, by automatically amortizing the difference over some chosen period on the assumption that it will be possible to sell them at the market price for unrestricted securities at the expiration of the time period. Under prevailing conditions, however, it cannot always be determined either that the securities will, in fact, be effectively registered at the expiration of that period or that their public sale will otherwise be possible. For example, the issuer may be unable or unwilling to register at the expiration of the estimated period, and public sale at the end of that period without registration may not be lawful. Consequently, the practice of automatically amortizing the discount over an arbitrarily chosen period creates the appearance of an appreciation in the value of the securities which has not, in fact occurred, and, accordingly, is improper.

An undertaking by the issuer to register the securities within a specified time period would not dictate a different result. In view of the many factors that may alter the date of the proposed public offering, it is at best speculative to use such an undertaking alone as the basis for amortizing the discount.

In summary, there can be no automatic formula by which an investment company can value restricted securities in its portfolio to comply with Section 2(a)(41) and Rule 2a-4. It is the responsibility of the board of directors to determine the fair value of each issue of restricted securities in good faith; and the data and information considered and the analysis thereof should be retained for inspection by the company's independent auditors. While the board may, consistent with this responsibility, determine the method of valuing each issue of restricted security in the company's portfolio, it must continuously review the appropriateness of any method so determined. The actual calculations may be made by persons acting pursuant to the direction of the board.

... > .b. The Problem of Portfolio Management

946-320-S99-18 The following is the text of CFRR 404.04.b. The Problem of Portfolio Management.

ASR 113:

In addition to valuation, restricted securities present special problems of portfolio management.

The concept of the Securities Act exemption of a private placement of securities is premised on the belief that in such a situation the investor has such information concerning the issuer that he is able to fend for himself without need for the disclosures that would be provided by an effective registration statement. Correlatively, where the investor is a registered investment company, it would seem to be the fiduciary duty of the persons responsible for the investment decisions of the investment company to obtain, prior to purchase, the necessary information to make an independent analysis of the investment merits of the particular restricted securities. Also, in order to enable the continuing valuation of such securities, the investment company should require the seller to undertake to provide, to the extent known to the seller, information on a continuing basis as to any subsequent private sales of the issuer's securities. The investment company should also assure itself that it is in the position to obtain the appropriate financial information at appropriate times. It is assumed that any public disclosures, such as that made in periodic reports filed pursuant to the Exchange Act, are carefully considered by the investment company portfolio manager.

There is also the paradox of too much success to consider. For example, if restricted securities rapidly appreciate in value, perhaps because of an improvement in the business of the issuer, an investment company may find instead of having, for example, 5 percent of its assets invested in a particular company, it has instead, 25 percent of its assets in that company. The investment company to which this happens suffers a loss in diversification and may find that it has become overly sensitive to any adverse developments in the affairs of that particular portfolio company.

The foregoing factors in portfolio management relate to both open-end and closed-end management companies. There are additional special factors that relate only to open-end companies.

Section 2(a)(32), when read together with Section 5(a), of the Investment Company Act requires that the holders of redeemable shares issued by an open-end investment company be entitled to receive approximately their proportionate share of the issuer's current net assets, or the cash equivalent thereof, upon presentation of the security to the issuer or to a person designated by the issuer. Section 22(e) of the Investment Company Act provide that, absent specified unusual conditions, payment of the redemption price must be made within seven days after the tender of a redeemable security to an investment company or its agent designated for that purpose.

It is desirable that an open-end company retains maximum flexibility in the choice of portfolio securities which, on the basis of their relative investment merits, could best be sold where necessary to meet redemptions. To the extent that the portfolio consists of restricted securities, this flexibility is reduced.

Restricted securities may not be publicly sold nor can they be distributed to redeeming shareholders as an in-kind redemption. While they may be sold privately, there may not be sufficient time to obtain the best price since the date of payment or satisfaction may not be postponed more than seven days after the tender of the company's redeemable securities for redemption. A private sale within that period may result in the investment company receiving less than its carrying value of the restricted securities. This would result in a preference in favor of the redeeming shareholders and a diminution of the net asset value per share of shareholders who have not redeemed. Therefore, instead of arranging a private sale of restricted securities, an open-end company that is faced with redemptions may decide to sell unrestricted securities which it would otherwise have retained on the basis of comparative investment merit.

Significant holdings of restricted securities not only magnify the valuation difficulties but may also present serious liquidity questions. Because open-end companies hold themselves out at all times as being prepared to meet redemptions within seven days, it is essential that such companies maintain a portfolio of investments that enable them to fulfill that obligation. This requires a high degree of liquidity in the assets of open-end companies because the extent of the redemption demands or other exigencies are not always predictable. The Commission is of the view that a prudent limit on any open-end company's acquisition of restricted securities, or other assets not having readily available market quotations, would be 10 percent. When as a result of either the increase in the value of some or all of the restricted securities held, or the diminution in the value of unrestricted securities in the portfolios, the restricted securities come to represent a larger percentage of the value of the company's net assets, the same valuation and liquidity questions occur. Accordingly, if the fair value of restricted holdings increases beyond 10 percent, it would be desirable for the open-end company to consider appropriate steps to protect maximum flexibility. The Commission will re-examine appropriate limitations in this area in light of all the policy objectives of the Investment Company Act.

.... > .c. The Problem of Disclosure

946-320-S99-19 The following is the text of CFRR 404.04.c. The Problem of Disclosure.

ASR 113:

Section 8(b)(1)(D) of the Investment Company Act requires that an investment company include, in its registration statement filed with the Commission under the Investment Company Act, information as to its policy with respect to "engaging in the business of underwriting securities issued by other persons." Item 5(b)(4) of Form N-1 and Item 7(b)(4) of Form N-2 require that a registrant under the Act describe its policy or proposed policy with respect to "the underwriting of securities of other issuers." In response to this item, registrant's policy with respect to the acquisition of restricted securities should be disclosed. In view of the fact that policies listed under these items are fundamental policies which cannot be changed without prior shareholder approval, the importance of adopting a clear policy with regard to such investments is apparent.

The prospectus of a registered investment company should also fully disclose the company's policy with respect to restricted securities. It is also clear that an investment company which has a policy of acquiring restricted securities is responsible for full and adequate disclosure with respect to all matters relating to the valuation of such securities. Specifically, there should be

included, in a note to the financial statements, (1) identification of any restricted securities and the date of acquisition, (2) disclosure of the methods used in valuing such securities both at the date of acquisition and the date of the financial statements, (3) disclosure of the cost of such securities and the market quotation for unrestricted securities of the same class both on the day the purchase price was agreed to (the so-called "hand-shake date"), and on the day the investment company first obtained and enforceable right to acquire such securities, and (4) a statement as to whether the issuer or the registrant will bear costs, including those involved in registration under the Securities Act, in connection with the disposition of such securities.

Section 10(b) of the Exchange Act and Rule 10b-5 thereunder makes it unlawful, among other things, for any person, in connection with the purchase or sale of securities, to employ any device, scheme, or artifice to defraud or to make any untrue statement of a material fact or to omit to state a material fact necessary in order to make the statements made not misleading, or engage in any act, practice, or course of business which operates or would operate as a fraud or deceit upon any persons.

The offering price of securities issued by a management investment company is premised upon the net asset value of such shares as determined pursuant to Section 2(a)(41) of the Investment Company Act and Rule 2a-4 thereunder and is so represented in its prospectus. The improper valuation of restricted securities held by such a company would distort the net asset value of the shares being offered or, in the case of an open-end company, redeemed, and would therefore constitute a fraud and deceit within the meaning of Section 10(b) and Rule 10b-5.

An open-end company, of course, represents to investors, in its prospectus, that it will, as required by Section 22(e) of the Investment Company Act, redeem its securities at approximate net asset value within seven days after tender. To the extent a material percentage of the assets of an open-end company consists of restricted securities which cannot publicly be sold without registration under the Securities Act, the ability of the company to comply with the provisions of the Investment Company Act relating to redemption, and to fulfill the implicit representations made in its prospectus with respect thereto, may be adversely affected. In any such situation, the investment company concerned and the persons responsible for the sale of its securities should give careful consideration to the possible application of the provisions of Section 10(b) of the Exchange Act and Rule 10b-5 thereunder.

... > Section 404.05 Money Market Funds

946-320-S99-20 The following is the text of CFRR 404.05, Money Market Funds.

.... > .a. Introduction

946-320-S99-21 The following is the text of CFRR 404.05.a., Introduction.

ASR 219:

The Commission issued an interpretation of a rule adopted under the Investment Company Act indicating, generally, that it shall be considered inappropriate under the provisions of the rule for "money market" funds and certain other open-end investment companies to determine the fair value of debt portfolio securities on an amortized cost basis, except in the case of securities with remaining maturities of 60 days or less.

The Commission recognized that there had been considerable confusion and uncertainty as to the appropriate methods to be utilized by "money market" funds in valuing their portfolio securities. This interpretation should help remove the uncertainty and further the objectives of enabling investors in such funds to: (1) Purchase and redeem their shares at prices appropriately reflecting the current value of fund portfolio securities; (2) be properly credited for any unrealized appreciation or depreciation in such portfolio securities; and (3) be provided with meaningful and comparable information with which to appraise investment returns and the current earning ability of "money market" funds.

· · · · > .b. Interpretation with Respect to Valuation of Debt Instruments by Money Market Funds and Certain Other Open-End Investment Companies

946-320-S99-22 The following is the text of CFRR 404.05.b., Interpretation with Respect to Valuation of Debt Instruments by Money Market Funds and Certain Other Open-End Investment Companies. ^{FN*}

FN* In Investment Company Release 12206, February 1982, the Commission published for public comment proposed Rule 2a-7 under the Investment Company Act which would permit, under certain conditions, the use of the amortized cost method of asset valuation for purposes of calculating current net asset value per share or the "penny-rounding" method of computing current price per share. If adopted, the rule would generally supplement rather than supercede this interpretive guidance.

ASR 219:

The Commission is aware that many investment companies, including some "money market" funds, value short-term debt instruments in their portfolios on an amortized cost basis. Under this method of valuation, investment companies initially value such instruments at their cost on the date of purchase and, if the instrument was purchased at a discount, thereafter assume a constant proportional increase in value until maturity. ^{FN1}

FN1 In simplified terms, for instruments purchased at a discount, the difference between the cost of such an instrument at purchase and its maturity value is divided by the number of days to maturity and that amount is accrued daily as an increase in the value of the instrument each day. More precisely, amortized cost valuation may be described as cost, adjusted for amortization of premium, or for accretion of discount.

However, during the period a debt security is held, changes in the market rate of interest and other factors may affect the price at which that security could be sold. As a general principle, the longer the remaining maturity of an outstanding debt security, the more that price will be affected by such interest rate changes.

The Commission is concerned that the use of the amortized cost method in valuing portfolio securities of registered investment companies may result in overvaluation or undervaluation of the portfolios of such companies, relative to the value of the portfolios determined with reference to current market factors. In the case of registered open-end management investment companies ("mutual funds" or "funds"), this would mean investors purchasing or redeeming shares could pay or receive more or less than the actual value of their proportionate shares of the fund's current net assets. The effect of such sales or redemptions may therefore result in appropriate dilution of the assets and returns of existing shareholders. ^{FN2}

FN2 For example, redemptions of shares in a fund which has overvalued its portfolio or sales of shares in a fund which has undervalued its portfolio could result in the dilution of the assets and returns of other investors in the fund. The extent of such dilutive effects would be dependent upon several factors, including the extent of the overvaluation or undervaluation, and the proportion of fund shares sold or redeemed at such times.

Although inappropriate valuation of securities could cause these effects in various types of funds, the position taken herein is addressed specifically to the case of: (1) "Money market" funds, and (2) other open-end investment companies that hold a significant amount of debt securities, such that the use of the amortized cost method in valuing any portion or type of these debt securities could have a material impact on such funds' net asset values per share. Generally, the Commission would consider the use of a particular valuation method to have a material impact if the use of that method, as opposed to another method, might cause a change of at least one cent in a net asset value per share of \$10.00. ^{FN3} The interpretation explained below will be applicable to both "money market" funds and these other open-end investment companies.

FN3 Although one cent differences in net asset values per share of \$10.00 might appear to be insignificant, the effects of such differences can be material to the decisions of investors when translated into differences in rates of return. Moreover, the inequitable effects of

amortized cost valuation can occur in the case of any opened investment company where a significant proportion of a company's portfolio consists of debt securities valued at amortized cost. The extent of such inequitable effects will, of course, depend upon changes in interest rates and the level of a company's sales and redemptions of shares.

Generally, "money market" funds are open-end investment companies which invest primarily in short-term debt instruments. They provide a vehicle to permit investors to take advantage of what at times may be the higher short-term interest rates earned on large investments. Through a pooling of money these funds enable the purchase of larger denomination instruments than could normally be bought by the individual small investor.. These funds have also attracted investments from corporations, bank trust departments, and other institutional investors. Another characteristic of money market funds is the short-term investment perspective of many shareholders. Although the portfolio composition of "money market" funds is variable both in terms of the types of securities purchased and their maturities, the portfolios of such funds typically include U.S. Government and government agency issues, certificates of deposit, banker's acceptances, and commercial paper.

Section 22(c) of the Investment Company Act by reference to section 22(a) of the Investment Company Act, authorizes the Commission to adopt rules prescribing, inter alia, methods for computing the minimum purchase price and maximum redemption price of redeemable securities issued by a registered investment company:

for the purpose of eliminating or reducing so far as reasonably practicable any dilution of the value of other outstanding securities of such company or any other result of
purchase, redemption, or sale which is unfair to holders of such other outstanding securities.***

Section 2(a)(41) of the Investment Company Act defines "value", as here relevant to mean:

(B)*** (i) with respect to securities for which market quotations are readily available, the market value of such securities; and

(ii) with respect to other securities and assets, fair value as determined in good faith by the [registered investment company's] board of directors ***

Rule 2a-4 promulgated under the Investment Company Act provides, in part, that the "current net asset value" of a redeemable security issued by a registered investment company used in computing its price, for the purposes of distribution and redemption, means:

an amount which reflects calculation made substantially in accordance with the following, with estimates used where necessary or appropriate:

(1) Portfolio securities with respect to which market quotations are readily available shall be valued at current market value, and other securities*** shall be viewed at fair value as determined in good faith by the board of directors***

Now that both the Commission and the money market fund industry have had the benefit of experience with this relatively new investment product, and to help insure that shares of such funds are sold and redeemed at prices reflecting the current market value or fair value of such funds' portfolio securities, the Commission has concluded that it is inconsistent with the provisions of Rule 2a-4 for a money market fund to determine the fair value of debt securities which mature at a date more than 60 days subsequent to the valuation date on an amortized cost basis.

Although debt securities with remaining maturities in excess of 60 days should not be valued at amortized cost, the Commission will not object if the board of directors of a money market fund, in good faith, determines that the fair value of debt securities originally purchased with remaining maturities of 60 days or less shall be their amortized cost value unless the particular circumstances dictate otherwise. ^{FN4} Nor will the Commission object if, under similar circumstances, the fair value of debt securities originally purchased with maturities in excess of 60 days, but which currently have maturities of 60 days or less, is determined by using amortized cost valuation for the 60 days prior to maturity, such amortization being based upon the market or fair value of the securities on the 61st day prior to maturity. ^{FN5}

FN4 The fair value of securities with remaining maturities of 60 days or less may not always be accurately reflected through the use of amortized cost valuation, due to an impairment of the creditworthiness of an issuer, or other factors. In such situations, it would appear to be incumbent upon the directors of a fund to recognize such factors and take them into account in determining "fair value."

FN5 A fund also may use amortized cost valuation for a period less than 60 days prior to maturity, in which case the principles indicated above would also be applicable.

The Commission believes that money market funds and those other companies to which this interpretation is applicable should value debt securities with greater than 60 days remaining to maturity based upon current market quotations if readily available or, if such quotations are not readily available, in such a manner as to take into account any unrealized appreciation or depreciation due to changes in interest rates and other factors which would influence the current fair values of such securities. ^{FN6} These methods are sometimes referred to as "marking to market." In determining "fair value" by reference to current interest rates and other factors, the board of directors of a money market fund may, of course, utilize whatever method it determines in good faith to be most appropriate. The method utilized could be based in part, for example, upon quotations by dealers or issuers for securities of similar type, quality and maturity.

FN6 In ASR 118 [see Section 404.03], the Commission stated that: As a general principle, the current "fair value" of an issue of securities being valued by the board of directors would appear to be the amount which the owner might reasonably expect to receive for them upon their current sale. In that release, the Commission noted various factors that might be considered in arriving at "fair value", which factors included: Yield to maturity with respect to debt issues*** an evaluation of the forces which influence the market in which these securities are purchased and sold*** (and the) price and extent of public trading in similar securities of the issuer or comparable companies, and other relevant matters.

Except in the circumstances delineated above, the Commission believes that, in view of the experience which has been gained with respect to the characteristics of money market funds, the use of the amortized cost method of valuation by a money market fund cannot in the future represent a "good faith" effort to determine the "fair value" of portfolio securities for purposes of Rule 2a-4; such valuation fails to consider the impact of market factors subsequent to the date a debt security is purchased on the value of such security. Moreover, the probability that amortized cost valuation will not approximate "fair value" is progressively greater for securities of increasingly longer maturities. The Commission believes that the use of amortized cost valuation by money market funds in valuing securities with remaining maturities in excess of 60 days is not an appropriate estimate of market value or "fair value" and further that, because alternative valuation procedures which consider market factors are available, use of amortized cost valuation under such circumstances as an estimate is not necessary. This standard should help insure that fund shares are sold and redeemed at prices reflecting the appropriate proportionate share of funds' current net assets, and minimize the potential for dilution of the assets and returns of existing shareholders.

The Commission is also of the view that money market fund shareholders should be accurately credited with the effects of any unrealized appreciation or depreciation that may occur when the value of a fund's portfolio fluctuates. If such effects are not reflected in either a fund's net asset value or its distributions to shareholders, as a practical matter the result would be a situation analogous to that which would exist if amortized cost valuation were used, and similar dilutive effects could occur. Such may be the case, for example, where a money market fund "marks to market," but declares a daily dividend of accrued interest income and reflects any remaining unrealized appreciation or depreciation in a "floating" net asset value of \$1.00 nominal value per share, rounded to the nearest cent. Under these circumstances, unrealized capital changes which could materially affect the value of such fund's portfolio, would ordinarily not be of sufficient magnitude to cause the net asset value to change by one cent. The effects of unrealized appreciation and depreciation in the case of a fund with a "floating" \$1.00 net asset value per share, would generally appear in the third and fourth decimal places, and when rounded to the third decimal place (i.e., tenths of one cent) would still not have a one cent impact on the net

asset value. Moreover, if such a one cent change should occur, dilution may also result, since a relatively small change in net asset value would cause a larger change in the computed net asset value per share due to rounding. For example, if in the type of fund described above the net asset value was calculated accurately to three decimal places and a change in net asset value from \$1.004 to \$1.006 occurred, such change of \$.002 would cause the net asset value, when rounded to the nearest cent, to change by one full cent.

To alleviate these results and insure that shareholders are more properly credited for capital appreciation or depreciation, the Commission believes that any money market fund which reflects capital changes in its net asset value per share should calculate, and utilize for purposes of sales and redemptions, a current net asset value per share with an accuracy of one-tenth of one percent (equivalent to the nearest one cent on a net asset value of \$10.00). Any less precise calculation by such a fund might have the effect of masking the impact of changing values of portfolio securities and therefore might not "reflect" the funds calculations pertaining to its portfolio valuation as required by Rule 2a-4.

946 Financial Services—Investment Companies

323 Investments—Equity Method and Joint Ventures

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-323-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Investment Company	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
	Related Parties	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
	Underlying	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
	946-323-05-1	Amended	Accounting Standards Update No. 2013-08	06/07/2013

946-323-15-1	Amended	Accounting Standards Update No. 2013-08	06/07/2013
946-323-15-2	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
946-323-45-1	Amended	Accounting Standards Update No. 2013-08	06/07/2013
946-323-45-2	Amended	Accounting Standards Update No. 2013-08	06/07/2013
946-323-45-3 through 45-18	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
946-323-50-1 through 50-4	Superseded	Accounting Standards Update No. 2013-08	06/07/2013
946-323-55-1 through 55-9	Superseded	Accounting Standards Update No. 2013-08	06/07/2013

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-323-05-1 This Subtopic provides guidance on the application of the equity method of accounting in Topic [323](#) by an investment company.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

946-323-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

946-323-15-2 [Paragraph superseded by Accounting Standards Update No. 2013-08.](#)

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- They are able to enter into a transaction for the asset or liability
- They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Application of the Equity Method

946-323-45-1 Except as discussed in the following paragraph, use of the equity method of accounting by an investment company is not appropriate. Rather, those noncontrolling ownership interests held by an investment company shall be measured in accordance with guidance in Subtopic [946-320](#), which requires investments in debt and equity securities to be subsequently measured at [fair value](#).

946-323-45-2 An exception to the general principle in the preceding paragraph occurs if the investment company has an investment in an operating entity that provides services to the investment company, for example, an investment adviser or transfer agent (see paragraph [946-10-55-5](#)). In those cases, the purpose of the investment is to provide services to the investment company rather than to realize a gain on the sale of the investment. If an investment company holds a noncontrolling ownership interest in such an operating entity that otherwise qualifies for use of the equity method of accounting, the investment

company should use the equity method of accounting for that investment, rather than measuring the investment at fair value.

946-323-45-3 [Paragraphs 946-323-45-3 through 45-18 superseded by Accounting Standards Update No. 2013-08.](#)

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

946-323-50-1 [Paragraphs 946-323-50-1 through 50-4 superseded by Accounting Standards Update No. 2013-08.](#)

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

946-323-55-1 [Paragraphs 946-323-55-1 through 55-9 superseded by Accounting Standards Update No. 2013-08.](#)

65 Transition and Open Effective Date Information

General Note:The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

946-323-65-1 [Paragraph not used.](#)

946 Financial Services—Investment Companies

325 Investments—Other

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-325-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Fair Value (2nd def.)	Added	Accounting Standards Update No. 2013-08	06/07/2013
946-325-05-1	Added	Accounting Standards Update No. 2013-08	06/07/2013
946-325-15-1	Added	Accounting Standards Update No. 2013-08	06/07/2013
946-325-30-1	Added	Accounting Standards Update No. 2013-08	06/07/2013
946-325-35-1	Added	Accounting Standards Update No. 2013-08	06/07/2013

05 Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-325-05-1 This Subtopic addresses an investment company's accounting for its other investments.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

946-325-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

946-325-30-1 An investment company shall initially measure its other investments at their transaction price. The transaction price shall include commissions and other charges that are part of the purchase transaction.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

946-325-35-1 An investment company shall subsequently measure its other investments at [fair value](#).

946 Financial Services—Investment Companies

405 Liabilities

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-405-05-1 This Subtopic addresses an investment company's accounting for liabilities.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

946-405-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Statement of Assets and Liabilities or Statement of Net Assets

· > Accounts Payable

946-405-45-1 Accounts payable shall be listed separately for investment securities purchased and capital stock reacquired.

· > Other Liabilities

946-405-45-2 The line item other liabilities includes amounts due to counterparties for collateral on return of securities loaned, deferred income, and dividends and distributions payable. Payables denominated in foreign currencies shall be converted into the functional currency at current exchange rates and may be categorized within the corresponding functional currency payables.

946 Financial Services—Investment Companies

505 Equity

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-505-05-1 This Subtopic addresses equity transactions and reporting for investment companies, including distributions to shareholders.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

946-505-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Actual-Income-Available Method](#)

A method to calculate distributions to shareholders from net investment income in which actual net investment income that has been allocated to each class (as recorded on the books) is divided by the record date shares for each class to derive the dividend payable per share.

[Net Asset Value per Share](#)

Net asset value per share is the amount of net assets attributable to each share of capital stock (other than senior equity securities, that is, preferred stock) outstanding at the close of the period. It excludes the effects of assuming conversion of outstanding convertible securities, whether or not their conversion would have a diluting effect.

Record-Share Method

A method to calculate distributions to shareholders from net investment income in which the sum of net investment income available for all classes after deducting allocated expenses, but before consideration of class-specific expenses, is divided by the total outstanding shares on the dividend record date for all classes to arrive at a gross dividend rate for all shares. From this gross rate, an amount per share for each class (the amount of incremental expenses accrued during the period divided by the record date shares outstanding for the class) is subtracted. The result is the per-share dividend available for each class.

Return of Capital

Distributions by investment companies in excess of tax-basis earnings and profits.

Simultaneous-Equations Method

A method to calculate distributions to shareholders from net investment income that seeks to ensure, by using simultaneous equations, that the distribution rates will differ among the classes by the anticipated differential in expense ratios.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Net Asset Value per Share

946-505-50-1 [Net asset value per share](#) shall be disclosed for each class of shares.

> Capital Share Transactions

946-505-50-2 The net change in net assets (excluding amounts shown separately if equalization accounting is used) arising from capital share transactions shall be disclosed for each class of shares. All of the following components of the change shall be disclosed on the face of the statement or in the notes to financial statements for each class of shares:

- a. The number and value of shares sold
- b. The number and value of shares issued in reinvestment of distributions

- c. The number and cost of shares reacquired
- d. The net change.

> Capital Contributions

946-505-50-3 Net assets at the beginning of the year and at the end of the year shall be disclosed. The balance of net assets at the end of the year shall agree with the comparable amount shown in the statement of assets and liabilities or in the statement of net assets.

> Multiple-Class Funds

946-505-50-4 For financial reporting purposes, a [return of capital](#) is not determined at the class level and distributable earnings is disclosed only at the fund level.

> Dividends Paid

946-505-50-5 All of the following tax-basis components of dividends paid shall be disclosed in the notes:

- a. Ordinary income distributions
- b. Long-term capital gains distributions
- c. Return of capital distributions.

> Difference Between Net Investment Income and Net Realized Gain and Actual Distributions

946-505-50-6 The primary reasons for any significant difference between total net investment income determined in accordance with generally accepted accounting principles (GAAP) and net realized gain and actual distributions shall be disclosed in the notes to financial statements.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Multiple-Class Funds—Methods of Computing Income Distributions to Shareholders

946-505-55-1 This Example illustrates the [record-share](#), [actual-income-available](#), and [simultaneous-equations](#) methods generally used to calculate distributions to shareholders from net investment income.

	Total	Class A	Class B
Assumptions:			
Net investment income before class specific expenses	\$1,000,000		
Class-specific expenses:			
Class A		\$ 13,000	
Class B			\$ 59,000
Record date shares outstanding	5,000,000	2,000,000	3,000,000
Record Share Method			
Net investment income before class specific expenses	\$1,000,000		
Total record date shares outstanding	5,000,000		
Gross dividend rate for all shares	<u>\$ 0.2000</u>	\$ 0.2000	\$ 0.2000
Per share class-specific expenses:			
Class A (\$13,000 ÷ 2,000,000)		(0.0065)	
Class B (\$59,000 ÷ 3,000,000)			(0.0197)
Per share dividend for each class		<u>\$ 0.1935</u>	<u>\$ 0.1803</u>
Actual Income Available Method			
Actual net investment income recorded on books of each class	<u>\$ 928,000</u>	\$ 417,600	\$ 510,400
Record date shares outstanding for each class		<u>2,000,000</u>	<u>3,000,000</u>
Per share dividend for each class		<u>\$ 0.2088</u>	<u>\$ 0.1701</u>
Simultaneous Equations Method			
EQUATION #1: A + B = \$928,000			
Where—A and B represent the total dividend amounts to be paid to each class.			
EQUATION #2: (A ÷ 2,000,000) - (B ÷ 3,000,000) = (0.5% x \$10.50) ÷ 4			
Where			
2,000,000 and 3,000,000 represent the record date shares of each class			
0.5% represents the expense differential between Class A and Class B			
\$10.50 represents the average daily net asset value of the fund			
4 refers to the fact that the dividend period is a quarter			
Solving the above simultaneous equations produces the following results:			
	Total	Class A	Class B
Total dividends to be paid	<u>\$ 928,000</u>	\$ 386,961	\$ 541,039
Record date shares outstanding for each class		<u>2,000,000</u>	<u>3,000,000</u>
Per share dividend for each class		<u>\$ 0.1935</u>	<u>\$ 0.1803</u>
Annualized distribution rates to average daily net asset value		<u>7.37%</u>	<u>6.87%</u>
Difference in distribution rates		<u>0.50%</u>	

S50 Disclosure

i General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Issuance and Repurchase by a Registered Investment Company of Its Own Securities

946-505-S50-1 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(i), for the required disclosures pertaining to the issuance and repurchase by a registered investment company of its own securities.

946 Financial Services—Investment Companies

605 Revenue Recognition

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-605-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	12b-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	B Shares	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Closed-End Funds	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Contingent-Deferred Sales Load	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Distributor	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Front-End Load	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Front-End Load	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Front-End Sales Fee	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
	Offering Costs	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

946-605-05-1 through 05-11	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
946-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
946-605-15-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
946-605-25-1 through 25-8	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
946-605-25-8	Amended	Accounting Standards Update No. 2014-06	03/14/2014
946-605-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 946-605-05-1
- Paragraph superseded by [Accounting Standards Update No. 2014-09](#).
- 946-605-05-2
- Paragraph superseded by [Accounting Standards Update No. 2014-09](#).
- 946-605-05-3
- Paragraph superseded by [Accounting Standards Update No. 2014-09](#).
- 946-605-05-4
- Paragraph superseded by [Accounting Standards Update No. 2014-09](#).
- 946-605-05-5
- Paragraph superseded by [Accounting Standards Update No. 2014-09](#).
- 946-605-05-6
- Paragraph superseded by [Accounting Standards Update No. 2014-09](#).
- 946-605-05-7
- Paragraph superseded by [Accounting Standards Update No. 2014-09](#).
- 946-605-05-8
- Paragraph superseded by [Accounting Standards Update No. 2014-09](#).
- 946-605-05-9
- Paragraph superseded by [Accounting Standards Update No. 2014-09](#).
- 946-605-05-10
- Paragraph superseded by [Accounting Standards Update No. 2014-09](#).

946-605-05-11 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

946-605-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

946-605-15-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

- 946-605-25-1** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 946-605-25-2** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 946-605-25-3** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 946-605-25-4** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 946-605-25-5** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 946-605-25-6** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 946-605-25-7** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 946-605-25-8** Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 946-605-50-1** Paragraph superseded by Accounting Standards Update No. 2014-09.

946 Financial Services—Investment Companies

720 Other Expenses

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-720-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
12b-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
Contingent-Deferred Sales Load	Added	Accounting Standards Update No. 2014-09	05/28/2014
Front-End Load	Added	Accounting Standards Update No. 2014-09	05/28/2014
Offering Costs	Added	Accounting Standards Update No. 2014-09	05/28/2014
946-720-05-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
946-720-15-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
946-720-15-2	Added	Accounting Standards Update No. 2014-09	05/28/2014
946-720-25-1 through 25-4	Added	Accounting Standards Update No. 2014-09	05/28/2014
946-720-25-2	Amended	Accounting Standards Update No. 2024-02	03/29/2024
946-720-25-3	Amended	Accounting Standards Update No. 2016-20	12/21/2016
946-720-25-4	Amended	Accounting Standards Update No. 2016-20	12/21/2016

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-720-05-1 This Subtopic addresses:

- a. Investment adviser's [offering costs](#) when both [12b-1](#) fees and [contingent-deferred sales fees](#) are not received
- b. [Subparagraph superseded by Accounting Standards Update No. 2014-09](#).
- c. Distribution costs for mutual funds with no front-end sales fee.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

946-720-15-1 This Subtopic has its own discrete scope, which is separate and distinct from the pervasive scope for this Topic as outlined in Section [946-10-15](#).

> Entities

946-720-15-2 The guidance in this Subtopic applies to all investment advisers and distributors within the scope of either the Overall Subtopic (see Section [946-10-15](#)) or Subtopic [940-10](#) (see Section [940-10-15](#)).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

12b-1

Rule 12b-1 in Chapter 17 of the Code of Federal Regulations is one of the regulations implementing the Investment Company Act of 1940.

Contingent-Deferred Sales Load

A sales charge imposed directly on redeeming shareholders based on a percentage of the lesser of the redemption proceeds or original cost. The percentage may decrease or be eliminated based on the duration of share ownership (frequently decreases by 1 percent a year). Also referred to as back-end load.

Front-End Load

A sales commission or charge payable at the time of purchase of mutual fund shares.

Offering Costs

Offering costs include all of the following:

- a. Legal fees pertaining to the investment company's shares offered for sale
- b. Securities and Exchange Commission (SEC) and state registration fees
- c. Underwriting and other similar costs
- d. Costs of printing prospectuses for sales purposes
- e. Initial fees paid to be listed on an exchange
- f. Tax opinion costs related to offering of shares
- g. Initial agency fees of securing the rating for bonds or preferred stock issued by closed-end funds.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not

recognition.

General

> Investment Adviser's Offering Costs When both 12b-1 Fees and Contingent-Deferred Sales Fees Are Not Received

946-720-25-1 Paragraph [946-720-25-4](#) provides guidance on accounting by investment advisers who are reimbursed, for [offering costs](#) paid, through both [12b-1](#) fees and [contingent-deferred sales fees](#). Accordingly, the accounting by those investment advisers for offering costs are outside the scope of the guidance in paragraphs [946-720-25-2 through 25-3](#).

946-720-25-2 Benefits expected from the expenditures paid by an investment adviser in connection with the distribution of shares of a fund in circumstances in which the investment adviser does not receive both 12b-1 fees and contingent-deferred sales fees do not meet the definition of an asset of the investment adviser as provided in FASB Concepts Statement No. 6, Elements of Financial Statements. Accordingly, such offering costs paid by the investment adviser shall be expensed as incurred. Initial offering costs paid by an investment adviser that does not receive both 12b-1 fees and contingent-deferred sales fees are start-up costs of the investment adviser, which should be accounted for in accordance with Subtopic [720-15](#).

 PENDING CONTENT



Transition Date:  December 16, 2024;  December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

Costs incurred by an investment adviser in connection with the distribution of shares of a fund in circumstances in which the investment adviser does not receive both 12b-1 fees and contingent-deferred sales fees shall be expensed as incurred. Initial offering costs paid by an investment adviser that does not receive both 12b-1 fees and contingent-deferred sales fees are start-up costs of the investment adviser, which should be accounted for in accordance with Subtopic [720-15](#).

> Distribution Costs for Funds

946-720-25-3 The guidance in paragraph [946-720-25-2](#) applies also to distribution plans of open-end investment companies permitted under Rule 12b-1. Some closed-end interval funds incur distribution-related fees (similar to 12b-1 fees) and impose early withdrawal charges (similar to contingent-deferred sales fees) pursuant to exemptive orders issued under the Investment Company Act of 1940. In addition, certain funds not subject to regulation under the Investment Company Act of 1940 also may incur fees and impose charges that are substantially the same as 12b-1 fees and contingent-deferred sales fees, respectively. In those instances, an entity shall defer and amortize the incremental direct costs and shall account for offering costs incurred for distribution of those funds in a manner similar to the accounting specified in paragraph [946-720-25-4](#).

946-720-25-4 Distributors of mutual funds that do not have a [front-end load](#) shall defer and amortize the incremental direct costs and shall expense the indirect costs when incurred.

946 Financial Services—Investment Companies

740 Income Taxes

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-740-05-1 This Subtopic provides guidance for investment companies on accounting for and financial reporting of income taxes.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

946-740-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

- 946-740-35-1** If a provision for deferred income taxes on unrealized appreciation exists, it shall be charged against the unrealized gains account.

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 946-740-50-1** A provision for deferred income taxes on unrealized appreciation charged against the unrealized gains account pursuant to paragraph [946-740-35-1](#) shall be disclosed as such in the statement of operations.

55 Implementation Guidance and Illustrations

- i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

· > Post-October Capital and Currency Loss Deferrals

946-740-55-1 Regulated investment companies may have realized net capital and foreign currency gains during the period from the beginning of their current taxable year through October 31, which they are required to distribute to avoid federal excise tax. If those regulated investment companies then incur net capital or currency losses from November 1 to the close of their taxable year, their Form 1120-RIC tax returns would indicate that they had made distributions during the taxable year in excess of taxable gains (that is, returns of capital), even though the distributions were properly paid from gains at the time of the excise-tax distribution. To avoid this result, federal income tax regulations permit such post-October losses to be deferred and recognized on the Form 1120-RIC tax return of the next succeeding taxable year.

946-740-55-2 Paragraph [740-10-50-6](#) requires that a public entity disclose the approximate tax effect of each type of temporary difference and carryforward that gives rise to a significant portion of deferred tax liabilities and deferred tax assets (before allocation of valuation allowances). The amounts and expiration dates of capital loss carryforwards and the amounts of any post-October capital and currency loss deferrals should be considered when an entity applies that paragraph.

S50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Federal Income Taxes

946-740-S50-1 See paragraph [946-10-S99-3](#), Regulation S-X Rule 6-03(h), for required disclosures pertaining to federal income taxes.

946 Financial Services—Investment Companies

810 Consolidation

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-810-00-1

The following table identifies the changes made to this Subtopic.				
Paragraph	Action	Accounting Standards Update	Date	
Investment Company	Superseded	Accounting Standards Update No. 2013-08	06/07/2013	
Related Parties	Superseded	Accounting Standards Update No. 2013-08	06/07/2013	
946-810-05-1	Amended	Accounting Standards Update No. 2013-08	06/07/2013	
946-810-15-1	Amended	Accounting Standards Update No. 2013-08	06/07/2013	
946-810-15-2	Superseded	Accounting Standards Update No. 2013-08	06/07/2013	
946-810-45-1	Superseded	Accounting Standards Update No. 2013-08	06/07/2013	
946-810-45-2	Amended	Accounting Standards Update No. 2013-08	06/07/2013	
946-810-45-3	Amended	Accounting Standards Update No. 2013-08	06/07/2013	
946-810-45-4 through 45-24	Superseded	Accounting Standards Update No. 2013-08	06/07/2013	
946-810-50-1 through 50-4	Superseded	Accounting Standards Update No. 2013-08	06/07/2013	
946-810-55-1 through 55-12	Superseded	Accounting Standards Update No. 2013-08	06/07/2013	

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 946-810-05-1** This Subtopic provides guidance on the application of consolidation guidance in Topic [810](#) by an investment company.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 946-810-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).
- 946-810-15-2** [Paragraph superseded by Accounting Standards Update No. 2013-08.](#)

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a

particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

946-810-45-1 [Paragraph superseded by Accounting Standards Update No. 2013-08.](#)

> Application of Consolidation Guidance

946-810-45-2 Except as discussed in the following paragraph, consolidation by an investment company of an investee that is not an investment company is not appropriate. Rather, those controlling financial interests held by an investment company shall be measured in accordance with guidance in Subtopic [946-320](#), which requires investments in debt and equity securities to be subsequently measured at fair value.

946-810-45-3 An exception to the general principle in the preceding paragraph occurs if the investment company has an investment in an operating entity that provides services to the investment company, for example, an investment adviser or transfer agent (see paragraph [946-10-55-5](#)). In those cases, the purpose of the investment is to provide services to the investment company rather than to realize a gain on the sale of the investment. If an investment company holds a controlling financial interest in such an operating entity, the investment company should consolidate that investee, rather than measuring the investment at fair value.

946-810-45-4 [Paragraphs 946-810-45-4 through 45-24 superseded by Accounting Standards Update No. 2013-08.](#)

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

946-810-50-1 Paragraphs 946-810-50-1 through 50-4 superseded by Accounting Standards Update No. 2013-08.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

946-810-55-1 Paragraphs 946-810-55-1 through 55-12 superseded by Accounting Standards Update No. 2013-08.

65 Transition and Open Effective Date Information

i General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

946-810-65-1 Paragraph not used.

946 Financial Services—Investment Companies

830 Foreign Currency Matters

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

The following table identifies the changes made to this Subtopic.				
946-830-00-1	Paragraph	Action	Accounting Standards Update	Date
	Spot Rate	Added	Accounting Standards Update No. 2014-06	03/14/2014
	946-830-05-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	946-830-45-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	946-830-45-7	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	946-830-45-10	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	946-830-45-13 through 45-17	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	946-830-45-19	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	946-830-45-20	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	946-830-50-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	946-830-55-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	946-830-55-7	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	946-830-55-8	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	946-830-55-13	Amended	Accounting Standards Update No. 2012-04	10/01/2012

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 946-830-05-1** This Subtopic provides guidance on computing and reporting foreign currency transaction gains or losses for investment companies that do any of the following:
- Invest in securities denominated or expected to settle in currencies other than the U.S. dollar
 - Invest in currencies other than the U.S. dollar
 - Have foreign currency transactions.
- 946-830-05-2** A foreign currency gain or loss (whether realized or unrealized) results from any of the following sources:
- The cost of securities held versus their carrying value based on current exchange rates
 - Payables or receivables for securities bought or sold at the transaction date versus actual amounts at settlement date or payable or receivable based on current exchange rates
 - Interest, dividends, and withholding taxes accrued versus the amount received or receivable based on current exchange rates
 - Expenses accrued versus the amount paid or payable in foreign currency, based on current exchange rates
 - [Forward exchange contracts](#) or foreign exchange futures contracts subsequently measured at [fair value](#).

> Withholding Tax

- 946-830-05-3** This Subtopic includes guidance on effects of withholding tax. Dividends and interest received from foreign investments may result in withholding taxes and other taxes imposed by foreign countries, usually at rates from 10 percent to 35 percent. Tax treaties between certain countries and the United States may reduce or eliminate such taxes.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

946-830-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [946-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Forward Exchange Contract

A forward exchange contract is an agreement between two parties to exchange different currencies at a specified exchange rate at an agreed-upon future date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms

- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Net Asset Value per Share

Net asset value per share is the amount of net assets attributable to each share of capital stock (other than senior equity securities, that is, preferred stock) outstanding at the close of the period. It excludes the effects of assuming conversion of outstanding convertible securities, whether or not their conversion would have a diluting effect.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Spot Rate

The exchange rate for immediate delivery of currencies exchanged.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections.

Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Overall Guidance

- 946-830-45-1** The ongoing revaluation of investments and receivables or payables representing unsettled foreign currency transactions shall be classified as unrealized foreign currency gain or loss. On settlement (when there is actual cash flow), a realized foreign currency gain or loss shall be recorded.
- 946-830-45-2** Each transaction denominated in a foreign currency can initially be measured only in that currency. Any differences between originally recorded amounts and currently consummated or measured amounts in the reporting currency are a function of both of the following factors:
- Foreign exchange rate changes
 - Changes in market prices.
- 946-830-45-3** Those effects shall be identified, computed, and reported other than for gains and losses on investments.
- 946-830-45-4** The practice of not separately disclosing the portion of the changes in [fair values](#) of investments and realized gains and losses thereon that result from foreign currency rate changes is permitted. However, separate reporting of such gains and losses is allowable and, if adopted by the reporting entity, shall conform to the guidance in this Subtopic.
- 946-830-45-5** For funds that invest in countries that are highly inflationary, the separate measurement and disclosure of the foreign currency element may not be meaningful.
- 946-830-45-6** The remainder of the guidance in this Section is organized as follows:
- Cash
 - Derivative instruments—forward exchange contracts
 - Securities
 - Receivables and payables
 - Income
 - Expenses
 - Financial statement presentation.

> Cash

- 946-830-45-7** Foreign currency cash balances and movements shall be accounted for in the same way that foreign-currency-denominated securities are. Every receipt of a foreign currency shall be treated as a purchase of a security and recorded in the functional currency at the [spot rate](#) on the cash receipt date. Similarly, every disbursement of a foreign currency shall be treated as a sale of a security and the

appropriate functional currency cost shall be released, depending on whether a specific identified cost, the first-in, first-out (FIFO) method, or an average cost is used.

946-830-45-8 The acquisition of a foreign currency does not result in any foreign currency gain or loss. However, the disbursement of a foreign currency shall result in a realized foreign currency gain or loss that is the difference between the functional currency equivalent of the foreign currency when it was acquired and the foreign currency disbursement translated at the spot rate on the disbursement date.

946-830-45-9 Also, as is the case with all other assets and liabilities denominated in a foreign currency, foreign currency cash balances shall be translated on each valuation date at the spot rate on that date, resulting in unrealized foreign currency gain or loss.

> Derivative Instruments—Forward Exchange Contracts

946-830-45-10 If a fund enters into a [forward exchange contract](#), the forward contract shall be recorded on the inception date at the forward rate and subsequently measured at fair value daily.

946-830-45-11 The unrealized foreign currency gain or loss on such a contract is the difference between the foreign currency amount valued at the forward rate (on the valuation date) and the original contracted value of the forward contract (the amount to be received or paid at expiration or settlement date). On the expiration or settlement date, the unrealized foreign currency gain or loss shall be reclassified as realized foreign currency gain or loss.

946-830-45-12 If the forward contract is meant to hedge the payable for the purchase of a security denominated in a foreign currency, the cost of the investment purchased and the related payable that has been hedged by the forward contract shall still be recorded at the spot rate on the trade date, and the payable shall be translated into the functional currency daily.

> Securities

946-830-45-13 The guidance on foreign currency matters related to securities is organized as follows:

- a. Purchased interest
- b. Subsequently measuring at fair value
- c. Sale of securities
- d. Sale of interest.

· > Purchased Interest

946-830-45-14 Purchased interest represents the interest accrued between the last coupon date and the settlement date of the purchase. It should be recorded in the functional currency as interest receivable at the spot rate on the purchase trade date, and subsequently measured at fair value using each valuation date's spot rate. After the settlement date, daily interest income should be accrued at the daily spot rate. It may be impractical to prepare the foregoing calculations daily, and, therefore, the use of a weekly or monthly average rate may be appropriate in many cases, especially if the exchange rate does not fluctuate significantly. However, if the exchange rate fluctuation is significant, the calculation should be made daily.

· > Subsequently Measuring at Fair Value

946-830-45-15 A fund investing in foreign securities generally invests in such securities to reap the potential benefits offered by the local capital market. It may also invest in such securities as a means of investing in the foreign currency market or of benefiting from the foreign currency rate fluctuation. The extent to which

separate information regarding foreign currency gains or losses will be meaningful will vary depending on the circumstances, and separate information may not measure with precision foreign exchange gains or losses associated with the economic risks of foreign currency exposures. A foreign currency rate fluctuation, however, may be an important consideration in the case of foreign investments, and a reporting entity may choose to identify and separately report any resulting foreign currency gains or losses as a component of unrealized fair value gains or losses on investments.

946-830-45-16 The fair value of securities shall initially be determined in the foreign currency and translated at the spot rate on the purchase trade date. The unrealized gain or loss between the original cost (translated on the trade date) and the fair value (translated on the valuation date) comprises both of the following elements:

- a. Changes in the fair value of securities before translation
- b. Movement in foreign currency rate.

946-830-45-17 Such movements may be combined as permitted by paragraph [946-830-45-4](#). If separate disclosure of the foreign currency gains and losses is chosen, the changes in the fair value of securities before translation should be measured as the difference between the fair value in foreign currency and the original cost in foreign currency translated at the spot rate on the valuation date. The effect of the movement in the foreign exchange rate shall be measured as the difference between the original cost in foreign currency translated at the current spot rate and the historical functional currency cost. These values can be computed as follows:

- a. $(\text{Fair value in foreign currency} - \text{original cost in foreign currency}) \times \text{valuation date spot rate} = \text{unrealized fair value appreciation or depreciation.}$
- b. $(\text{Cost in foreign currency times valuation date spot rate}) - \text{cost in functional currency} = \text{the unrealized foreign currency gain or loss.}$

946-830-45-18 The preceding formulas could be refined to isolate and report the rate change element in the changes in the gains or losses on investments between valuation dates. However, the cost of doing so would not be justified for the relatively minor improvement thereof. Furthermore, such refinement would both:

- a. Be a departure from the method required for federal income tax reporting for realized foreign currency gains or losses on debt securities
- b. Represent a departure from the practice of those investment companies that presently separately report in their financial statements the effects of foreign exchange on securities gains or losses.

946-830-45-19 For short-term securities held by a fund that follows the amortized cost method of valuation, the amortized cost value should be substituted for fair value in the formulas given in the preceding two paragraphs if separate reporting is chosen by the reporting entity.

· > Sale of Securities

946-830-45-20 If separate reporting of foreign currency gains and losses on sales of securities is chosen by the reporting entity, the computation of the effects of the changes in fair value and the foreign currency rate is similar to that described in paragraphs [946-830-45-17](#) through [45-18](#). Fair value in the formula given in those paragraphs should be replaced with sale proceeds and valuation date shall be replaced with sale trade date. Accordingly, the values shall be computed as follows:

- a. $(\text{Sale proceeds in foreign currency} - \text{original cost in foreign currency}) \times \text{sale trade date spot rate} = \text{realized fair value gain or loss on sale of security.}$
- b. $(\text{Cost in foreign currency} \times \text{sale trade date spot rate}) - \text{cost in functional currency} = \text{realized foreign currency gain or loss.}$

946-830-45-21 The sale of a security results in a receivable for the security sold. The related receivable shall be recorded on the trade date at the spot rate. On the settlement date, the difference between the recorded receivable amount and the actual foreign currency received converted into the functional currency at the spot rate shall be recognized as a realized foreign currency gain or loss.

· > Sale of Interest

946-830-45-22 Interest sold represents the accrued interest receivable between the last coupon date and the settlement date of sale of the security. The difference between the recorded interest receivable amount and the actual foreign currency received (converted into the functional currency at the spot rate) shall be recognized as a realized foreign currency gain or loss.

> Receivables and Payables

946-830-45-23 All receivables and payables that are denominated in a foreign currency and that may relate to income or expense, or to securities sold or purchased, shall be translated into the functional currency each valuation date at the spot rate on that date. The difference between that amount and the functional currency amount that was recorded at various spot rates for income and expense items, and at the trade date spot rate in the case of sales and purchases of securities, is unrealized foreign currency gain or loss. Upon liquidation of the receivable or payable balance in a foreign currency, the difference shall be reclassified as realized foreign currency gain or loss.

> Income

946-830-45-24 This guidance on foreign currency matters involving income is organized as follows:

- a. Interest
- b. Accretion and amortization
- c. Dividends
- d. Withholding tax.

· > Interest

946-830-45-25 Interest on securities denominated in a foreign currency shall be calculated at the stated rate of interest in the foreign currency. The interest shall be accrued daily in the foreign currency at the stated interest rate and translated into the functional currency at the daily spot rate. It may be impractical to prepare such a calculation daily, and, therefore, the use of a weekly or monthly average rate may be appropriate in many cases, especially if the exchange rate does not fluctuate significantly. However, if the exchange rate fluctuation is significant, the calculation shall be made daily.

946-830-45-26 The related receivable balance along with purchased interest, if any, shall be accumulated in the foreign currency and translated into the functional currency daily using the spot rate for that date. The difference between the income accrued in the functional currency and the foreign currency receivable at the valuation date spot rate shall be recognized as an unrealized foreign currency gain or loss.

946-830-45-27 When the interest is received and recorded in the functional currency at the spot rate on that date, the unrealized foreign currency gain or loss shall be reclassified as realized foreign currency gain or loss.

· > Accretion and Amortization

946-830-45-28 Accretion of discounts and amortization of premiums on bonds shall be calculated daily in the foreign currency. The resulting amount of income or offset to income shall be translated into the functional currency using that day's spot rate. The same foreign currency amount shall be recorded as an

addition to cost for accretion of discounts and a reduction to cost for amortization of premiums. Accordingly, cost consists of the original cost, translated at the spot rate in effect on the trade date the bond was bought and adjusted for discount accretion or premium amortization at the spot rate on the date of adjustment. As stated in paragraph [946-830-45-25](#), use of a weekly or monthly average rate may be appropriate in certain circumstances.

946-830-45-29 On maturity, the carrying cost (including accretion or amortization) of the security in the foreign currency equals the proceeds. However, this will not be the case in the functional currency. The original cost shall be translated into the functional currency at the spot rate on the trade purchase date and the accretion or amortization shall be translated at periodic spot rates. The proceeds shall be translated into the functional currency at the spot rate on the maturity date. The difference between the proceeds and the accumulated cost in the functional currency shall be recognized as a realized foreign currency gain or loss.

· > Dividends

946-830-45-30 Recording dividends on foreign securities is often difficult because, in certain countries, entities customarily declare dividends retroactively or there is a lack of timely information. Additionally, in some countries, the sequencing of the declaration date and ex-dividend date may be different from the sequencing of these dates in the United States, thus necessitating a modification of the practice of recording dividends on the ex-dividend date (see paragraph [946-320-35-5](#)). Also, foreign entities often declare stock dividends instead of cash dividends or take other corporate actions such as issuing rights or warrants.

946-830-45-31 Dividend income on securities denominated in foreign currency shall be recorded on the ex-date, at the spot exchange rate of the foreign currency to the reporting currency on that date. The related dividend receivable shall be translated into the functional currency daily at the spot rate, and the difference between the dividend accrued in the functional currency and the foreign currency receivable at the valuation date spot rate shall be recognized as an unrealized foreign currency gain or loss. When the dividend is received, the unrealized foreign currency gain or loss shall be reclassified as realized foreign currency gain or loss.

946-830-45-32 The preceding approach to measuring investment income ensures that investment income accrued on foreign securities reflects the investment transaction without regard to the foreign currency gain or loss created in the time between the accrual and collection of the income.

· > Withholding Tax

946-830-45-33 Many foreign countries do not tax capital gains on investments by foreign investors; however, if such gains are taxable, an accrual for capital gains taxes payable on both realized and unrealized gains shall be included in the [net asset value per share](#) calculation.

946-830-45-34 Whenever tax is withheld from investment income at the source, the amounts withheld that are not reclaimable shall be accrued along with the related income on each income recognition date if the tax rate is fixed and known. If the tax withheld is reclaimable from the local tax authorities, it shall be recorded as a receivable and not as an expense. When the investment income is received net of the tax withheld, a separate realized foreign currency gain or loss shall be computed on the gross income receivable and the accrued tax expense. If the tax rate is not known or estimable, such expense or receivable shall be recorded on the date the net amount is received; accordingly, there would be no foreign currency gain or loss. However, if a receivable is recorded, there may be a foreign currency gain or loss through the date such receivable is collected.

> Expenses

946-830-45-35 The accounting for expenses payable in a foreign currency is identical to that for investment income receivable in a foreign currency. An expense shall be accrued as incurred and translated into the functional currency at the spot rate each day. The use of an average weekly or monthly foreign currency rate would be acceptable if the foreign currency rate does not fluctuate significantly. The related accrued expense balance shall be accumulated in the foreign currency and translated into the functional currency daily, using the spot rate for that date. The difference between the expense accrued in the functional currency and the related foreign currency accrued expense balance translated into the functional currency at the valuation date spot rate shall be recognized as an unrealized foreign currency gain or loss. When the expense is paid, the unrealized foreign currency gain or loss shall be reclassified as realized foreign currency gain or loss.

> Financial Statement Presentation

946-830-45-36 An investment company is not required to separately disclose that portion of unrealized and realized gains and losses on investments that results from foreign currency changes. All other foreign currency gains or losses shall be reported under the realized and unrealized gain or loss on investments and foreign currency section in the statement of operations.

946-830-45-37 For example, realized foreign currency gain or loss on interest and dividends shall be included in the realized foreign currency gain or loss component of net realized gain or loss. All unrealized foreign currency gain or loss, other than those on investments, shall be reported as unrealized appreciation or depreciation on translation of assets and liabilities in foreign currencies. The statement of changes in net assets and the statement of assets and liabilities shall reflect the same realized and unrealized gain and loss components. However, it is permissible to report each of the following items as single components in those statements:

- a. The combination of the net realized gains or losses from investments with net realized gains or losses from foreign currency transactions
- b. The combination of the net unrealized appreciation (depreciation) on investments with the net unrealized appreciation (depreciation) on translation of assets and liabilities in foreign currencies.

946-830-45-38 If separate reporting of the unrealized and realized foreign currency gains or losses on investments is chosen, such gains and losses shall be aggregated with all other foreign currency gains and losses and reported as described in the preceding paragraph.

946-830-45-39 Taxes withheld that are not reclaimable, if any, on foreign source income shall be deducted from the relevant income item and shall be shown either parenthetically or as a separate contra item in the income section of the statement of operations. Taxes levied on the aggregate income or capital gains of the investment company itself shall be presented in a manner that is similar to that used for income taxes. The normal withholding taxes shall be presented as follows.

Interest or dividend income (net of withholding taxes of \$ X)	\$XXX
or	
Interest or dividend income	\$XXX
Less withholding tax	(XXX)

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 946-830-50-1** An entity shall disclose its practice of either including or excluding that portion of realized and unrealized gains and losses on investments that results from foreign currency changes with or from other foreign currency gains and losses.
- 946-830-50-2** Foreign currency risk associated with investing in foreign securities shall be assessed continuously by management and considered for financial statement disclosure, including disclosures about all of the following:
- a. Liquidity. Because certain foreign markets are illiquid, market prices may not necessarily represent [fair value](#).
 - b. Size. If market capitalization is low, a fund's share in the entire market (particularly if single-country funds are involved) or in specific securities may be proportionately very large, and the fair value, consistent with Topic [820](#), may not be representative of the price that would be received if the fund sold its large proportion of the specific security ("block") at the measurement date.
 - c. Valuation. Because of liquidity problems as well as other factors, such as securities that are unlisted or securities that are traded in inactive markets, funds are required to develop procedures consistent with Topic [820](#) for measuring the fair values of such securities. Doing so may be difficult in a foreign environment; while others may perform the research and provide supporting documentation for fair values, the ultimate responsibility for determining the fair values of securities rests with the management.
- 946-830-50-3** These disclosures are no different from those that might be required for domestic securities with the same attributes. The preceding risks shall be disclosed in the notes to financial statements if such factors exist in the markets in which the fund has material investments.
- 946-830-50-4** For funds that invest in countries that are highly inflationary, the separate disclosure of the foreign currency element may not be meaningful and the disclosures in this Section may not be appropriate.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

946-830-55-1 For illustrative purposes, this Section assumes that the U.S. dollar is the functional currency of the reporting investment company.

> Example 1: Calculation and Disclosure of the Foreign Currency Element of Gains and Losses

946-830-55-2 This Example illustrates the application of the guidance in this Subtopic. The first two illustrations apply if separate disclosures of the foreign currency elements of unrealized and realized gains and losses on investments are chosen by the reporting entity.

946-830-55-3 Calculations for securities purchases and sales follow.

ABC Fund uses US dollars (USD) as its functional currency.			
ABC buys 1,000 shares of XYZ GBP 15.00 with a spot exchange rate of USD 1.75 = GBP 1.00.			
Foreign currency cost basis	=	GBP 15.00 × 1,000	= GBP 15,000
Functional currency cost basis	=	GBP 15,000 × 1.75	= USD 26,250
Market gain or loss	=	(Foreign currency sale proceeds – foreign currency cost) × foreign exchange rate on day of sale	
Currency gain or loss	=	Foreign currency cost × (foreign exchange rate day of sale – foreign exchange rate day of purchase)	
Assume a sale of 1,000 XYZ GBP 12.00 and USD 1.50 = GBP 1.00:			
Foreign Currency proceeds	=	GBP 12.00 × 1,000	= GBP 12,000
Functional currency proceeds	=	GBP 12,000 × 1.50	= USD 18,000
Market loss	=	(GBP 12,000 – GBP 15,000) × 1.50	= USD (4,500)
Currency loss	=	(GBP 15,000 × 1.50 – 1.75)	= USD (3,750)
Total loss			USD <u>(8,250)</u>
Proof			
Functional currency proceeds			USD 18,000
Functional currency cost			USD <u>(26,250)</u>
			USD <u>(8,250)</u>

946-830-55-4 Calculations and journal entries related to subsequently measuring the securities at [fair value](#) follow.

DAY 1:	1,000 XYZ measured at fair value GBP 16.00; spot rate: USD 1.85 = GBP 1.00.		
Fair value gain or loss	=	(Foreign currency fair value – foreign currency cost) × current foreign exchange rate	
Currency gain or loss	=	Foreign currency cost × (current foreign exchange rate – foreign exchange rate on day of purchase)	
Fair value gain	=	(GBP 16,000 – GBP 15,000) × 1.85	= USD 1,850
Currency gain	=	GBP 15,000 × (1.85 – 1.75)	= USD 1,500
Total gain in functional currency			= USD 3,350
Total gain – (GBP 16,000 × 1.85) – (GBP 15,000 × 1.75) = USD 29,600 – USD 26,250 = USD 3,350			
<i>Measure at Fair Value Journal Entries</i>			
<i>[Average rates may be used if fluctuations in exchange rates aren't significant]</i>			
DAY 2:	1,000 XYZ measured at fair value GBP 17.00; spot rate: USD 1.80 = GBP 1.00.		
Fair value gain	=	(GBP 17,000 – GBP 15,000) × 1.80	= USD 3,600
Currency gain	=	GBP 15,000 × (1.80 – 1.75)	= USD 750
Total gain in functional currency			= USD 4,350
<i>Daily Journal Entries</i>			
Fair value gain or loss	=	USD 3,600 – USD 1,850	= USD 1,750
Currency gain or loss	=	USD 750 – USD 1,500	= USD (750)
Day 2 gain (USD 4,350 – USD 3,350)			= USD 1,000

946-830-55-5

Calculations and journal entries for changes in foreign currency exchange rate follow.

Sale of 1,000 XYZ GBP 12.00 = GBP 12,000 receivable USD 1.50 = GBP 1.00	=	USD 18,000
DAY 1: Spot rate moves to USD 1.55 = GBP 1.00.		
Currency gain	=	GBP 12,000 × (1.55 – 1.50) .05 = USD 600
DAY 2: Spot rate moves to USD 1.58 = GBP 1.00.		
Currency gain	=	GBP 12,000 × (1.58 – 1.50) .08 = USD 960
Currency gain		
<i>Daily Journal Entry</i>	USD	Day 1 600
	USD	Day 2 360

946-830-55-6

Calculations and entries for changes between the trade date and the settlement date follow.

Trade Date			
Purchase 1,000 XYZ GBP 15.00; exchange rate: USD 1.75 = .00.			
Cost basis: USD 26,250 or GBP 15,000			
Debit: sterling securities at cost	USD	26,250	
Credit: payables for securities purchased			USD 26,250
Settlement Date			
Spot rate: USD 1.80 = GBP 1.00; GBP 15,000 is purchased at the spot rate for USD 27,000.			
Debit: payables for securities purchased	USD	26,250	
Debit: realized currency gain or loss	USD	750	
Credit: cash			USD 27,000

946-830-55-7

Calculations and entries for settlement against foreign currency cash balances follow.

GBP 20,000 balance is available in London.			
Lot a: GBP 10,000 purchased USD 1.65 per GBP 1.00			
USD US cost basis: USD 16,500			
Lot b: GBP 10,000 purchased USD 1.85 per GBP 1.00			
USD US cost basis: USD 18,500			
Assume lot b will be liquidated first at USD 1.80 per GBP 1.00.			
Lot b			
DR: cash	USD	18,000	
DR: realized currency gain or loss	USD	500	
CR: sterling cash at cost			USD 18,500
Assume one half of lot a will be liquidated at USD 1.80 per GBP 1.00.			
Lot a			
DR: cash	USD	9,000	
CR: sterling cash at cost			USD 8,250
CR: realized currency gain or loss			USD 750
Realized foreign exchange gain on payable remains the same.			

Between Purchase Settlement and Sale Trade Dates

Measure the holding at fair value, based on both local market price and daily spot rate.

946-830-55-8

Calculations and entries for the sale of XYZ shares follow.

Sell 1,000 XYZ GBP 18.00; exchange rate: USD 1.90 = GBP 1.00			
Total proceeds: USD 34,200 or GBP 18,000			
Foreign exchange gain is recognized on the sale trade date based on the holding period.			
Receivable is booked at the spot rate on sale trade date.			
Debit: receivable for securities sold	USD	34,200	
Credit: sterling securities at cost (GBP 15,000 x 1.75)		= USD	26,250
Credit: realized fair value gain or loss (GBP 18,000 - GBP 15,000) x 1.90		= USD	5,700 ^(a)
Credit: realized currency gain or loss (GBP 15,000 x 1.90) - 26,250		= USD	2,250 ^(a)
Maintain local currency basis (GBP 18,000) on the receivable record.			
Between Sale Trade Date and Settlement Date			
Measure the receivable at fair value based on the prevailing spot rate.			
Sale Settlement Date			
Spot rate: USD 1.85 = GBP 1.00			
GBP 18,000 is converted at the spot rate to USD 33,300.			
Foreign exchange loss is recognized upon the receipt (settlement) of the receivable.			
Debit: cash	USD	33,300	
Debit: realized currency gain or loss	USD	900	
Credit: receivables from securities sold		USD	34,200
If foreign currency cash received is to be kept as local currency:			
Purchase: GBP 18,000 USD 1.85 = GBP 1.00			
Cost basis: USD 33,300			
Debit: sterling cash at cost	USD	33,300	
Credit: cash		USD	33,300
(a) If separate disclosures of the foreign currency elements of unrealized and realized gains and losses on investments are chosen by the entity.			

· > Example 2: Financial Statements

946-830-55-9 This Example provides illustrative financial statements that show application of the requirements in this Subtopic.

946-830-55-10 An illustrative statement of operations follows.

The ABC Fund Statement of Operations Year Ended December 31, 19X1		
Investment income		
Interest (net of withholding taxes of \$XXXX)		\$XXXX
Dividends (net of withholding taxes of \$XXXX)		XXXX
		<u>XXXX</u>
Expenses		
Investment advisory fee		XXXX
Interest		XXXX
Professional fees		XXXX
Custodian and transfer agent fees		XXXX
Distribution expenses		XXXX
Total expenses		<u>XXXX</u>
Net investment income		<u>XXXX</u>
Realized and unrealized gain (loss) from investments and foreign currency		
Net realized gain (loss) from:		
Investments		XXXX
Foreign currency transactions ^(a)		XXXX
Net increase (decrease) in unrealized appreciation or (depreciation) on:		
Investments		XXXX
Translation of assets and liabilities in foreign currencies ^(a)		XXXX
Net realized and unrealized gain (loss) from investments and foreign currency		<u>XXXX</u>
Net increase (decrease) in net assets resulting from operations		<u>\$XXXX</u>
(a) If separate reporting is adopted, these captions would also include foreign currency effects of realized and unrealized gains and losses on investments. If separate reporting is not adopted, such foreign currency effects would be included in the investments captions.		
See accompanying notes to financial statements.		

946-830-55-11 An illustrative statement of changes in net assets follows.

The ABC Fund
Statement of Changes in Net Assets
Year Ended December 31, 19X1

From operations:	
Net investment income	\$XXXX
Net realized gains (losses) from investments ^(a)	XXXX
Net realized gains (losses) from foreign currency transactions ^{(a), (b)}	XXXX
Net increase (decrease) in unrealized appreciation (depreciation) on investments ^(c)	XXXX
Net increase (decrease) in unrealized appreciation (depreciation) on translation of assets and liabilities in foreign currencies ^{(b), (c)}	XXXX
Net increase (decrease) in net assets resulting from operations	XXXX
Dividends and distributions:	
From net investment income	(XXXX)
From net realized gains on investments and foreign currency transactions	(XXXX)
	(XXXX)
From share transactions:	
Net proceeds from sale of shares	XXXX
Cost of shares repurchased	XXXX
Dividends reinvested	XXXX
Net increase in net assets derived from share transactions	XXXX
Net increase (decrease) in net assets	XXXX
Net assets	
Beginning of period	XXXX
End of period (including undistributed net investment income of \$XXXX)	XXXX

(a) It is also acceptable to combine these lines and present them as a single item: Net realized gains (losses) from investments and foreign currency transactions.

(b) If separate reporting is adopted, these captions would also include foreign currency effects of realized and unrealized gains and losses on investments. If separate reporting is not adopted, such foreign currency effects would be included in the investments captions.

(c) It is also acceptable to combine these lines and present them as a single item: Net increase (decrease) in unrealized appreciation (depreciation) on investments and translation of assets and liabilities in foreign currencies.

See accompanying notes to financial statements.

946-830-55-12 An illustrative statement of assets and liabilities follows.

The ABC Fund
Statement of Assets and Liabilities ^(a)
Year Ended December 31, 19X1

Assets	
Investments in securities, at value (cost – \$XXXX)	\$XXXX
Cash denominated in foreign currencies (cost – \$XXXX)	XXXX
Cash	XXXX
Receivable for investments sold	XXXX
Dividends and interest receivable	XXXX
Receivable for shares of beneficial interest sold	XXXX
Deferred organizational expense	XXXX
Other assets	XXXX
Total assets	XXXX
Liabilities	
Payable for investments purchased	XXXX
Payable for shares repurchased	XXXX
Payable to affiliates	XXXX
Other liabilities	XXXX
Total liabilities	XXXX
Net assets	
Beneficial interest XXXX shares of \$XXXX par value outstanding (unlimited amount authorized)	\$XXXX
Undistributed net investment income	XXXX
Undistributed net realized gains from investments ^(b)	XXXX
Undistributed net realized gains (losses) from foreign currency transactions ^{(a)(c)}	XXXX
Net unrealized appreciation (depreciation) of investments ^(d)	XXXX
Net unrealized appreciation (depreciation) on translation of assets and liabilities in foreign currencies ^{(c)(d)}	XXXX
Net assets applicable to shares outstanding	XXXX
Net asset value per share	XXXX

- (a) This guidance does not reflect consideration of Subtopic 720-15.
- (b) It is also acceptable to combine these lines and present them as a single item: Undistributed net realized gains (losses) from investments and foreign currency transactions.
- (c) If separate reporting is adopted, these captions would also include foreign currency effects of realized and unrealized gains and losses on investments. If separate reporting is not adopted, such foreign currency effects would be included in the investments captions.
- (d) It is also acceptable to combine these lines and present them as a single item: Net unrealized appreciation (depreciation) on investments and translation of assets and liabilities in foreign currencies.

See accompanying notes to financial statements.

946-830-55-13 An illustrative note to the financial statements concerning foreign currency follows.

Foreign Currency. Amounts denominated in or expected to settle in foreign currencies are translated into U.S. dollars at rates reported by a major New York City bank on the following basis:

- a. Fair value of investment securities, other assets, and liabilities—at the closing rate of exchange at the balance sheet date
- b. Purchases and sales of investment securities, income, and expenses—at the rate of exchange prevailing on the respective dates of such transactions (or at an average rate if significant rate fluctuations have not occurred).

946-830-55-14 An illustrative disclosure if the fund chooses to report the foreign currency elements of realized and unrealized gains and losses on investments follows.

The Fund isolates that portion of the results of operations resulting from changes in foreign exchange rates on investments from the fluctuations arising from changes in market prices of securities held.

Reported net realized foreign exchange gains or losses arise from sales of portfolio securities, sales and maturities of short-term securities, sales of foreign currencies, currency gains or losses realized between the trade and settlement dates on securities transactions, the difference between the amounts of dividends, interest, and foreign withholding taxes recorded on the Fund's books, and the U.S. dollar equivalent of the amounts actually received or paid. Net unrealized foreign exchange gains and losses arise from changes in the value of assets and liabilities including investments in securities at fiscal year end, resulting from changes in the exchange rate.

946-830-55-15 An illustrative disclosure if the fund chooses not to report foreign currency elements of realized and unrealized gains and losses on investments follows.

The Fund does not isolate that portion of the results of operations resulting from changes in foreign exchange rates on investments from the fluctuations arising from changes in market prices of securities held. Such fluctuations are included with the net realized and unrealized gain or loss from investments. Reported net realized foreign exchange gains or losses arise from sales and maturities of short-term securities, sales of foreign currencies, currency gains or losses realized between the trade and settlement dates on securities transactions, the difference between the amounts of dividends, interest, and foreign withholding taxes recorded on the Fund's books, and the U.S. dollar equivalent of the amounts actually received or paid. Net unrealized foreign exchange gains and losses arise from changes in the value of assets and liabilities other than investments in securities at fiscal year end, resulting from changes in the exchange rate.

946-830-55-16 The following illustrative note shall be considered if applicable to the respective fund.

The Fund has obtained the approval of the Central Bank for the registration and conversion into foreign currency of all proceeds of the offering to be invested in the ABC country securities markets, which by its terms ensures repatriation of such investment and the remittance of profits and dividends accruing on the investment. Notwithstanding the foregoing, the right of the Fund to repatriate its investments in ABC country securities and to receive profits, capital gains, and dividends in foreign exchange is subject to the power of the Central Bank, with the approval of the President of the ABC country, to restrict the availability of foreign exchange in the imminence of, or during, an exchange crisis or in times of national emergency.

The Fund has significant investments in the equity securities of entities located in the ABC country. Future economic and political developments in the country could adversely affect the liquidity or value, or both, of the ABC country securities in which the Fund is invested.

There are nationality restrictions on the ownership of certain equity securities of the ABC country entities. Based on confirmations that the Fund received from the ABC country's governmental

authorities, the Fund believes that it is permitted to make certain investments through the ABC country's Trust that are otherwise available only to the ABC country.